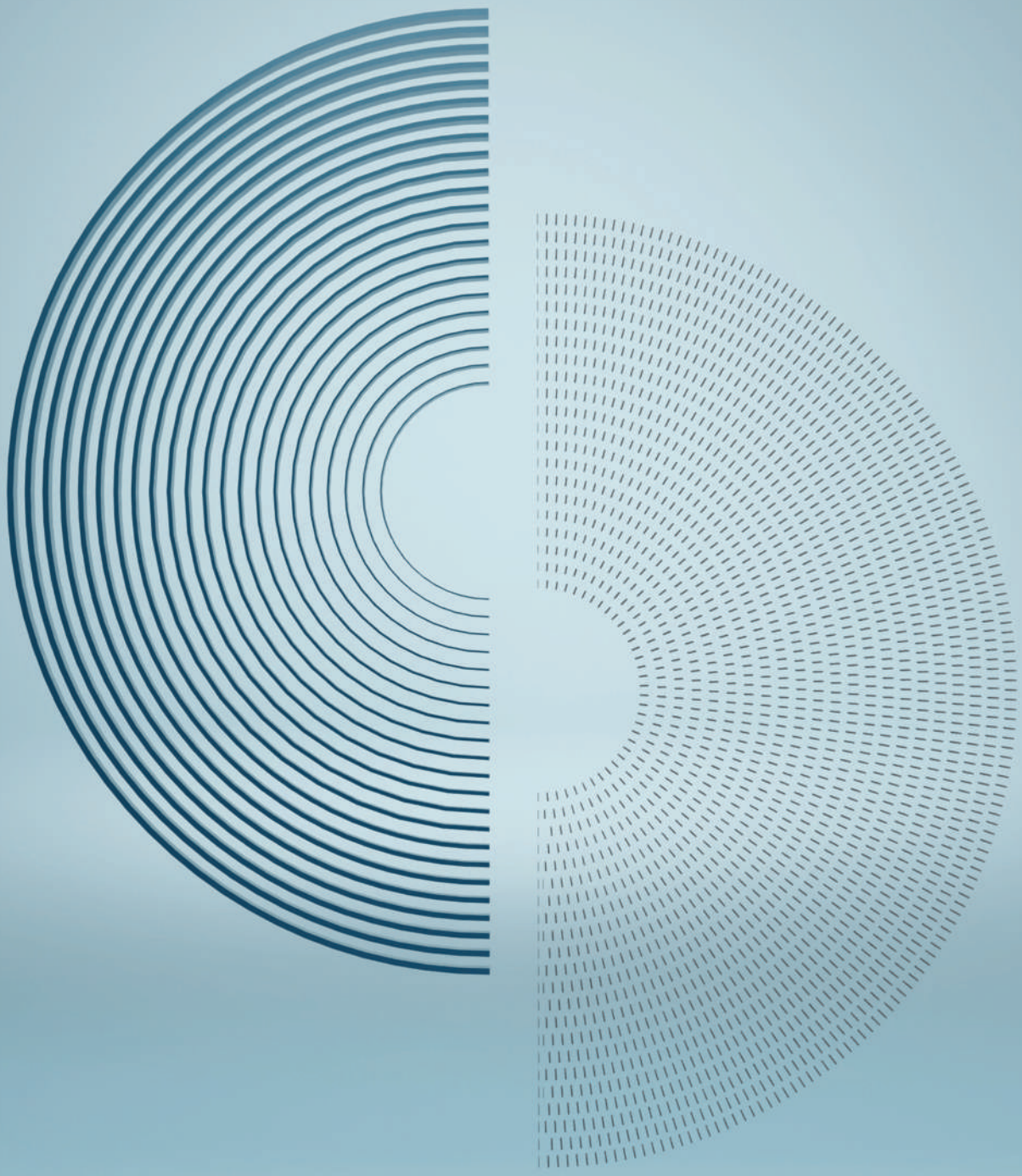
PERFORMING WHILE **TRANSFORMING**



BANK ABC IN JORDAN
ANNUAL REPORT 2023

BankABC



His Majesty King Abdullah II Bin Al-Hussein



His Royal Highness Crown Prince Hussein Bin Abdullah II

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A TEAM **COMMITTED TO YOUR SUCCESS**



Bank ABC in Jordan performs all banking operations at its Head Office in Amman and its 23 branches, and 52 automatic teller machines (ATMs) located across the Kingdom of Jordan.

The Bank offers a comprehensive range of financial services that include retail banking, corporate banking and treasury, as well as corresponding bank services and international banking operations. It also offers investment and brokerage services (locally, regionally, and internationally) on behalf of its clients as well as financial consultancy through its affiliate company, ABC Investments (ABCI).

Driven by its keenness to keep pace with cutting-edge innovation and provide its customers with the latest digital banking services, the Bank launched 'ila' - a digital mobile-only banking application in Jordan. The intuitive application is supported by Bank ABC in Jordan and utilises artificial intelligence and data analytics in its design. It has been developed to appeal to and serve a wide range of users, from millennials through to older age groups and all clusters of society.

STRATEGIC INTENT

TO BE MENA'S LEADING INTERNATIONAL BANK OF THE FUTURE

OUR CORE VALUES

Client Centric

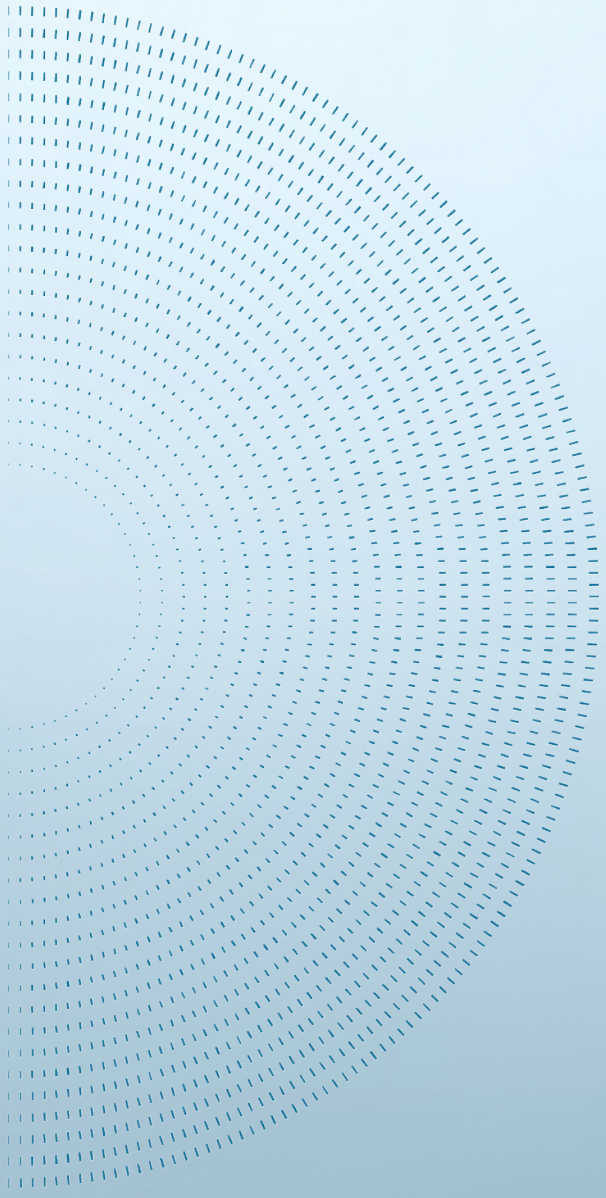
We are committed to knowing our customers and developing long-term relationships.

Collaborative

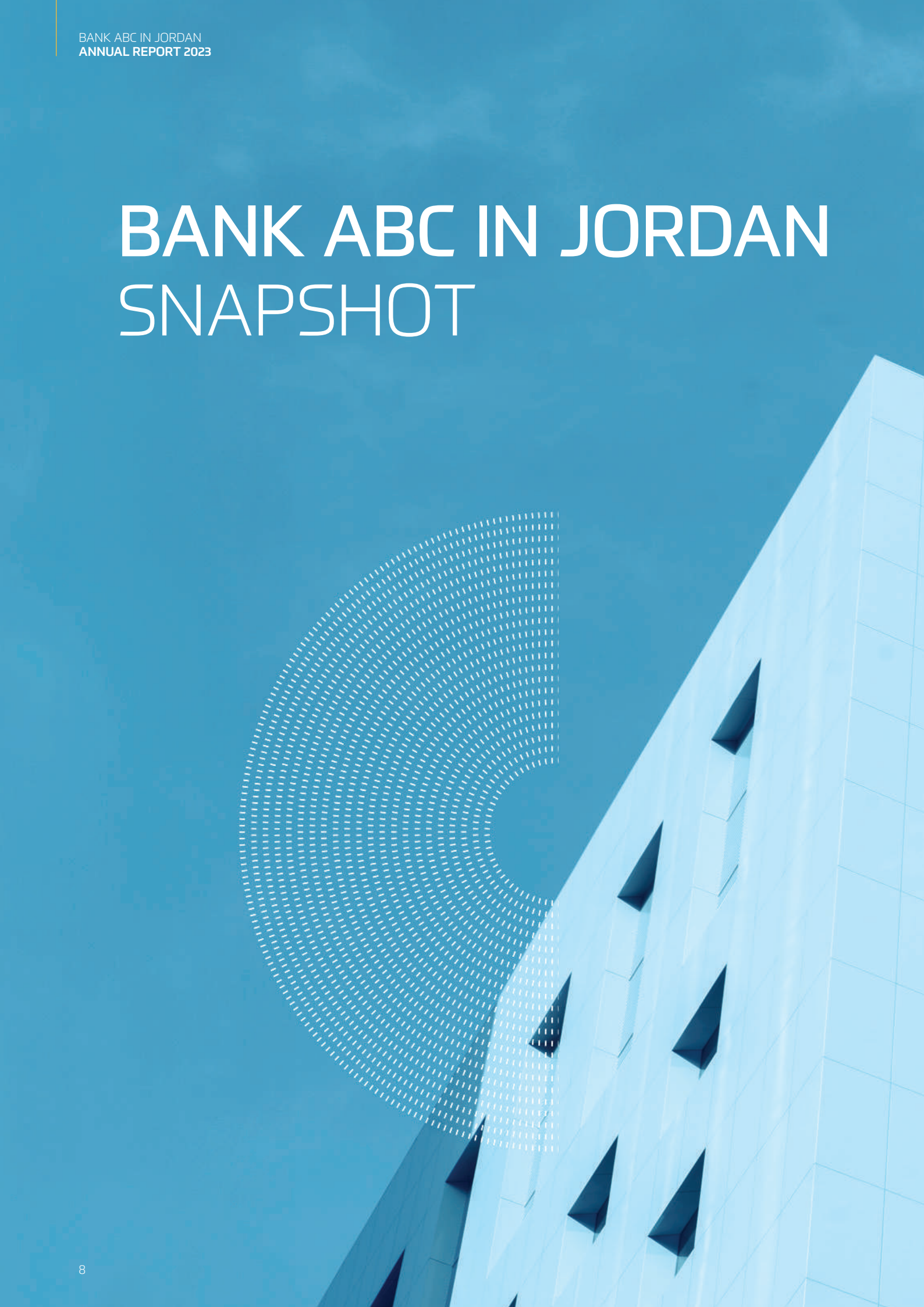
We work together as one team across our international network, providing a superior client experience.

Consistent

We are trusted to deliver every time in the right way, demonstrating integrity to all our stakeholders.



BANK ABC IN JORDAN SNAPSHOT





01

BANK ABC AT A GLANCE

Bank ABC in Jordan (Arab Banking Corporation - Jordan) was incorporated in 1990 as a Jordanian public shareholding company. It is a subsidiary of Bank ABC, MENA's leading international bank, which is headquartered in the Kingdom of Bahrain with a network spread across five continents.

500+
Workforce in Jordan



Bank ABC in Jordan

Performs all banking operations at its Head Office in Amman and its 23 branches located across the Kingdom of Jordan

Digital, mobile only banking application powered by Bank ABC

ABC Investments is a wholly-owned subsidiary of Bank ABC in Jordan and serves as its investment arm

Ownership structure

Owners of 1% or more of Bank ABC in Jordan shares

86.981%
Arab Banking Corporation (B.S.C.), Bahrain

2.051%
Social Security Corporation

1.328%
Kuwait International Investment Company



PERFORMANCE REVIEW





02

CHAIRMAN'S STATEMENT



Sael Fayez Al Waary
Chairman of the Board of Directors

The Bank managed to perform well and maintain a **solid and strong financial position in 2023.**

On behalf of the Board of Directors of Bank ABC in Jordan (Arab Banking Corporation – Jordan), it is my pleasure to present to you the 2023 Annual Report, which highlights the Bank's key achievements and consolidated financial performance for the year ending December 31, 2023.

Economic Backdrop in Jordan

In the first half of 2023, real growth in Gross Domestic Product (GDP) reached 2.74%, maintaining the same growth rate achieved during the same period in 2022, and inflation rate in the first ten months of 2023 reached 2.21%. However, a healthy level of foreign reserves was maintained, which increased to USD18.12 billion as of December 31, 2023, compared to USD17.27 billion as of December 31, 2022. This is sufficient to cover the Kingdom's imports for approximately 7.9 months and enhances the soundness of its cash position and stability of exchange rates.

It is also worth noting that the prudent policies of the Central Bank of Jordan has helped alleviate many economic challenges, particularly the increase in interest rates, inflation, and prices during the year. Furthermore, the solid financial position of Jordan's banking sector helped overcome the pressure on various economic sectors, positioning them to better serve the national economy and support monetary and financial stability.

Our Solid Financial Results & Resilient Performance

Despite the challenges faced by the world and the region in 2023, Bank ABC in Jordan performed reasonably well and maintained a solid financial position, as capital adequacy ratio reached 17.2% and financial leverage ratio reached 9.6%, which are significantly higher than the ratios required by the Central Bank of Jordan.

The Bank's assets in 2023 increased by 3.3% to JD1.4 billion, shareholders' equity reached JD165 million, compared to JD164 million in 2022, return on equity reached 3% and return on assets reached 0.36%. Customer deposits by the end of 2023 increased by 4.12% to JD877 million, compared to JD842 million in the previous year, with current and savings accounts making up 14.13% of total customer deposits, underscoring our customers' continued trust and strong relationship with the Bank.

This growth helped maintain a good liquidity ratio of 126% by the end of 2023. Net profit after tax reached JD5 million, compared to JD6.7 million in the previous

year, total income reached JD46.2 million, compared to JD43.1 million in 2022 and interest and banking commissions reached JD42.1 million, compared to JD39.4 million in 2022, while net credit facilities portfolio in 2023 reached JD763 million, compared to JD766 million in the previous year.

In 2023, the Bank's assets **increased by 3.3% to reach JD1.4 billion**.



Key Achievements & Strategic Developments

The Bank is moving steadily towards achieving its vision of building the bank of the future in Jordan. Over the past year, we continued to implement our digital transformation strategy aimed at driving strong and sustainable growth for the Bank, while creating further value for our stakeholders.

Driven by our keenness to keep pace with the rapid technological and digital developments in our operating environment, the Bank launched several new products and services through its 'ila' banking app to help meet the needs of various retail customer segments in a more seamless and timely manner.

Retail Banking

Bank ABC in Jordan developed its existing products and amended its policies to fulfil market requirements and better serve various socio-economic segments. In addition, the Bank continued to develop and drive further adoption of its digital banking services such as ABC Digital, which allows customers to conduct their banking transactions remotely, in a convenient and secure manner.

Reflecting the increasing global interest in protecting and preserving the environment, the Bank prioritised the development of environment-friendly products and solutions, such as the Green Finance Campaign to finance the purchase of electric cars, contributing to a significant growth in sales in this sector.

Wholesale Banking

Our Wholesale Banking business continued to offer a distinguished suite of products and services that reflect the activities and needs of corporates and financial institutions as well as small, medium and large enterprises across various economic sectors in Jordan and abroad. In line with Group's refreshed strategic direction, we focused on expanding the Bank's customer base, increasing the rate of operating accounts and further developing our Trade Finance business.

Furthermore, we continued to encourage the use of our digital corporate banking services, while upgrading our existing offering and launching innovative solutions to keep pace with rapidly changing customer and market needs.

Treasury

The Treasury Department continued to effectively manage the Bank's liquidity by meeting our financing needs, despite the challenges faced by local and global markets in 2023. Simultaneously, it continued to fulfill its responsibility of managing interest rate and foreign exchange risks, ensuring they are kept within the Group's adopted risk appetite. Furthermore, Treasury continued to focus on introducing a variety of new services as part of its commitment to offer exceptional services that meet the various needs of the Bank's customers.

Our Commitment to Community Development

As a responsible corporate citizen, Bank ABC Group plays an essential role in building thriving communities, achieving sustainable development goals and creating a positive impact on society and the environment.

In 2023, Bank ABC in Jordan continued to carry out its social role in line with the Group's Environmental, Social, and Governance (ESG) objectives by supporting charitable, social, educational, medical and other organisations.

We take great pride in the positive impact our active role has had on the local community and the organisations and associations we have supported, the significant change we have facilitated, and our contributions towards building a sustainable economy.

Our Future Aspirations

As we progress on our journey to build the 'Bank of the Future', Bank ABC in Jordan looks forward to continuing its growth momentum and aims to strengthen its capital base, broaden its customer base, expand its business activities and services, and accelerate its digital transformation in order to improve its operations and performance. Furthermore, the Bank intends to increase the quantity and quality of its investment services to better serve local and international investors, while enhancing its competitiveness, increasing its market share and bolstering shareholders' equity and returns. The Bank will also continue to develop its risk management function and leverage the synergies and strengths of its parent organisation's, Bank ABC Group's, global network.

To conclude

In light of the financial results achieved in 2023, the Bank's Board of Directors submitted a recommendation to the general assembly to distribute dividends to shareholders at the rate of 3% of the subscribed capital.

On this occasion, I would like to express my sincere gratitude and appreciation to our shareholders and customers for their unwavering support and trust, which we greatly value and take pride in. I would also like to extend my thanks to my fellow Board members for their continued support to ensure the advancement and prosperity of the Bank. I would also like to thank the Bank's executive management and all employees for their dedication and relentless efforts towards enabling the Bank's strategic aspirations.

I pray to Allah the Almighty to make 2024 a year of prosperity for you, our organisation and our beloved country, under our wise Hashemite leadership.

May the peace and mercy of Allah be upon you.

Sael Fayez Al Waary
Chairman of the Board of Directors

BRIEF ON ABC INVESTMENTS (ABCI)

ABC Investments was incorporated as a limited liability company (LLC) in Amman on 25 January 1990. It owns the trademark (ABC Investments). It is one of the premier financial institutions of Bank ABC Group based in Bahrain, and it is fully owned by Bank ABC in Jordan. Its capital amounts to fifteen million and six hundred thousand Jordanian Dinars JD15,600,000 divided into 15,600,000 shares, each valued at one Jordanian Dinar. ABC Investments is a member of the capital market institutions that performs its activities through qualified and accredited technical and administrative personnel of very high efficiency.

ABC Investments was one of the first financial service companies licensed by the Jordan Securities Commission (JSC) to practice the following financial services:

Local market

- Financial Broker
- Margin Financing
- Issuance management/best efforts
- Dealer
- Investment management
- Financial advisory

Foreign stock exchange

- Financial Broker
- Dealer
- Introducing Broker
- Investment Trusteeship
- Investment management
- Financial advisory

Board of Directors

- Mr. George Farah Jiries Sofia - Chairman
- Mrs. Suha Basil Andraws Ennab - Member as of 1/7/2024
- Mr. Abdulrahim Abdulrazzagh Abdelsalam Breish - Member
- Dr. Micheal Zaki Micheal Nu'man - Member
- Mr. Adnan Saleh Mohammad Al Shoubky - Member

BOARD OF DIRECTORS



Mr. Sael Al Waary
Chairman

RC GC ‡ ð

B.Sc. (Hons) degree in Computer Sciences, University of Reading, 1981, United Kingdom.

Mr. Al Waary is the Group Chief Executive Officer of Bank ABC, with over 35 years of banking, leadership and management experience garnered from the many senior positions he has held in both London and Bahrain.

In addition to his Chairmanship, Mr. Al Waary represents the Bank as Chairman of the Arab Financial Services Company (AFS), and Deputy Chairman of Bank ABC Egypt. He is also the Chairman of ila Bank's Advisory Board.



Mr. Khalil Nooruddin
Deputy Chairman

AC GC NC ‡ ð

Chartered Financial Analyst (CFA), CFA Institute - 1989, Charlottesville, Virginia, U.S.A.

Master of Science in Quantitative Methods and Finance, Leonard N. Stern School of Business, New York University - 1982, USA.

Bachelor of Science in Systems Engineering, King Fahad University of Petroleum and Minerals - 1977, Kingdom of Saudi Arabia.

Mr. Nooruddin is a senior banker, with over 40 years' experience gained through serving local and international financial firms both at executive and board levels. Currently, he is the Managing Partner of Capital Knowledge, a management and financial consulting firm. Over the past twelve years, Mr. Nooruddin concluded several consulting and restructuring assignments for financial institutions, working on strategy formulation and implementation. Prior to this, Mr. Nooruddin was a member of the Management Committee of Investcorp Bank, Bahrain; Vice President UBS Asset Management in London and Zurich; Vice President Chase Manhattan Bank in Bahrain; and Operations Research Analyst, Bahrain Petroleum Company, Bahrain. He currently serves on the board of RA Holdings, formed under authorization of a US bankruptcy court to oversee the liquidation of Arcapita Investment Bank, Bahrain. Previously he served on the boards of Gulf International Bank, Bank Al Khair, Ithmaar Investment Bank, Bahrain Islamic Bank, Takaful Insurance Company and Bahrain Financing Company.



Mr. Ismail Mokhtar
Member

AC TC ‡ ð

Master's degree in Management - Economic, Sciences and Management University, 1996, Tunisia.

Bachelor's degree in science and Mathematics, 1989, Tunisia.

Mr. Mokhtar is currently the Group Chief Operating Officer at Bank ABC Bahrain, appointed in May 2019 from Regional Chief Operating Officer for MENA to a new role, Group Chief Operating Officer to support the delivery of the key support areas across the Group and oversees the functional and Country COOs across the Group.

Ismail Mokhtar has had several senior positions in the banking sectors and senior roles with Bank ABC for over two decades. He served Bank ABC in Tunisia as the Deputy General Manager and Chief Operating Officer before moving to the Head Office in Bahrain as Business Catalyst and Project coordinator at Group level in 2015.

Mr. Mokhtar has held past key positions in ABC in Tunisia, including being Commercial Banking Head from 2009 till 2011, General Management Coordinator and Board of Directors Secretary from 2006 till 2015. Mr. Mokhtar was appointed Chief Operating Officer and Deputy General Manager of ABC in Tunisia from 2012 to 2015.

Before joining Bank ABC, Mr. Mokhtar was the Head of the Government Bond Desk at the Treasury Department of Banque Nationale Agricole (Tunisia) from which he moved on to Bank ABC in Tunisia in 2001.

Mr. Mokhtar joined the Board of Directors of ABCJ in May 2015 and board member of ABCI from 1/3/2016 to 30/4/2018.



Mr. Mohamed Almaraj
Member

TC NC ‡ ð

Bachelor of Science in Economics, magna cum laude, The Wharton School, University of Pennsylvania – 2009, Philadelphia, PA, USA.

Mr. Almaraj is currently on the Board of Directors of Arab Banking Corporation (Jordan) and is the CEO of ila Bank and Group Head of Retail Banking at Bank ABC Bahrain. His career started with Perella Weinberg Partners (PWP) in 2009 as Corporate Advisory and Investment Banking Associate & Analyst. In 2014, he joined The Family Office as Investment Team Senior Analyst. More recently, Mr. Almaraj joined the Board of Directors of The Saudi British Bank in 2023, and he became the Head of the Investment Committee at King Fahed Causeway Authority in 2021 and has been a Member of Executive Committee & Digital Committee at Bahrain Car Parks Company BSC since 2019.



Mr. Jawad Sacre
Member

RC CC ‡ ð

MBA, Ecole Supérieure des Affaires (ESA), 1999, Lebanon.

Bachelor's degree in economics, Université Saint Joseph (USJ), 1992, Lebanon.

Mr. Sacre started his career in 1992 with BNP PARIBAS "BNP"- Beirut where he graduated in positions until he held the position of Deputy Head of Corporate Banking. Mr. Sacre joined Bank ABC in Tunisia in 2005 as Senior Credit & Risk Officer, and then in 2007 he moved to Bank ABC Bahrain where his position was Senior Remedial Loan Officer. He moved to Bank ABC in Algeria to assume the role of Deputy CEO from 2013 until 2021, when Mr. Sacre was appointed as the CEO of Bank ABC in Algeria. Mr. Sacre joined Bank ABC in Jordan's Board of Directors in May 2019. He served on the Board of Directors of Bank ABC in Tunisia (2009-2019) and was the Chairman of the Audit Committee - Bank ABC in Tunisia (2011-2016).



H.E. Eng. Amer Hadidi
Member

AC GC NC RC ‡ §

Bachelor's degree in Mechanical Engineering, University of Bridgeport, 1990, Connecticut USA.

H.E. Eng. Amer Hadidi's experience extends across the public, private and business sectors in Jordan. H.E. Eng. Hadidi took on the role of Chief Executive Officer at Royal Jordanian (2012-2014). He also served as Economic Advisor to His Majesty King Abdullah II (2011-2012), preceded by service as Minister of Industry and Trade in three consecutive cabinets (2007-2011). H.E. Eng. Hadidi's previous experience included roles at the Ministry of Transport, the Ministry of Industry and Trade and the banking sector.



Mr. Abdulrahim Breish
Member

RC TC ‡ ð

Master of Public Administration, Economic Policy Management, Columbia University, School of International & Public Affairs, 2016, USA.

Master of Science, Banking & International Finance, City University, Cass Business School, 2011, United Kingdom.

Bachelor of Science, International Business Studies with Professional Development, Brunel University, Brunel Business School, 2009, United Kingdom.

Mr. Breish is currently the Deputy Director of Financial Markets Department at Central Bank of Libya. He was the Head of External Portfolios Unit at Central Bank of Libya and had previously held the position of Investment Analyst. Prior to joining Central Bank of Libya, Mr. Breish was Research Intern at Ubs Ag - Investment Bank in 2008. Mr. Breish began his career in 2005 at Libyan Foreign Bank as Analyst – Intern and in 2007; he had held the same position at Aibel Limited. Mr. Breish served on the Board of Directors of Moamalat Financial Services in Libya (owned by CBL) for two years Dec 2021-Dec 2023. He joined the Board of Directors of ABC Investments in 2022.



Mr. Ammar Khalil
Member

RC AC ‡ ð

MBA in Finance, Fordham University, 1999, New York, NY.

BSc. in Mechanical Engineering, NYU Polytechnic University, 1991, New York, NY.

Mr. Ammar Khalil has over 20 years of experience in banking across institutions in the US and GCC. Currently he is the Senior Executive Officer for Bank ABC, leading their business strategy for the UAE. Prior to this, he served as the Managing Director and Head of Coverage for MENA at Natixis Dubai leading their Corporate, Public Sector, Financial Sponsors, Islamic Banking, and Financial Institutions teams. Before Natixis, he was Head of Institutional Banking for the MENA region at HSBC Middle East Bank. At HSBC, he was tasked with building the coverage of Banks, NBFIs, and Public-Sector clients. In Kuwait, he held the position of Group Head of Institutional Banking at National Bank of Kuwait. In the US, he held various roles at The Bank of New York, Arab Banking Corporation NY Branch, and Arab American bank looking after the correspondent banking business between the MENA and US regions.

BOARD OF DIRECTORS



Mrs. Nermeen Nabulsi
Member

AC GC NC CC ‡ §

Higher Diploma in Public Law, University of Jordan, 1986, Jordan.

Bachelor of Arts in Public Law, University of Jordan, 1983, Jordan.

Mrs. Nabulsi has long experience in senior managerial positions and consultancies in the banking industry, she also embodies strong ties to community and non-profit organisations focusing on Educational and Youth Development Programs. Currently, she continues her pursuit of this passion by serving as a member of the board of the YMWA where she is actively engaged in the management of the Princess Sarvath Community College and the Bunnayat Centre for Special Education. Formerly, she was CEO of Jordan Education Initiative (JEI) between 2013-2017. She was also the Founder & Managing Director of Horizon Banking Consultants between 2008-2013. Over her long experience, Mrs. Nabulsi has held senior managerial positions at several banks including Capital Bank of Jordan as a Chief Operating Officer (AGM-Ops & IT) through 2002-2007, Cairo Amman Bank from 1990-2001 where she served as Executive Manager in Internal Audit & Credit Risk, Documentation & Credit Control as well as Legal, having previously held many other senior positions including the position of Credit Officer at Bank of Jordan. Mrs. Nabulsi started her career with the Ministry of Transportation Queen Alia Int. Airport Project as the Head of Legal Department in 1986 and with the Ministry of Finance – Income Tax Dept before that in 1983. Mrs. Nabulsi is also a non-practicing Lawyer by original degree and training.



Dr. Micheal Nu'man
Member

AC GC RC ‡ §

PhD in Finance, University of Banking and Financial Sciences, 2012, Jordan.

Master's degree in financial management, The Arab Academy for Banking & financial Sciences, 2002, Jordan.

B.Sc. Degree in Economics with minor in Business Administration, The University of Jordan, 1995, Jordan.

PECB Certified ISO 31000 Senior Lead Risk Manager, 2020.

Certified Anti-Corruption Manager - The American Anti-Corruption Institute, 2015

Professional Diploma in Basel 2 - American Bankers Association, 2004.

Certified Lender Business Banker (CLBB), The Institute of Certified Bankers, 2004.

Dr. Nu'man's career spans many senior positions in the banking industry. He started his career in 1995 with HSBC – Jordan, and in 1999 moved to Capital Bank where his career progressed until becoming Assistant General Manager. From 2010 till 2013, Dr. Nu'man served as Assistant General Manager/ Risk, Credit and Compliance at Invest Bank. During the years 2013-2019 he served as Assistant General Manager / Risk and Compliance and Board Secretary at Ahli Bank – Jordan. He has served on the Boards of several companies including Capital Investment and Brokerage and more recently, Dr. Nu'man joined the Board of Directors of ABCI.



Mrs. Suha Ennab
Member

AC NC CC ‡ §

Bachelor of Arts in Business Administrations, American University of Beirut, 1981, Lebanon.

Corporate Governance for Micro-Finance Institution, 2017, International Finance Corporation.

Board of Directors Certified Program, 2017, Jordan Institute of Directors / International Finance Corporation.

Since 2007, Mrs. Ennab has been actively engaged as a financial and business consultant. Previously she was the Deputy General Manager at Société Générale in Jordan for four years. Prior to this, she served as Assistant General Manager / Head of Retail Banking and Deputy Assistant General Manager/ Head of Correspondent Banking at Cairo Amman Bank from 1992 until 2003. Mrs. Ennab's career began in 1982 at Citibank Amman where her career progressed across several departments and in 1990, she occupied the role of Resident Vice President / Head of Financial Institutions.

Mrs. Ennab has served on the Boards of several companies including Euro Arab Insurance Co., Awraq Investments (Subsidiary of Cairo Amman Bank), Cairo Amman Bank, VITAS, Partners for Good, Tanmeyeh and Jordan Insurance Company and more recently, in 2023, she was appointed as Deputy Chairman of the Board at ABCI and Board member at Jordan Hotel & Tourism.

AC	Member of the Audit Committee
GC	Member of the Corporate Governance Committee
RC	Member of the Risk Committee
NC	Member of the Nominations & Compensation Committee
TC	Member of the IT Governance Committee
CC	Member of the Compliance Committee
‡	Non-Executive
æ	Executive
§	Independent
ð	Non-Independent

EXECUTIVE MANAGEMENT



Mr. George Farah Sofia
General Manager

B. Sc. in Business Administration, Management, 1990, London, U.K.

Mr. George Sofia built his career in the banking industry in various local and international banks, beginning with HSBC Jordan in 1990 then Societe Generale Bank in 2001 and Capital Bank in 2005. In 2009 Mr. George Sofia joined Bank ABC in Jordan as Executive Vice President / Head of the Retail Banking Group and became deputy General Manager in 2015. Mr. George Sofia was then designated as Acting General Manager from November 2019 until January 2020, when he was appointed as the General Manager of Bank ABC in Jordan.

In addition to his roles, Mr. George Sofia has been a Board Director at ABC Investments since August 2018, later becoming Deputy Chairman of the Board in November 2019, and Chairman of the Board in May 2022. In September 2021 he was appointed as Board Director at Bank ABC in Algeria. Mr. George Sofia also previously served on the Board of Visa Jordan Services Company from May 2010 until July 2011.

Mr. Adnan Al Shoubky
EVP/ Head of Support Group

BA in Public Administration (Major) Computer Science (Minor), Yarmouk University, 1994; Certified Internal Auditor (CIA), 2003.

Mr. Al Shoubky worked in Amman Bank for Investment from 1994- 1996 as an Internal Auditor. During 1996 – 2006 Mr. Al Shoubky worked with Arab Banking Corporation (Jordan) where his last position was a Manager in Internal Audit Department. Then he joined the Arab Cooperation for Financial Investments Co. (ABCI) as the Deputy CEO for Operations. In February 2009, Mr. Al Shoubky joined again Arab Banking Corporation (Jordan) as Head of Internal Audit. Since 2014, Mr. Al Shoubky became Head of Support Group. He was a Board Member of ABCI for the period 1/2014 till 8/2018, Mr. Al shoubky reappointed as Board Member of ABCI from 3/11/2019 till now.

Mr. Fadi Haddad
SVP/ Head of Wholesale Banking Group

MSc. in Financial Management, Arab Academy for Financial and Banking Studies, 2006.

Diploma in Financial Analysis, Institute of Banking Studies, 2003.

BA in General Management, Mu'tah University, 1998.

Mr. Haddad commenced his career in the banking sector in 2000 starting with the International Islamic Arab Bank until 2003, where he moved across several departments there. In 2004, Mr. Haddad joined the Arab Banking Corporation (Jordan) as a manager in the Corporate Department, where he stayed until late 2007, after which he moved to the UAE, joining Arab Bank as a Team Leader within Corporate Banking division. In 2010, Mr. Haddad joined the Arab Banking Corporation (Jordan) once again as a First Vice President in Corporate Banking until 2018, when he assumed his current position as Senior Vice President/ Head of Wholesale Banking Group.

Mr. Taj Khomosh
SVP/ Head of Retail Banking Group

B.Sc. in Business Administration & Political science, University of Jordan, 1995.

Certified Innovation Strategy (Global Innovation Institute), 2017.

Executive leadership from PMI, 2019.

Certified Strategic Management (International Business Management Institute), 2022.

Mr. Khomosh started his career in 1998 with in Jordan Gulf bank as a Marketing Officer, then he joined ANZ Grindlay Bank in 1999 as a Marketing Officer then moved to Standard Chartered Bank covering several posts. In 2003 he joined Mashreq Bank Qatar as Head of Cards & Marketing Manager, followed by a tenure at Jordan Ahli Bank as Head of the Direct Sales Centers till 2007 when he joined Arab Bank –Syria as Head of Branches.
Mr. Khomosh later became District Manager at Arab Bank Jordan and Head of Consumer Banking for Arab Bank – Syria in 2010. From 2012 to 2016 Mr. Khomosh was the Deputy CEO - Chief of Retail Banking at Jordan Dubai Islamic Bank and in 2016 moved to Mashreq Bank UAE until 2019 as VP Regional Manger Dubai. Thereafter, Mr. Khomosh joined the Housing Bank of Jordan until April 2020 when he moved to the Arab Banking Corporation (Jordan) as Head of the Retail Banking Group. During his career, Mr. Khomosh held board memberships in the Specialised Leasing Company from August 2019 to March 2020, and previously in Misk Brokerage Company from April 2016 to July 2019.

Mr. Khaldoun Ziadat
SVP/ Head of Internal Audit

MBA in Banking and Finance, University of Wales, 1998, UK.

B. Sc. in Economics, University of Jordan, 1998.

Mr. Ziadat had worked in Arab Bank as a Credit Officer, Credit Facilities Division/ International Branches from 2000 till 2003. Then he Joined Cairo Amman Bank to work in the Audit Department till 2006. After that, Mr. Ziadat joined Arab Banking Corporation (Jordan) as Senior Internal Auditor, where during the said period he mingled across many positions until holding the current position as SVP/ Head of Internal Audit.

Mr. Khaled Nassraween
SVP / Head of Compliance

Secretary of the Board's Compliance Committee

B.Sc. in Accounting, University of Jordan, 1985.

Certified Compliance Officer/ Fellow of the American Academy of Financial Management (FAAFM), 2006.

Certified Anti-Money Laundering Specialist. Fellow of ACAMS, 2011.

Mr. Nassraween had worked across many positions in External Audit companies during the period 1985 till 1991, following which he Joined Cairo Amman Bank and worked in the Audit Department until 1998. Thereafter, Mr. Nassraween joined Bank of Jordan as Head of following up Audit's Report Unit until 2004 when he joined the Arab Banking Corporation (Jordan) as the Head of Compliance, the role which he continues to assume to this date.

Mrs. Eman Abu Hait
SVP/ Head of Risk Management

B.Sc. in Banking and Financial Science, Yarmouk University, 1996.

Ms. Eman Abu-Hait built an extensive career in Risk Management at Cairo Amman Bank, where her tenure spanned over 25 years. Ms. Abu-Hait's career grew in Cairo Amman Bank where it culminated by being appointed as Credit and Market Risk Manager in 2007. In 2013, Ms. Abu-Hait moved to the Arab Banking Corporation (Jordan) as Risk Department Manager, until 2017 when she was appointed as the Bank's Head of Risk Management.

EXECUTIVE MANAGEMENT

Mrs. Yara Baddar
SVP / Head of Human Resources

Secretary of the Board's Nominations and Compensation Committee

Secretary of the Board's Corporate Governance Committee

Master's in Business Administration (MBA), University of Manchester, 2017.

M.Sc. HR & Industrial Relations, University of Manchester, 2008.

B. Sc. In English & Italian Languages and Literature, University of Jordan, 2006.

Mrs. Baddar began her career in HR in 2007 when she joined KADDB as a Training and Development Specialist. She later moved to eSense Software as a Training Lead, and later joined ABC Investments as HR Manager and Acting Head of Administration in 2010. Mrs. Baddar subsequently moved to Bank ABC in Jordan as Head of Training & Organisational Development in 2012, with her career progressing until assuming the role of Head of HR in September 2019.

Mr. Nabeel Qazzaz
SVP / Chief Credit Officer

MA in Accounting & Finance, Arab Academy for Banking and Financial Sciences, 2000.

BA in Banking and Financial Sciences, Yarmouk University, 1995.

Mr. Qazzaz started his career in banking with Arab Bank in 1995 where his career progressed across several departments, the majority being at the Credit Department. In 2010, he moved to Capital Bank of Jordan as the Corporate Banking Department Manager after which he joined Bank ABC in Jordan in 2012 as the Credit Review Department Manager. In March.2019, Mr. Qazzaz became Acting Chief Credit Officer until December 2019 when he was appointed as the Bank's Chief Credit Officer.

Mr. Husam Liswi
SVP/ Head of Operations Management

B.Sc. in Accounting & Business Administration, University of Jordan, 1986.

Mr. Liswi started his career in the banking sector in 1989 when he joined Arab Bank. Mr. Liswi built his career in several departments, culminating in becoming VP / Head of Centralized Trade Finance Services in 2006, then Head of Operations Department in Arab Bank – Algeria in 2010. In 2015, Mr. Liswi joined the Arab Banking Corporation (Jordan) as FVP/ Banking Operations, and he was appointed as SVP / Head of Operations in 2016.

Mrs. Aida Saeed
SVP / Head of Consumers Credit

MBA in Management, University of Jordan, 2001.

BA in Management, University of Jordan, 1994.

Mrs. Saeed joined Bank ABC in Jordan in 1995 where her career progressed across several departments, the majority being in the Consumers Credit Department. In 2009, Mrs. Saeed became the Retail & Credit Risk Department Manager. In October 2015, she became the Acting Head of Consumers Credit Department and was appointed as FVP / Consumers Credit Department in 2016. Mrs. Saeed took over as SVP / Consumers Credit Department in 2018.

Mr. Fahed Ibrahim
SVP / Head of Treasury

B.Sc. in Economic, Al-Yarmouk University, 1998, Chartered Financial Analyst (CFA), 2014.

Mr. Fahed joined Bank ABC in Jordan in 1998 where his career progressed across several positions in the Treasury Department. In October 2018, Mr. Fahed assumed the role Acting Head of Treasury until January 2020 he was appointed as Head of Treasury.

Dr. Ali Etawi
SVP / Head of Information Technology

PhD in Mathematics, University of Jordan, 2022.

Master's in Mathematics, Al Albait University, 1997.

B.Sc. in Mathematics, Mo'tah University, 1994.

COBIT5 Foundation Certificate, 2017.

ITIL Certificate, 2007.

Dr. Etawi started his career as a team leader in R&D department with Batelco during the years 1999 – 2002, then he moved to ABC Investments covering several posts in the period of 2002 to 2009. In 2009 he joined Bank ABC in Jordan as Systems & Applications Development Manager, In May 2021, Dr. Etawi assumed the role Acting Head of Information Technology, until March 2022 he was appointed as Head of Information Technology.

Mr. Fadi Al- Rabadi
SVP/ Chief Financial Officer

CPA , United States of America, 2017

B. Sc. In Accounting, University of Jordan, 1999, Jordan.

Mr. AlRabadi had an intensive experience in financial and managerial accounting at Standard Chartered Bank where his tenure spanned around 9 years, where his last position was Financial Controller. In 2009 he moved to Invest Bank (Jordan) as a Head of Managerial Accounting till February 2012. After that, Mr. Al-Rabadi joined the Arab Bank Group as the Head of Financial Planning and Budgeting from February 2012 till May 2015.

In 2015, Mr. Al- Rabadi joined Arab Banking Corporation (Jordan) where his career progressed across Retail department. In 2019 Mr. Al- Rabadi became the Finance control Manager, until December 2023 he was appointed as the Bank's Chief Financial Officer.

Mr. Faisal Abu Znemah
FVP/ Head of Legal Affairs

The Secretary of the Board of Directors

Secretary of the Board's Audit Committee

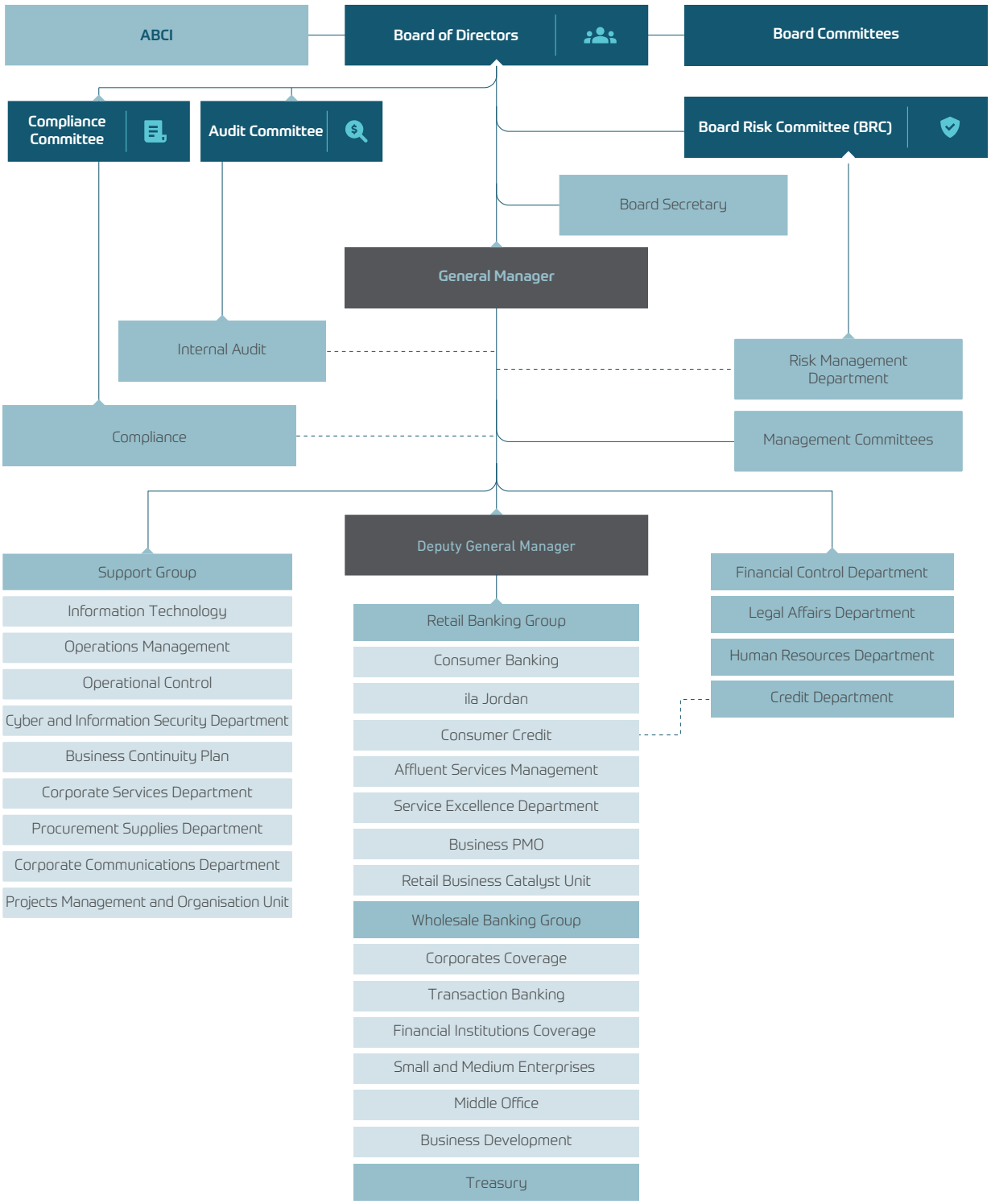
B.Sc. in Law, Babel University, 1996, Iraq.

Mr. Abu Znemah started his career as a legal trainee during the years 1997 – 1999, followed by employment as a freelancer lawyer until 2001, when he worked for the Housing Bank for Trade and Finance as a lawyer and legal advisor until 2006. Thereafter, Mr. Abu Znemah joined the Arab Banking Corporation (Jordan) as lawyer and legal advisor until June 2017 when he was appointed as the acting Head of the Legal Affairs Department and was appointed as the Head of the Legal Affairs Department in 2018. In September 2019, he became the Secretary of the Board of Directors of the Arab Banking Corporation (Jordan) in addition to his current role.

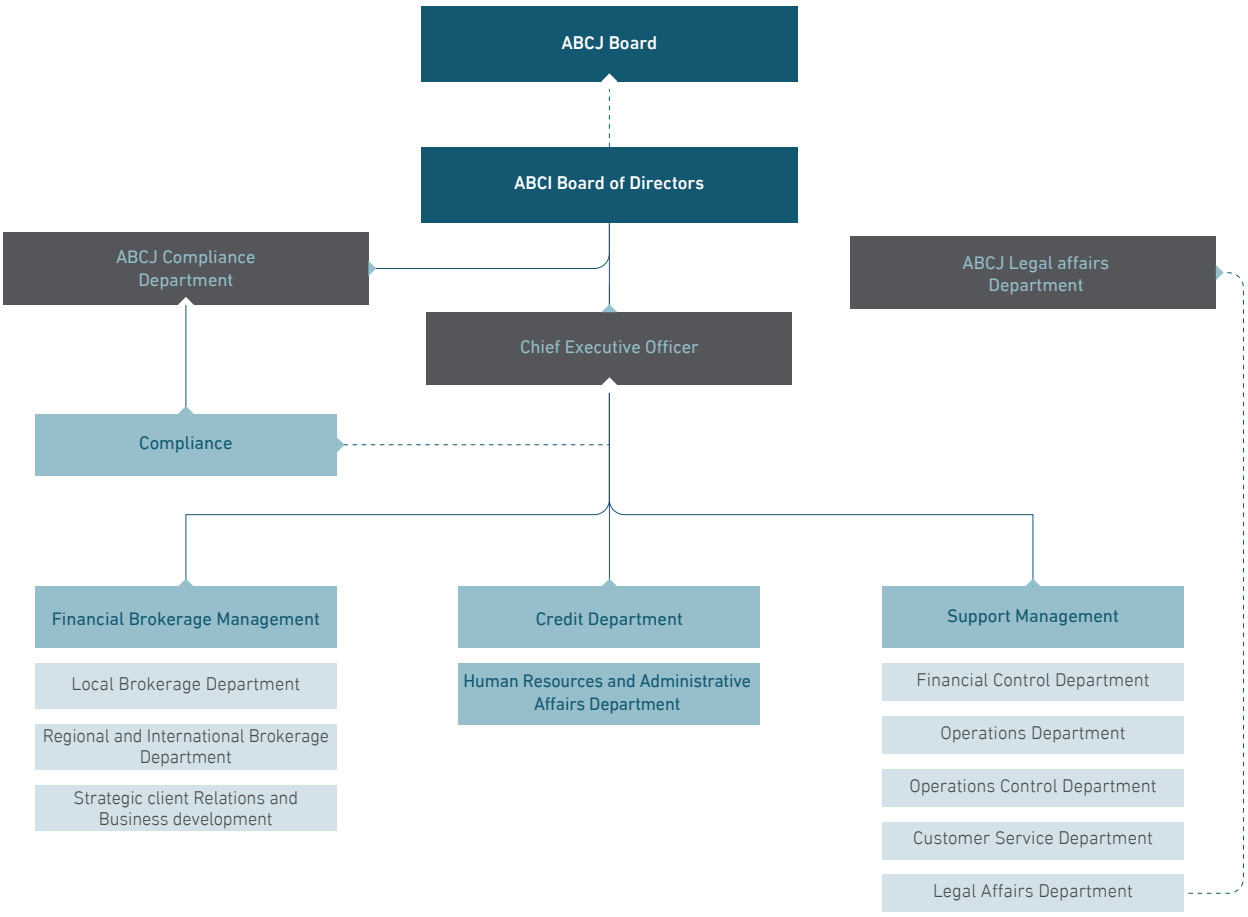
MAJOR SHAREHOLDERS OWNING 5% OR MORE OF BANK ABC IN JORDAN SHARES

Name	Nationality	Number of shares	%	Number of shares	%
Arab Banking Corporation (B.S.C.), Bahrain	Bahraini	**95,679,285**	86.981	95,679,285	86.981

BANK ABC IN JORDAN
ORGANISATIONAL CHART



ABC INVESTMENTS (ABCI) **ORGANISATIONAL CHART**



REVIEW **OF OPERATIONS**

Directors' Report on the Bank's Business Results in 2023

The Board of Directors of Bank ABC in Jordan is pleased to extend its thanks and appreciation to the Bank's shareholders and present to you the financial statements for 2023, as well as Bank's achievements and activities and the services and products offered during the previous year.

Financial Results

Bank ABC in Jordan continued to maintain a solid and sound financial position, as capital adequacy ratio reached 17.2% and financial leverage ratio reached 9.6%, which are significantly higher than the ratios required by the Central Bank of Jordan. Furthermore, the financial results for 2023 show that the Bank has achieved good financial results, as net profit after tax reached JD5 million, compared to JD6.7 million in the previous year, total income reached JD46.2 million, compared to JD43.1 million in 2022 and interest and banking commissions reached JD42.1 million, compared to JD39.4 million in 2022.

As for its financial position, the Bank's assets in 2023 increased by 3.3% to JD1.40 billion, shareholders' equity reached JD165 million, compared to JD164 million in 2022, return on equity reached 3% and return on assets reached 0.36%.

Customer deposits by the end of 2023 increased by 4.12% to JD877 million, compared to JD842 million in the previous year, with current and savings accounts making up 14.13% of total customer deposits; which reflects customers' trust in, and strong relationship with, the Bank. This growth helped maintain a healthy liquidity ratio of 126% by the end of 2023.

Credit Facilities Portfolio

The net credit facilities portfolio in 2023 reached JD763 million, compared to JD766 million in the previous year. The Bank also continued its efforts to improve the quality of the portfolio by closely monitoring all facilities accounts and taking the necessary actions to address accounts with indicators of possible default.

Retail Banking

Bank ABC in Jordan continued to offer a variety of banking services and products that meet the needs of its customers in various sectors and groups.

Through Retail Banking Group, the Bank developed its existing products and amended its policies in order to meet market requirements and serve all groups of society, such as personal, housing, car loans, preapproved and prepaid credit cards, in addition to developing new products in line with the needs of various groups, such as the "Card for Card" programme, while achieving real balance between retail facilities portfolios development and related risk management. The Bank also continued to serve account holders and cater for their needs with high quality that meets their expectations.

In an effort to keep pace with rapid technological and digital developments and to serve customers in a seamless and timely manner, the Bank launched several new products and services through the 'ila' app to help meet the needs of various groups of retail customers. These include, but are not limited to, the ila Blue Credit Card, deposit accounts with competitive interest rates, multi-currency accounts, and payment via Apple Pay. Furthermore, 'ila' has played a significant role in supporting the local community by co-sponsoring initiatives such as the Petra Lights Festival, Go Green Against Cancer and the horse racing tournament with Al Saheel Equestrian Centre. The Bank also launched several marketing campaigns on digital screens and billboards in cooperation with social media influencers and in the Boulevard / Abdali, where participants received cash rewards; which helped promote 'ila' among different age groups.

In the same context, the Bank developed its other digital services and encouraged customers to use them, such as its online banking platform, ABC Digital, which allows customers to conduct their banking transactions remotely in a convenient and secure manner. The Bank also developed the Visa Credit Card Interactive Easy Payment Program (IEPP), which allows customers to pay for their purchases in installments over the period they see fit at preferential interest rates. On the other hand, some ATMs were relocated to more strategic locations.

On a different note, the Bank intensified its focus on social media throughout 2023, due to its significant role in communicating and interacting with the public. The Bank launched interactive campaigns via its official Facebook and Instagram accounts, such as the Huzzerat Ramadan campaign, which invited the public to subscribe to the Bank's pages and qualify for many cash prizes and resulted in the increase in the number and interaction of fans and followers. In addition, the Bank launched campaigns for Visa Credit Card holders, such as the Cash Back and Double Your Loyalty Points campaigns, which significantly increased the use of cards.

It is noteworthy that Retail Banking Group comprises Retail Loans, Collections, Branch Management, Business Development, Product Development, Marketing, Sales, and 'ila' Jordan Digitisation departments. Through these functions, the Bank has been able to offer a variety of distinctive services that are designed to meet the banking needs of individuals from all socio-economic groups. Furthermore, Retail Banking Group has enabled the Bank to acquire new customers and strengthen the loyalty of existing ones. This helped the Bank achieve significant growth in sales and improve customer experience, which translated into an increase in profits.

Wholesale Banking

Wholesale Banking Group comprises Large Enterprises, Small and Medium Enterprises, Financial Institutions, Cash Management and Trade Finance departments.

The Group offers a distinctive set of comprehensive banking products and services that cater to the activities and needs of the Bank's customers across various economic sectors, as well as small, medium and large enterprises in Jordan and abroad, through the network of local and international branches of the Bank ABC Group, in addition to a network of corespondent banks in several countries.

In line with the Bank's, Wholesale Banking Group' strategy is focused on expanding its customer base by attracting customers from promising economic sectors, while upholding the quality of the credit portfolio. The Group also aims to grow the number of operating accounts and prioritise trade finance and other commission-based facilities. Furthermore, it seeks to enhance its digital channels and grow the volume of transactions carried out through these channels by enabling customers to conduct financial transactions at their convenience. The Group will continue to update existing services and launch new ones to adapt to the rapidly evolving business environment.

Treasury

Treasury offers a range of services to individual and corporate customers that meet their various financial requirements, including foreign exchange, money market, capital market and safe custody of their securities, in addition to various investment solutions to hedge for market risks of fluctuations in exchange and interest rates.

In light of the challenges faced by the local and global markets in 2023 as a result of the rapid increases in interest rates, Treasury was able to manage the Bank's liquidity effectively by providing the Bank's financing needs, while continuing to fulfill its responsibility in terms of managing interest rate and foreign exchange risks in order to keep them within the Group's adopted risk appetite. Furthermore, Treasury continuously strives to offer a variety of new services as part of its strategy to deliver outstanding services that meet the various needs of the Bank's customers.

Risk Management and Internal Systems' Control

Bank ABC in Jordan has solid and effective control systems in place and follows a prudent policy in terms of credit granting, nonperforming debt management, provisions policy, expected credit loss volume and liquidity and risk management, in addition to policies relating to the business continuity plan management to ensure the continuity of the Bank's businesses during times of crisis.

The Bank's Board of Directors has emphasised the importance of the control function by setting up several committees of the Board of Directors, including the Risk Management Committee, Corporate Governance Committee, Nomination and Remuneration Committee, Compliance Committee, Audit Committee and IT Governance Committee, all of which have clear control duties that assist the Bank in periodically assessing the control function in an effective manner.

In 2023, the Risk Management Department continued to implement the risk strategy developed and approved by the Bank's Board of Directors for the years 2021-2023. This included ways of measuring and managing all financial and nonfinancial risks; including credit risks, market risks, liquidity risks, interest rate risks, concentration risks, operational risks and IT risks, in addition to ensuring that the business results relating to these risks remain within the Bank's acceptable risk appetite and relevant regulations.

In addition, the Bank was able to maintain a solid capital base by maintaining regulatory capital adequacy and liquidity ratios that exceed the minimum ratios required by the Central Bank of Jordan and Basel Committee. The Bank also conducted stress testing (sensitivity analysis) and scenario testing in accordance with the instructions of the Central Bank of Jordan.

In 2023, the Bank also continued to apply IFRS 9 requirements in accordance with relevant instructions of the Central Bank of Jordan, by implementing the methodology approved by the parent organisation in Bahrain after amending the same in line with the requirements of the Central Bank of Jordan and directions and guidance of the parent organisation in Bahrain in this respect.

Technological Developments

The IT Department of Bank ABC in Jordan has succeeded in raising the Bank's technological readiness to a highly competitive level, in order to better serve the Bank's various departments and enable them to provide innovative, modern and smart services.

The multiplicity of the services offered by the IT Department makes them hard to quantify; as it has been keeping pace with the technological developments since the Bank's establishment. The Bank's activities and services are continuously evolving in order to reach all customers anywhere and anytime in Jordan and abroad, and to meet their needs in the most efficient and effective manner.

The IT Department strives to ensure all procedures, functions and activities of the Bank are automated and digitised, while keeping up with the latest technological developments.

Furthermore, the IT Department continuously develops and increases the effectiveness of the infrastructure of servers and computer hardware and systems to

REVIEW **OF OPERATIONS**

facilitate a safe business environment, while ensuring the continuity and sustainability of the Bank's services in Jordan in a flexible manner. This enables the Bank to carry out its activities effectively through all its channels and branches. In addition, the IT Department works tirelessly to minimise cyber and operational risks and design and build more computer systems using modern programming languages.

The IT Department's work is not limited to building computer systems, but also includes providing various services to all departments, such as the provision of computerised systems, technical support, network support and computer hardware and accessories.

Human Capital Management and Focus on Talent

Driven by its firm belief that human resources is the cornerstone of business success, and to keep pace with market realities and conditions as well as challenges of recruiting and retaining outstanding talent, Bank ABC in Jordan has updated a number of its policies relating to human resources in order to encourage the retention of competent staff.

The Bank also amended and updated the organisational structures of a number of departments as well as relevant job description cards in line with work requirements. This ensures a more fluid flow of work and better advancement opportunities for all employees, while ensuring compliance with the requirements of regulatory and control bodies.

The Bank's Human Resources Department also facilitated the continuity of self-development and enhancement of knowledge and competencies, increasing training programmes to include employees of all job levels and aligning them with new developments in the banking sector and related laws and regulations. This resulted in the optimal utilisation of staff capabilities and was reflected in their overall job performance. Moreover, awareness raising programmes were organised for all Bank employees, focusing on combating money laundering and financial crimes, penalties, information security and protection, business continuity, combating bribery and corruption and cyber-security, in order to avoid associated risks using all available means, while taking prior precautions to mitigate such risks and related damages and penalties.

Aligned with its commitment to fully and thoroughly implement the instructions of control bodies, particularly the Central Bank of Jordan, the Bank continued to execute its executive action plan in order to implement the instructions of the Corporate Governance Code. This entailed updating and implementing all the required policies in accordance with this Code, in addition to taking the necessary steps to fulfil the requirements of the Governance and Management of Information and Related Technologies Instructions.

Business Continuity Management

Bank ABC in Jordan continuously strives to be a leading bank that offers customers uninterrupted banking services by adopting a crisis management and business continuity strategy that includes a set of objectives based on the Bank's strategic vision that will be completed during the year.

Furthermore, the Bank periodically updates its business continuity plan, which is based on a set of operational principles and rules that ensure immediate response to emergencies in the event of any crisis or disaster, in order to continue offering reliable and highly efficient banking services that ensure customer satisfaction. This is achieved by communicating with relevant employees in various departments of the Bank to update the business continuity plans and review the results of the business impact analysis.

Given the continuous development of the banking services provided by the Bank to its customers in 2023, and based on the results of the banking operations impact analysis, the Bank has equipped a new business continuity center to accommodate the new banking operations and ensure service continuity in times of crisis and disaster. The Bank's annual business continuity test was carried out from this new center, the results of which were excellent and within the required performance indicators. It is worth noting that the work on the new business continuity plan was based on the instructions of the Central Bank of Jordan and international best practices in this field.

Cyber and Information Security

Cyber threats are among the key threats associated with the digital transformation of the banking sector. Therefore, Bank ABC in Jordan is committed to developing a prudent cyber-security strategy to achieve its strategic aspirations in a secure banking environment.

In accordance with the applicable legislations of the legislative bodies and Central Bank of Jordan (CBJ), the Bank developed the Cyber and Information Security Strategic Progarmme for 2023 - 2026, which aims to support and protect the key pillars of information security and protection, minimise cyber threats to banking operations and protect the financial and personal data of customers and employees, based on the CBJ Cybersecurity Framework for Jordan's financial sector and international best practices and standards in this field.

The Bank continued to ensure that its employees are provided with the best training courses and workshops, in order to develop the necessary technological and technical skills to properly carry out their duties, in addition to delegating relevant employees to participate in local and international conferences relating to cyber-security and information protection.

Share Performance in 2023

Opening Price	0.78	Day Trading Volume High	109,759 shares
Closing Price	0.73	Day Trading Volume Low	1 share
Change	%6.41-	High Days	54
Year High	0.83	Low Days	60
Year Low	0.71	Days without Change	105
Trading Volume	JD 1,278,344		
Traded Shares	1,695,253 shares		
Trading Days	219 days		

- The Arab Banking Corporation (Jordan) share year-end price for 2023 was JD0.73/ share, with a decline of JD0.05/ share compared to the JD0.78/ share at the beginning of the year.
- The highest share price was JD0.83/ share on 12/2/2023, and the lowest share price was JD0.71/ share on 9/11/2023.
- The share trading volume was JD1,278,344, and the number of traded shares was 1,695,253 shares through 1,671 contracts traded in 219 days.
- The day high was 109,759 shares, and the day low was 1 share.
- The share closing price was high in 54 days and low in 60 days, and the number of days without change was 105 days.

ABC Investments (ABCI)

The Arab Co-operation for Financial Investments Co. is a wholly-owned subsidiary of the Arab Banking Corporation (Jordan) and its investment arm in the Amman Stock Exchange, regional and international financial markets, and is licensed by the Jordan Securities Commission (JSC) to offer all financial brokerage services in local, regional and international markets. Since its establishment, the Company has maintained a leading position among brokerage companies in Jordan, and is characterised by its diversified products, professional team and leading services. Its proposition includes conducting brokerage activities on behalf of its customers in all markets worldwide, in addition to providing financial advice for investment in securities and management of new issues of securities.

The Company has continued its progress as a key brokerage company in the local market, in line with its vision of becoming the first choice for investment and brokerage locally, regionally and globally, despite the ongoing difficulties and challenges in the region in light of the global crisis. In line with this vision and leadership in product offerings, the Company continues to develop its product base and update its systems to provide its customers with the best services and maximise their options in order to meet all their investment needs.

Despite the difficult conditions in the region and worldwide, particularly those faced by the financial sector in general and the Jordanian financial market in particular, the Company was able to maintain its profit pattern and achieved JD4.3 million in total revenue in 2023. The Company's management achieved its objectives by efficiently managing its assets and liabilities and minimisng its credit, liquidity and profitability risks, so as to increase its profits and maintain the level of services provided to its customers.

Despite the fierce competition in the local market, the Company maintained its position as a leading brokerage company in the financial sector; ranking second among the 53 brokerage companies operating in the Amman Stock Exchange, and maintained a market share of 6.8%, with a trading volume of JD198 million in 2023, thanks to the Company's leading policy in the field of brokerage and investment management, its consistent services and its efforts to develop its product base and meet all the investment needs of its customers, thus enhancing their trust in it and encouraging them to continue to invest through it.

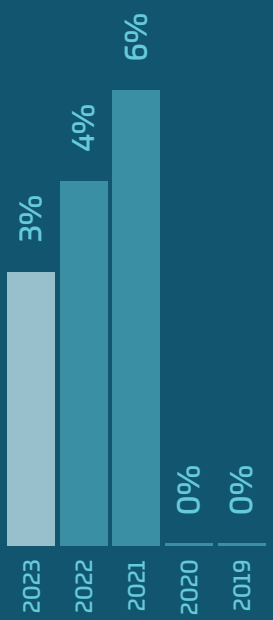
The Company also continued its hedging policy, making sure that it maintains the required liquidity throughout the previous year, and continued to provide the best services to its customers at all times, which helped the Company run its operations according to its cash flow management plan. The Company also ensured the application of International financial Reporting Standards, particularly IFRS 9, which addresses expected credit loss.

Social and Developmental Activities and Events Campaigns and Sponsorship

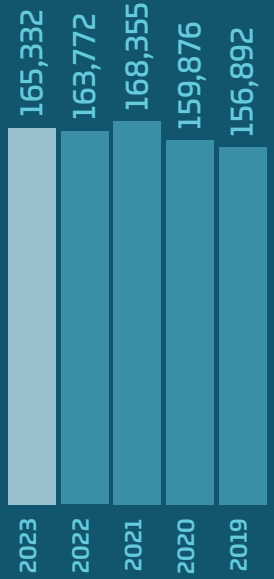
Recognising the need to protect the environment and ensure its safety as an issue of global interest, the Bank made this a top priority by developing environment-friendly products, such as the Green Finance campaign to finance the purchase of electric cars, which contributed to a significant growth in sales.

Supporting the local community is as important to the Bank as supporting its customers, which was evident in co-sponsoring numerous social, sports and development events and activities including, but not limited to, the Football League and Independence Day Celebration organised by Cambridge High School, the Colour it with Hope Association for Children with Down Syndrome and the Royal Jordanian Air Force Women's Club (RJAFWC). In addition, the Bank participated in Financial Sector Job Fair in cooperation with INJAZ Organisation to enhance the abilities and innovativeness of Jordanian youth, encourage their entrepreneurial spirit and teach them about the available economic opportunities in the local market.

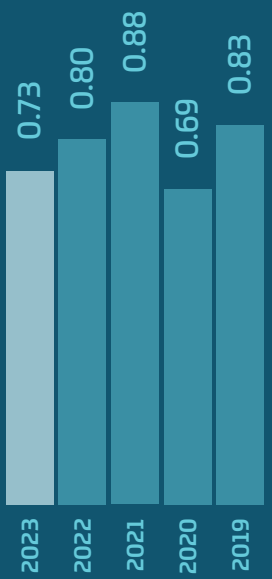
3%
Dividends Per Share



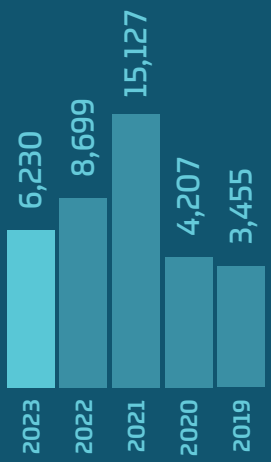
165,332
Total Shareholders' Equity



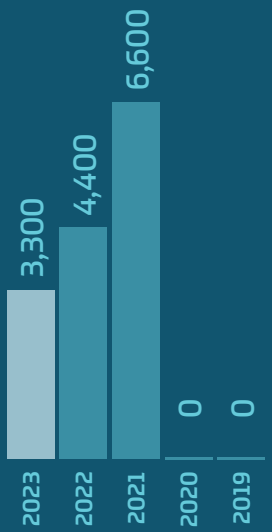
0.73
Share Price



6,230
Pretax Profits or (loss)



3,300
Distributed Profits



THE BANK'S MAIN FINANCIAL INDICATORS BETWEEN 2019 -2023

Statement / year	2023	2022	2021	2020	2019
Pretax Profits or (loss)	**6,230**	8,699	15,127	4,207	3,455
Distributed Profits*	**3.300**	4,400	6,600	-	-
Dividends Per Share	**%3**	%4	%6	%0	%0
Total Shareholders' Equity	**165,332**	163,772	168,355	159,876	156,892
Share Price	**0.73**	0.80	0.88	0.69	0.83

* 2023 proposed dividends

Analysis **of the Bank's Financial Ratios and Business Results during the Fiscal Year**

Main Financial Ratios	2023 (%)	2022 (%)
Return on average equity (RoE)	**3**	4
Return on average assets (RoA)	**0.36**	0.5
Operating expenses/ total income	**64**	64
Direct credit facilities/ customers' deposits and margin accounts	**82.8**	85.9
Capital adequacy*	**17.20**	17.46
Non-performing facilities/ total direct facilities	**10.4**	9.8
Employee profitability (JD,000)	**8.6**	12.4

* Calculation of capital adequacy is in accordance with Basel III.

KEY FUTURE **DEVELOPMENTS AND THE BANK'S FUTURE PLAN FOR 2024, INCLUDING BOARD OF DIRECTORS' PROJECTIONS FOR BUSINESS RESULTS FOR 2024**

In line with its future vision and strategy for the upcoming years, the Bank aspires to achieve the following objectives:

- Maximising shareholders' equity and return.
- Strengthening the Bank's capital base and financial position.
- Enhancing Bank's competitiveness and increasing its market share in the banking sector.
- Building a wide customer base and focusing on attracting low-cost and stable deposits.
- Expanding the Bank's activities in Jordan and growing its business throughout the Kingdom.
- Increasing the Bank's retail loans portfolio and its market share in this area.
- Expanding SME banking services and increasing financing for self-employed customers.
- Expanding the corporate facilities portfolio notwithstanding the quality of this portfolio, to better manage the size of non- performing loans by maintaining a subdued level of risk.
- Expanding the qualitative and quantitative investment services to service local and international investors.
- Modernising certain branches to provide better customer service.
- Utilising Bank ABC's multinational network to provide wider packages of banking services.
- Increasing efficiency whilst maintaining the highest quality of services.
- Keeping pace with technological and digital advances and utilising modern technology to ensure better services.
- Keeping pace with digital services and advancements through launching the latest technologies for the Bank's customers, such as 'ila' a digital application available on smart phones only. The launch of 'ila' in Jordan came with the aim of expanding the Bank's market reach to facilitate services to non-bank clients facing challenges in benefiting from the banking services, which will contribute to growth and sustainable development in Jordan, in line with the vision of the Board of Directors and instructions of the Central Bank of Jordan aimed at achieving financial inclusion, in addition to other applications.
- Continuation of risk management development in line with the Basel requirements raising awareness on all types of banking risks.
- Strengthening and stimulating our human resources by securing continuous professional development opportunities.
- Increasing training and qualification activities in order to achieve high levels of performance.
- Highlighting competencies and leadership qualities in the Bank's human resources, and working to retain, enhance, develop and polish their abilities and skills in the best possible way.
- Participating in local community development.

Net profit after tax for 2024 is expected to exceed the actual results for 2023 as we plan for the following:

- Growing the net credit facilities portfolio in all sectors to ensure increasing operating revenues, while maintaining the cost of funds within acceptable limits and providing the necessary financing through growing our customer deposits and expanding our customer base to accommodate for such growth.
- Controlling the operating and capital expenses while continuing to implement the automation projects (ila application) to serve customers in an optimal manner in line with the market needs.
- Maintaining the quality of the credit facilities portfolio by diversifying the granting of credit and providing for the necessary and sufficient provisions in line with the instructions of the Central Bank of Jordan.
- Keeping the liquidity and capital adequacy ratios within the acceptable limits set by the Central Bank of Jordan and in accordance with the instructions of the parent organisation in Bahrain.

SHAREHOLDINGS **OF THE CHAIRMAN AND MEMBERS OF THE BOARD**

Name		Nationality	Number of Shares as of	
			31/12/2023	31/12/2022
Arab Banking Corporation (B.S.C.) Bahrain, represented by Mr. Sael Al Waary	Chairman	Bahraini Jordanian	**95,679,285**	95,679,285
Arab Banking Corporation (B.S.C.) Bahrain, represented by Mr. Khalil Nooruddin	Deputy Chairman	Bahraini Bahraini		
Arab Banking Corporation (B.S.C.) Bahrain, represented by Mr. Ismail Mokhtar	Member	Bahraini Tunisian		
Arab Banking Corporation (B.S.C.) Bahrain, represented by Mr. Mohamed AlMaraj	Member	Bahraini Bahraini		
Varner Holdings Limited, represented by Mr. Jawad Sacre	Member	Jersey Lebanese	**694**	694
H.E. Eng. Amer Hadidi	Member	Jordanian	**2,000**	2,000
Mr. Abdulrahim Breish	Member	Libyan	**500**	500
Mr. Ammar Khalil	Member	American	**500**	500
Mrs. Nermeen Nabulsi	Member	Jordanian	**500**	500
Dr. Micheal Nu'man	Member	Jordanian	**3,000**	3,000
Mrs. Suha Ennab as of 10/5/2023	Member	Jordanian	**500**	-

Shareholdings **owned by the Senior Management**

There are no shares owned by the senior management in 2023 and 2022.

Shareholdings **owned by the Relatives of Members of the Board and Relatives of the Senior Management**

Shareholdings owned by the Relatives of the Senior Management

Name		Nationality	Number of Shares as of	
			31/12/2023	31/12/2022
Arwa Muneer Salem Al Madani	Wife of the Head of Compliance	Jordanian	**710**	-

- There are no shares owned by the relatives of any of the board members.
- There are no shares owned by the rest of the relatives of senior management.

ila- the fastest-growing digital mobile only banking app in the region

Launched in Jordan on 25 September 2022, ila is a digital revolutionary, mobile only banking application powered by Bank ABC, MENA's leading international bank. Aided by Artificial Intelligence and Data Analytics, the intuitive app is designed to appeal to and serve a wide range of users from millennials through to older age groups from all segments of society. The app's current offerings include end-to-end digital onboarding, instant virtual card for online transactions, physical debit card, credit card, multi-currency account, a current account without a minimum balance or tenure, "Hassala" a digital saving pot that encourages saving towards financial aspirations and Fixed Deposit accounts with competitive interest rates. Additionally, the ila app enables the users to conduct easy and secure instant transfers and payments using Apple Pay and other local services. The ila app is available for download on Google Play and Apple stores.

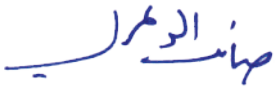
For more information on ila, please visit: www.ilabank.com and follow ila on social media @ilaJordan.



REPRESENTATION **OF THE BOARD OF DIRECTORS**

The Board of Directors of Bank ABC in Jordan represents, as far as it knows and believes, that there are no fundamental issues that could affect the Bank's ability to continue its activity throughout the next fiscal year of 2024. The Board also represents its responsibility for preparing the financial statements; that the information cited in the Board of Directors' Report is in line with the enclosed financial statements; and that the Bank has an effective and efficient Internal Control System. The Board of Directors of Bank ABC in Jordan acknowledge that they have not received personally or any of their relatives any materialistic or in-kind benefits during their work at the Bank and have not disclosed them for the year 2023.

Arab Banking Corporation (B.S.C.) Bahrain, represented by Sael Al Waary
Chairman



Arab Banking Corporation (B.S.C.) Bahrain, represented by Khalil Nooruddin
Deputy Chairman



Arab Banking Corporation (B.S.C.) Bahrain, represented by Ismail Mokhtar
Member



Arab Banking Corporation (B.S.C.) Bahrain, represented by Mohamed Almaraj
Member



H.E. Eng. Amer Hadidi
Member



Nermeen Nabulsi
Member



Abdulrahim Breish
Member



Ammar Khalil
Member



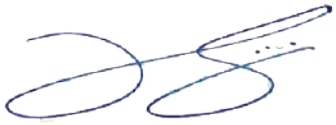
Dr. Micheal Nu'man
Member



Suha Ennab
Member



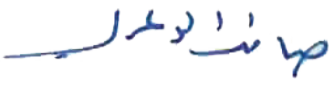
Varner Holdings Limited, represented by Jawad Sacre
Member



Representation of the Authenticity of the Financial Statements

The Management of Bank ABC in Jordan represents the authenticity, accuracy and precision of the information and financial statements cited in this report.

Sael Al Waary
Chairman



George Sofia
General Manager



Fadi Al Rabadi
Financial Controller



FINANCIAL RESULTS





03

INDEPENDENT AUDITOR'S REPORT

Deloitte & Touche (ME) – Jordan
Jabal Amman, 5th Circle
190Zahran Street
Amman 11118, Jordan

Tel: +962 (6) 5502200
Fax: +962 (6) 5502210
www.deloitte.com

Independent Auditor's Report

AM/003305

To the Shareholders of
Arab Banking Corporation
(A Public Shareholding Limited Company)
Amman – The Hashemite Kingdom of Jordan

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Arab Banking Corporation (Jordan) (the "Bank") and its subsidiary (the "Group"), which comprise the consolidated statement of financial position as of December 31, 2023, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in owners' equity and consolidated statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as of December 31, 2023, and its financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as adopted by the Central Bank of Jordan.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing. Our responsibilities under those standards, are further described in the "Auditor's Responsibilities for the Audit of the consolidated Financial Statements" section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants together with the ethical requirements that are relevant to our audit of the Bank's consolidated financial statements in Jordan, and we have fulfilled our other ethical responsibilities. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the current year. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITOR'S REPORT

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Description of the manner of examine of each item below is provided within the audit procedures:

Key Audit Matters	How our audit addressed the key audit matter
1. Allowance for Credit Losses on Credit Facilities As described in Notes 8 to the consolidated financial statements, the Bank had direct credit facilities of JD 763 million as of December 31, 2023 representing 55% of total assets. The total allowance for expected credit losses relating to these facilities was JD 68 million. The determination of the Banks's expected credit losses for credit facilities is a material and complex estimate requiring significant management judgement in the evaluation of the credit quality and the estimation of inherent losses in the portfolio. The financial statement risk arises from several aspects requiring substantial judgement of management, such as the estimation of probabilities of default and loss given defaults for various stages, the determination of significant increase in credit risk (SICR) and credit-impairment status (default), the use of different modelling techniques and consideration of manual adjustments. In calculating expected credit losses, the bank considered credit quality indicators for each loan and portfolio, stratifies loans and advances by risk grade and estimates losses for each loan based upon their nature and risk profile. The Bank's expected credit losses are calculated against credit exposures, according to the requirements of International Financial Reporting Standard 9 Financial Instruments (IFRS 9) as adopted by the Central Bank of Jordan (CBJ). Credit exposures granted directly to the Jordanian Government as well as credit exposures guaranteed by the Jordanian Government are excluded from the determination of the allowance for expected credit losses. In addition, expected credit losses are also adjusted to take into consideration any special arrangements with the Central Bank of Jordan.	We established an audit approach, which includes both testing the design and assessed the operating effectiveness of certain relevant internal controls, over the determination of expected credit losses and risk-based substantive audit procedures. Our procedures over internal controls focused on obtaining an understanding and testing the design and implementation over the process controls around the ECL methodology governance, completeness and accuracy of loan data used in the expected loss models, management review of outcomes, the assignment of borrowers' risk classification, consistency of application of accounting policies and the process for calculating allowances. The primary procedures which we performed to address this key audit matter included, but were not limited to, the following: • For a risk-based sample of individual loans, we performed a detailed credit review, assessed the appropriateness of information for evaluating the creditworthiness and staging classification of individual borrowers and challenged the assumptions underlying the expected credit loss allowance calculations, such as estimated future cash flows, collateral valuations and estimates of recovery. We assessed the consistency of the bank's application of its impairment allowances and governance controls, including assessing key management and committee meetings that form part of the approval process for loan impairment allowances.

The recognition of specific allowances on impaired facilities under the CBJ instructions is based on the rules prescribed by the CBJ on the minimum allowances to be recognized together with any additional allowances to be recognized based on management's estimate of expected cash flows related to those credit facilities.

In calculating expected credit losses, the Bank considered credit quality indicators for each loan and portfolio, stratified credit facilities by risk grades and estimated losses for each facility based upon their nature and risk profile. Auditing these complex judgements and assumptions involves especially challenging auditor judgement due to the nature and extent of audit evidence and effort required to address these matters and therefore this item is considered to be a key audit matter.

- For loans not tested individually, with the assistance of our subject matter experts, we assessed the methodology used to determine the expected credit losses, tested the inputs by agreeing these to supporting documentation, and reperformed the mathematical accuracy of the expected credit loss model. We also challenged key assumptions, inspect the calculation methodology and trace a sample back to source data;

- We evaluated key assumptions such as thresholds used to determine SICR and forward-looking macroeconomic scenarios including the related weighting;

- We evaluated post-model adjustments and management overlays in the context of key model and data limitations identified by the Bank in order to assess these adjustments, and
challenged their rationale;

- We assessed the forward- looking information incorporated into the impairment calculations by involving our specialist to challenge the multiple economic scenarios chosen including the related weighting applied and reconciled the macroeconomic indicators with the respective sources used; and

- We determined if the amount recorded as the allowance for expected credit losses was determined in accordance with the instructions of the Central Bank of Jordan

- We assessed the disclosure in the consolidated financial statements relating to this matter against the requirements of IFRSs.

INDEPENDENT AUDITOR'S REPORT

Key Audit Matters	How our audit addressed the key audit matter
IT systems and controls over financial reporting We identified IT systems and controls over the Bank's financial reporting as an area of focus due to the extensive volume and variety of transactions which are processed daily by the Bank and rely on the effective operation of automated and IT dependent manual controls. There is a risk that automated accounting procedures and related internal controls are not accurately designed and operating effectively. In particular, the incorporated relevant controls are essential to limit the potential for fraud and error as a result of change to an application or underlying data. Unauthorised or extensive access rights cause a risk of intended or unintended manipulation of data that could have a material effect on the completeness and accuracy of financial statements. Therefore, we considered this area as key audit matter.	Our audit approach relies on automated controls and therefore the following procedures were designed to test access and control over IT systems: We obtained an understanding of the applications relevant to financial reporting and the infrastructure supporting these applications. We tested IT general controls relevant to automated controls and computer-generated information covering access security, program changes, data center and network operations. We examined computer generated information used in financial reports from relevant applications and key controls over their report logics. We performed testing on the key automated controls on significant IT systems relevant to business processes.

Other Matter

The accompanying consolidated financial statements are a translation of the original consolidated financial statements, which are in the Arabic language, to which reference should be made.

Other Information

Management is responsible for other information. The other information comprises the other information in the annual report, excluding the consolidated financial statements and the independent auditors' report thereon. We expect that the annual report will be made available to us after the date of our audit report. Our opinion on the consolidated financial statements does not cover the other information, and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted by the Central Bank of Jordan, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exist. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exist, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

INDEPENDENT
AUDITOR'S REPORT

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards procedures.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonable be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Bank maintains proper books of accounts which are in agreement with the consolidated financial statements and we recommend that the General Assembly of the Shareholders to approve these consolidated financial statements.

Deloitte & Touche (M.E) - Jordan

Deloitte & Touche (M.E.)
ديلويت آند توش (الشرق الأوسط)
010101

Amman – Jordan
February 27, 2024

\ 31 December 2023

CONSOLIDATED **STATEMENT OF FINANCIAL POSITION**

	Note	2023 JD	2022 JD
Assets:			
Cash and balances at the Central Bank of Jordan	5	**81,043,680**	59,743,320
Balances at banks and financial institutions	6	**162,385,311**	116,654,302
Deposits at banks and financial institutions	7	**17,751,843**	7,532,571
Direct credit facilities at amortised cost -net	8	**763,168,055**	766,122,745
Financial assets at fair value through other comprehensive income	9	**94,274,301**	145,260,349
Financial assets at amortised cost	10	**181,452,946**	140,522,255
Financial assets at amortised cost - Mortgaged	11	**30,989,923**	47,518,001
Property and equipment - net	12	**32,960,325**	33,059,659
Intangible assets - net	13	**1,080,401**	1,254,297
Right of use assets	14	**2,905,112**	2,926,289
Deferred tax assets	21/B	**8,048,059**	8,071,489
Other assets	15	**19,886,499**	22,133,962
TOTAL ASSETS		**1,395,946,455**	1,350,799,239
Liabilities and Owners' Equity			
Liabilities:			
Banks and financial institutions deposits	16	**168,835,525**	138,696,896
Customers' deposits	17	**876,623,475**	841,914,436
Cash margins	18	**44,981,313**	50,294,894
Borrowed funds	19	**102,921,397**	124,757,215
Sundry provisions	20	**3,040,749**	3,096,646
Income tax provision	21/A	**2,979,746**	2,283,188
Deferred tax liabilities	21/B	**437,484**	461,371
Lease contracts liabilities	14	**2,828,075**	2,819,028
Other liabilities	22	**27,967,142**	22,703,554
TOTAL LIABILITIES		**1,230,614,906**	1,187,027,228
Owners' Equity			
Bank shareholders' equity:			
Issued and paid-up capital	23	**110,000,000**	110,000,000
Share premium	23	**66,943**	66,943
Statutory reserve	24	**31,385,324**	30,762,318
Voluntary reserve	24	**197,281**	197,281
Fair value reserve - net	25	**(122,820)**	(1,081,938)
Retained earnings	26	**23,804,821**	23,827,407
TOTAL OWNERS' EQUITY		**165,331,549**	163,772,011
TOTAL LIABILITIES AND OWNERS' EQUITY		**1,395,946,455**	1,350,799,239

THE ACCOMPANYING NOTES FROM (1) TO (47) CONSTITUTE AN INTEGRAL PART OF THESE CONSOLIDATED FINANCIAL STATEMENTS AND SHOULD BE READ WITH THEM AND WITH THE AUDIT REPORT.

CONSOLIDATED **STATEMENT OF PROFIT OR LOSS**

	Note	2023 JD	2022 JD
Interest income	28	**96,530,989**	70,259,932
Interest expense	29	**(57,236,868)**	(34,057,000)
Net Interest Income		**39,294,121**	36,202,932
Net commission income	30	**2,782,087**	3,176,573
Net Interest and Commission Income		**42,076,208**	39,379,505
Gain from foreign currencies	31	**1,058,626**	926,291
Gain from financial assets at fair value through other comprehensive income	32	**40,675**	29,500
Other income	33	**2,989,727**	2,771,085
Total Income		**46,165,236**	43,106,381
Expenses			
Employees' expenses	34	**15,786,698**	15,088,364
Depreciation and amortisation	12 & 13 & 14	**3,511,492**	3,600,874
Other expenses	35	**10,279,830**	9,052,186
Provision for expected credit loss on financial assets	27	**10,413,052**	6,943,350
Sundry provisions	20	**(55,897)**	(277,488)
Total expenses		**39,935,175**	34,407,286
Profit for the period before income tax expense		**6,230,061**	8,699,095
Income tax expense	21/A	**(1,229,641)**	(2,029,263)
Profit for the Year		**5,000,420**	6,669,832
		Fills/JD	Fills/JD
Basic and diluted earnings per share for the period attributable to the Bank's Shareholders	36	**0.045**	0.061

THE ACCOMPANYING NOTES FROM (1) TO (47) CONSTITUTE AN INTEGRAL PART OF THESE CONSOLIDATED FINANCIAL STATEMENTS AND SHOULD BE READ WITH THEM AND WITH THE AUDIT REPORT.

CONSOLIDATED **STATEMENT OF COMPREHENSIVE INCOME**

	2023 JD	2022 JD
Profit for the year	**5,000,420**	6,669,832
Other comprehensive income items which may be reclassified to profit or loss in the subsequent year:		
Net Change in valuation reserve of financial assets at fair value through other comprehensive income after tax – Debt Instruments	**963,410**	(5,139,034)
(Losses) gain in the fair value of derivatives	**(50,684)**	372,764
Items not to be subsequently transferred to statement of profit or loss:		
Net Change in valuation reserve of financial assets at fair value through comprehensive income after tax – Equity Instruments	**46,392**	113,854
Total Comprehensive Income for the Year	**5,959,538**	2,017,416

THE ACCOMPANYING NOTES FROM (1) TO (47) CONSTITUTE AN INTEGRAL PART OF THESE CONSOLIDATED FINANCIAL STATEMENTS AND SHOULD BE READ WITH THEM AND WITH THE AUDIT REPORT.

CONSOLIDATED **STATEMENT OF CHANGES IN OWNERS' EQUITY**

			Reserves				
	Issued and Paid-up Capital JD	Share premium JD	Statutory JD	Voluntary JD	Fair Value JD	Retained Earnings JD	Total JD
For the Year Ended December 2023 ,31							
Beginning balance for the year	**110,000,000**	**66,943**	**30,762,318**	**197,281**	**(1,081,938)**	**23,827,407**	**163,772,011**
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**959,118**	**5,000,420**	**5,959,538**
Transferred to reserves	**-**	**-**	**623,006**	**-**	**-**	**(623,006)**	**-**
Dividends distribution	**-**	**-**	**-**	**-**	**-**	**(4,400,000)**	**(4,400,000)**
Ending Balance for the Year	**110,000,000**	**66,943**	**31,385,324**	**197,281**	**(122,820)**	**23,804,821**	**165,331,549**
For the Year Ended December 2022 ,31							
Beginning balance for the year	110,000,000	66,943	29,892,408	197,281	3,570,478	24,627,485	168,354,595
Total comprehensive income for the year	-	-	-	-	(4,652,416)	6,669,832	2,017,416
Gain from the sale of financial assets through other comprehensive income	-	-	-	-	-	-	-
Transferred to reserves	-	-	869,910	-	-	(869,910)	-
Dividends distribution	-	-	-	-	-	(6,600,000)	(6,600,000)
Ending Balance for the Year	110,000,000	66,943	30,762,318	197,281	(1,081,938)	23,827,407	163,772,011

- An amount of JD 8,048,059 as of December 2023 ,31 is restricted against deferred tax assets (JD 8,071,489 as of December 2022 ,31), including the capitalisation or distribution to the extent of what has been actually realised according to the instructions of the Jordan Securities Commission and the Central Bank of Jordan.
- The retained earnings include an amount of JD 2,761 as of December 2023 ,31 (JD 2,761 as of December 2022 ,31) which is restricted, and representing the impact of IFRS (9) early adoption, except for the amounts realised through the actual sales transactions.

CONSOLIDATED **STATEMENT OF CASH FLOWS**

		2023 JD	2022 JD
Operating Activities:			
Profit before income tax		**6,230,061**	8,699,095
Adjustments for non-cash items			
Depreciation and amortisation	12 & 13 & 14	**3,511,492**	3,600,874
Provision for expected credit loss on financial assets	27	**10,413,052**	6,943,350
(Gain) from sale of assets seized by the Bank		**(52,999)**	(55,711)
Accrued interests		**6,807,126**	(1,077,137)
(Gains) losses from sale property and equipment		**(76,786)**	618,803
Sundry provisions		**(55,897)**	(277,488)
Exchange rate fluctuation effect on cash and cash equivalents		**183,208**	84,432
Profit before changes in assets and liabilities		**26,959,257**	18,536,218
Changes in assets and liabilities:			
(Increase) decrease in deposits at banks and financial Institutions maturing after three months		**(10,219,500)**	16,449,500
(Increase) in direct credit facilities at amortised cost		**(7,509,891)**	(79,839,614)
(Increase) decrease in other assets		**(546,157)**	7,227,999
Increase in banks' and financial institutions' deposits maturing after three months		**37,390,358**	1,604,642
Increase in customers' deposits		**34,709,039**	119,219,561
(Decrease) in cash margins		**(5,313,581)**	(2,467,289)
Increase (decrease) in other liabilities		**1,417,917**	(670,024)
Net Cash Flows from Operating Activities before income tax and paid provisions		**76,887,442**	80,060,993
Income tax paid	21	**(1,121,387)**	(5,031,415)
Sundry provisions paid	20	**-**	(4,690)
Net Cash Flows from Operating Activities		**75,766,055**	75,024,888
Investing Activities			
(Purchase) of financial assets at amortised cost	10	**(64,241,193)**	(77,423,339)
Proceed from sale and matured of financial assets at amortised cost and mortgaged		**39,839,787**	80,616,616
(Purchase) of financial assets at fair value through other comprehensive income		**(3,465,218)**	(27,883,155)
Proceed from sale and Matured of financial assets at fair value through other comprehensive income		**56,076,077**	10,149,964
(Purchase) of property and equipment		**(2,360,485)**	(3,186,300)
Proceeds from sale of property and equipment		**186,038**	41,326
(Increase) of intangible assets		**(350,398)**	(180,729)
Net Cash Flow (used in) Investing Activities		**25,684,608**	(17,865,617)

THE ACCOMPANYING NOTES FROM (1) TO (47) CONSTITUTE AN INTEGRAL PART OF THESE CONSOLIDATED FINANCIAL STATEMENTS AND SHOULD BE READ WITH THEM AND WITH THE AUDIT REPORT.

CONSOLIDATED **STATEMENT OF CASH FLOWS**

		2023 JD	2022 JD
Financing Activities			
Dividends paid to shareholders		**(4,382,113)**	(6,545,628)
Payments against lease contracts		**(759,956)**	(880,306)
Increase in borrowed funds		**(21,835,818)**	21,229,346
Net (used in) Cash Flows from Financing Activities		**(26,977,887)**	13,803,412
Net increase in cash and cash equivalents		**74,472,776**	70,962,683
Exchange rate fluctuation effect on cash and cash equivalents		**(183,208)**	(84,432)
Cash and cash equivalents - Beginning of the year		**39,318,535**	(31,559,716)
Cash and cash equivalents - End of the year	37	**113,608,103**	39,318,535

THE ACCOMPANYING NOTES FROM (1) TO (47) CONSTITUTE AN INTEGRAL PART OF THESE CONSOLIDATED FINANCIAL STATEMENTS AND SHOULD BE READ WITH THEM AND WITH THE AUDIT REPORT.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1 General Information

Arab Banking Corporation (Jordan) was established as a public shareholding limited company on 21 January 1990, in accordance with the Companies Law No (1) of 1989, with headquarters in Amman.

The Bank provides banking services through its head office in Amman and its 23 branches in Jordan and the subsidiary company.

The Bank's shares are listed on Amman Stock Exchange.

The financial statements of the Bank and its subsidiary "the Group" are consolidated in the Arab Banking Corporation – Bahrain financial statements.

The consolidated financial statements have been approved by the Board of Directors of the Group and are subject to the approval of the Shareholders General Assembly and the approval of the Central Bank of Jordan on February 14, 2024.

2 Information about Significant Accounting Policies:

Basis of Consolidated Financial Statements Preparation

- The accompanying consolidated financial statements of the Bank and its subsidiary are prepared in accordance with the International Accounting Standards Board (IASB), the interpretations issued by the International Financial Reporting Interpretation Committee of the IASB, as adopted by the Central Bank of Jordan.

The main differences between the IFRSs as they should be applied and what has been approved by the Central Bank of Jordan are as follows:

a. Provisions for expected credit losses are calculated in accordance with IFRS (9) and the Central Bank of Jordan's, whichever is tougher. The material differences are as follows:
   - Exempt debt instruments and any other credit exposures issued or guaranteed by the Jordanian government, in addition to any other credit exposures with the Jordanian Government or its guarantee, so that credit exposures is treated on the Jordanian Government and by its guarantee without credit losses.
   - When calculating the credit losses against credit exposures, the calculation results according to IFRS (9) are compared with those according to the Central Bank of Jordan's Instructions No. (2009/47) dated December 10, 2009 for each stage separately and the toughest results are taken.
   - In some special cases Central Bank of Jordan agrees on special arrangements related to the calculation of the expected credit losses' provision of direct credit facilities customers over the determined period
   - Exempt facilities related to governmental projects outcomes (transfers of Governmental dues) from classifications when calculating provisions.

b. Interest and commissions are suspended on non-performing credit facilities granted to customers, in accordance with the instructions of the Central Bank of Jordan.

c. Assets foreclosed to the Bank are shown in the consolidated statement of financial position, among other assets at their current value when it foreclosed to the Bank or at their fair value, whichever is lower. Furthermore, they are revaluated on the date of the consolidated financial statements separately, and any decrease in its value is recorded in the consolidated statement of profit or loss and consolidated comprehensive income while no increase in its value is recorded as revenue, in which, any subsequent increase is taken to the consolidated statement of profit or loss and other comprehensive income to the extent of not exceeding the previously recorded impairment value. In accordance with central Bank of Jordan's generalisation (10/3/16234) dated October 10, 2022 the calculation of the gradual provision for the foreclosed assets against debts has been suspended. Provided that the allocated provisions for the expropriated foreclosed assets in violation of the terms included in the banking low maintained, and that only the allocated provision is released against any of the violating real estate that are disposed of.

- The consolidated financial statements are prepared under the historical cost convention, except for financial assets and liabilities at fair value through profit or loss, financial assets at fair value through other comprehensive income, and financial derivatives stated at fair value as of the date of the consolidated financial statements. Furthermore, hedged financial assets and financial liabilities are stated at fair value.
- The reporting currency of the consolidated financial statements is the Jordanian Dinar, which is the functional currency of the Bank.
- The accounting policies adopted in preparing the consolidated financial statements are consistent with those applied in the year ended December 31, 2022, except for the effect of what is stated in Note (3 – (A) & (B)).

Basis of Consolidation of the Financial Statements

- The accompanying consolidated financial statements include the financial statements of the Bank and the subsidiary under its control. Moreover, control is achieved when the Bank has the ability to control the

investee company, the company is exposed to variable returns or has rights to participate in the investee company, and the Bank is able to use its authority over the investee company, which affects its revenue.

- The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.
- When the Bank has less than the majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it power, including:
  - The size of the Bank's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
  - Potential voting rights held by the Bank;
  - Rights arising from other contractual arrangements; and
  - Any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.
- Transactions, balances, revenues and expenses are eliminated between the Bank and the subsidiary.
- The financial statements of the subsidiary are prepared for the same financial year, using the same accounting policies adopted by the Bank. If the accounting policies adopted by the company are different from those used by the Bank, the necessary adjustments to the financial statements of the subsidiary are made to comply with the accounting policies followed by the Bank.
- The results of the subsidiary are incorporated into the consolidated statement of Profit or Loss from the effective date of acquisition, which is the date on which actual control over the subsidiaries is assumed by the Bank. Moreover, the operating results of the disposed-of subsidiary are incorporated into the consolidated statement of Profit or Loss up to the effective date of disposal, which is the date on which the Bank loses control over its subsidiary.
- Non-controlling interests represent that part of the equity that is not owned by the Bank. Non-controlling interests in the net assets of the subsidiary are presented separately in the Bank's statement of equity.

The Bank's subsidiary as of December 31, 2023 represents the following:

- Arab Co-operation for Financial Investments (ABCI)

  Arab Co-operation for Financial Investments is wholly owned by the Bank, and its objective is to carry out brokerage investments on behalf of its clients, in addition to providing financial consultation services on stock exchange investing, its paid-up capital amounted to JD 15,600,000. Its total assets amounted to JD 43,347,651 and total liabilities to JD 18,538,622 as of December 31, 2023. Its total revenues amounted to JD 4,343,973 and total expenses to JD 4,040,267, for the year ended December 31, 2023, before excluding any transactions, balances, revenues, and expenses between the Company and the Bank.

  Control is achieved when the Bank:

  - Has the power over the investee;
  - Is exposed, or has rights, to variable returns from its involvement with the investee; and
  - Has the ability to use its power to affect the investee's returns.

  The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.

  When the Bank has less than the majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give its power. Among these facts and circumstances are:

  - The size of the Bank's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
  - Potential voting rights held by the Bank, other vote holders, or other parties;
  - Rights arising from other contractual arrangements; and
  - Any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous general assembly's meetings.

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When the Bank loses control of the subsidiary, the Bank performs the following:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the book value of any non-controlling interests.
- Derecognises the transfer difference accumulated in Owners' Equity.
- Derecognises the fair value to the next controlling party.
- Derecognises the fair value of any investment retained.
- Derecognises any gain or loss in the Profit or Loss statement.
- Reclassifies owners' equity already booked in other comprehensive income to the profit or loss statement, as appropriate.

The subsidiaries' financial statements are prepared under the same accounting policies adopted by the Bank. If the subsidiaries apply different accounting policies than those used by the Bank, the necessary modifications shall be made to the subsidiaries' financial statements to make them comply with the accounting policies used by the Bank.

The non-controlling interests represent the portion not owned by the Bank relating to ownership of the subsidiaries.

Segment Information

- Business sectors represent a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business sectors which are measured in accordance with the reports used by the executive management and the key decision maker at the Bank.
- The geographical sector relates to providing products or services in a specific economic environment subject to risk and returns different from those of sectors functioning in other economic environments.

Net Interest Income

Interest income and expense for all financial instruments, except for those classified as held for trading, or those measured or designated as at fair value through the consolidated statement of Profit or Loss, are recognised in 'Net Interest Income' as 'Interest Income' and 'Interest Expense' in the statement of Profit or Loss using the effective interest method. Interest on financial instruments measured as at fair value through the consolidated statement of Profit or Loss is included within the fair value movement during the year.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated, taking into account all the contractual terms of the instrument.

The interest income/ interest expense is calculated by applying the EIR to the gross carrying amount of non-credit impaired financial assets (i.e. at the amortised cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortised cost of financial liabilities. For credit-impaired financial assets, the interest income is calculated by applying the EIR to the amortised cost of the credit-impaired financial assets (i.e. the gross carrying amount less the allowance for expected credit losses (ECLs)). For financial assets originated or purchased credit-impaired (POCI), the EIR reflects the ECLs in determining the future cash flows expected to be received from the financial asset.

Interest income and expense in the Bank's consolidated statement of Profit or Loss also includes the effective portion of fair value changes of derivatives designated as hedging instruments in cash flow hedges of interest rate risk. For fair value hedges of interest rate risk related to interest income and expense, the effective portion of the fair value changes of the designated derivatives, as well as the fair value changes of the designated risk of the hedged item, are also included in interest income and expense.

Net commission income

Fees and commission income and expense include fees other than those that are an integral part of EIR. The fees stated in this part of the Group's consolidated statement of Profit or Loss include, among other things, fees charged for servicing a loan, non-utilization fees relating to loan commitments when it is unlikely that these will result in a specific lending arrangement, and loan syndication fees.

Fees and commission expenses concerning services are accounted for as the services are received.

Dividend Income

Dividend income is recognised when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

The presentation of dividend income in the consolidated statement of Profit or Loss depends

on the classification and measurement of the equity investment:

- For equity instruments which are held for trading, dividend income is presented in the statement of Profit or loss within gain (loss) of the financial assets at fair value through profit or loss;
- For equity instruments designated at fair value through other comprehensive income, dividend income is presented in the statement of Profit or loss within dividends from financial assets through OCI; and
- For equity instruments not designated at fair value through other comprehensive income and not held for trading, dividend income is presented as net income from other instruments at fair value through the statement of Profit or Loss.

Financial Instruments

Initial Recognition and measurement:

Financial assets and financial liabilities are recognised in the Bank's consolidated statement of financial position when the Bank becomes a party to the contractual provisions of the instrument, customers loans and facilities are recognised once they are recorded to the customer's account.

Recognised financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through the statement of Profit or Loss) are added to, or deducted from, the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through the statement of Profit or Loss are recognised immediately in profit or loss.

If the transaction price differs from the fair value at initial recognition, the Bank will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognised in the statement of Profit or Loss on initial recognition (i.e. day 1 profit or loss); and
- In all other cases, the fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to the statement of Profit or Loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability or when derecognising the instruments.

Financial Assets

Initial Recognition:

All financial assets are recognised on the trading date when the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned. They are initially measured at fair value, plus transaction costs, except for those financial assets classified as at fair value through the statement of Profit or Loss. Transaction costs directly attributable to the acquisition of financial assets classified as at fair value through the statement of Profit or Loss are recognised immediately in the consolidated statement of Profit or Loss.

Subsequent Measurement

All recognised financial assets that are within the scope of IFRS (9) are required to be subsequently measured at amortised cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Specifically:

- Debt instruments held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortised cost;
- Debt instruments held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income; and
- All other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at fair value through the statement of Profit or Loss.

However, the Bank may irrevocably make the following selection /designation at initial recognition of a financial asset on an asset- by-asset basis:

- The Bank may irrevocably select to present subsequent changes in fair value of an equity investment that is neither held for trading nor for contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies, in other comprehensive income; and

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- The Bank may irrevocably designate a debt instrument that meets the amortised cost or fair value through other comprehensive income criteria as measured at fair value through the statement of Profit or Loss, if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

Debt Instruments at Amortised Cost or at Fair Value through Other Comprehensive Income

The Bank assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Bank's business model for managing the asset.

For an asset to be classified and measured at amortised cost or at fair value through other comprehensive income, its contractual terms should give rise to cash flows that are solely payments of principal and interest on the principal outstanding (SPPI).

For the purpose of SPPI test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of the consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time, and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement and the interest on the base outstanding amount which comply with the primary funding arrangement. Moreover, contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

Assessment of Business Models

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. In this regard, the Bank determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. Furthermore, the Bank's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Bank has more than one business model for managing its financial instruments, which reflect how the Bank manages its financial assets in order to generate cash flows. In addition, the Bank's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets, or both.

The Bank considers all relevant information available when making the business model assessment. However, this assessment is not performed based on scenarios that the Bank does not reasonably expect to occur, such as so-called 'worst case' or 'stress case' scenarios. The Bank takes into account all relevant evidence available such as:

- The stated policies and objectives of the portfolio and application of those policies whether the management strategy focuses on obtaining contractual revenues, maintaining specific profit rate, and matching the profit of financial assets with the period of financial liabilities that finance those assets;
- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way in which those risks are managed; and
- How the business managers are compensated (e.g. whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

At initial recognition of a financial asset, the Bank determines whether newly recognised financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The Bank reassess its business models each reporting period to determine whether the business models have changed since the preceding period.

When a debt instrument measured at fair value through other comprehensive income is derecognised, the cumulative gain/loss previously recognised in other comprehensive income is reclassified from equity to the statement of Profit or Loss. In contrast, for an equity investment designated as measured at fair value through other comprehensive income, the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss but transferred within equity.

Debt instruments that are subsequently measured at amortised cost or at fair value through other comprehensive income are subject to impairment.

Financial Assets at Fair Value through the Statement of Profit or Loss

Financial assets at fair value through the statement of Profit or Loss are:

- Assets with contractual cash flows that are not SPPI; or/and
- Assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell; or
- Assets designated at fair value through the statement of Profit or Loss using the fair value option.

These assets are measured at fair value, with any gains/losses arising on re-measurement recognised in the consolidated statement of profit or loss.

Reclassifications

If the business model under which the Bank holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model, which results in reclassifying the Bank's financial assets. During the current financial year and previous accounting period, there has been no change in the business model under which the Bank holds financial assets; and therefore, no reclassifications have been made. The changes in the contractual cash flows are considered under the accounting policy on the modification and de-recognition of financial assets described below.

Foreign Exchange Gains and Losses

The carrying amount of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically:

- For financial assets measured at amortised cost that are not part of a designated hedging relationship, exchange differences are recognised in the statement of Profit or Loss; and
- For debt instruments measured at fair value through other comprehensive income that are not part of a designated hedging relationship, exchange differences on the amortised cost of the debt instrument are recognised in the statement of Profit or Loss. Other exchange differences are recognised in other comprehensive income in the investment's revaluation reserve;
- For financial assets measured at fair value through the statement of Profit or Loss that are not part of a designated hedge accounting relationship, exchange differences are recognised in the statement of Profit or Loss and,
- For equity instruments measured at fair value through other comprehensive income, exchange differences are recognised in other comprehensive income in the investment's revaluation reserve.

Fair Value Option

A financial instrument with a fair value that can be reliably measured at fair value through the statement of Profit or Loss (fair value option) can be classified at initial recognition even if the financial instruments are not acquired or incurred principally for the purpose of selling or repurchasing. The fair value option may be used for financial assets if it significantly eliminates or significantly reduces the measurement or recognition inconsistency that would otherwise have resulted in the measurement of the asset or liability or recognised the related gain or loss on a different basis («accounting mismatch»). The fair value option for financial liabilities can be chosen in the following cases:

- If the selection leads to an accounting mismatch.
- If the financial liabilities are part of a portfolio managed on a fair value basis, according to a documented risk management or investment strategy; or
- If there is a derivative included in the primary financial or non-financial contract, and the derivative is not closely related to the primary contract.

These instruments cannot be reclassified from the fair value category through the statement of Profit or Loss while retained or issued. Financial assets at fair value through the Profit or Loss statement are recognised at fair value with any unrealised gain or loss arising from changes in fair value recognised in investment income.

Impairment

The Bank recognises loss allowances for expected credit losses on the following financial instruments that are not measured at fair value through the statement of Profit or Loss:

- Balances and deposits at banks and financial institutions.
- Direct credit facilities (loans and advances to customers).
- Financial assets at amortised cost (debt instruments securities).
- Financial assets at fair value through other comprehensive income.
- Off-statement of financial position exposures subject to credit risk (financial guarantee contracts issued).

No impairment loss is recognised on equity instruments.

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With the exception of purchased or originated credit-impaired (POCI) financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- Expected credit loss for (12) months, lifetime ECL that results from those default events on the financial instrument that are possible to happen within 12 months after the reporting date (referred to as Stage 1); or
- Expected credit loss for (12) months, lifetime ECL that results from all possible default events over the life of the financial instrument (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR.

For unutilised limits, the ECL is the difference between the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is utilised; and

For financial guaranteed contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the client, or any other party.

The Bank measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

When calculating ECL against exposures, the calculation results as per IFRS (9) are compared with those according to the Central Bank of Jordan's Instructions No. (47/2009) dated December 10, 2009 for each stage separately. Moreover, the most severe results are taken, and the debt instruments issued by the Jordanian government or guaranteed by it, in addition to any other credit exposures with the Jordanian government or guaranteed by it, are excluded from the calculation.

Credit-impaired Financial Assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage (3) assets. Evidence of credit-impairment includes observable data about the following events:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default or past-due event;
- The lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider; or
- The disappearance of an active market for a security because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

It may not be possible to identify a single discrete event. Instead, the combined effect of several events may have caused financial assets to become credit-impaired. In this regard, the Bank assesses whether debt instruments that are financial assets measured at amortised cost or fair value through other comprehensive income are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Bank considers factors such as bond yields, credit ratings, and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly, and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit-impaired when there is observable evidence of credit-impairment including meeting the definition of default. The definition of default includes unlikeliness-to-pay indicators and a back- stop if amounts are overdue for 90 days or more. However, in cases where the assets impairment is not recognised after 90 days from their due date, the assets are supported by reasonable information.

Purchased or Originated Credit-impaired (POCI) Financial Assets

POCI financial assets are treated differently because the asset has a credit-impaired at initial recognition. For these assets, the Bank recognises all changes in the lifetime expected credit loss (ECL) since initial recognition

as a loss allowance with any changes recognised in the statement of profit or loss. A favorable change for such assets creates an impairment gain.

Definition of Default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in the determination of whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in credit risk below.

The Bank considers the following as constituting an event of default:

- The borrower is past-due more than 90 days on any material credit obligation to the Bank; or
- The borrower is unlikely to pay its credit obligations to the Bank in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past-due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding.

When assessing if the borrower is unlikely to pay its credit obligation, the Bank takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset. For example, in corporate lending, a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty, are key inputs in this analysis. The Bank uses a variety of sources of information to assess default that is either developed internally or obtained from external sources.

Significant Increase in Credit Risk

The Bank monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Bank measures the loss allowance based on lifetime rather than (12) month ECL.

The Bank does not consider that the financial assets with 'low' credit risk at the reporting date does not have had a significant increase in credit risk. As a result, the Bank monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to impairment for significant increase in credit risk.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Bank compares the risk of a default occurring on the financial instrument at the reporting date, based on the remaining maturity of the instrument, with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognised. In making this assessment, the Bank considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Bank's historical experience and expert credit assessment including forward-looking information.

Multiple economic scenarios represent the basis of determining the probability of default at initial recognition and at subsequent reporting dates. Different economic scenarios will lead to a different probability of default. It is the weighting of these different scenarios that forms the basis of a weighted average probability of default that is used to determine whether credit risk has significantly increased.

For corporate lending, forward-looking information includes the future prospects of the industries in which the Bank's counterparties operate, and in which it is obtained from the economic experts reports, financial analysts, governmental bodies, relevant think-tanks and other similar organisations. In addition, various internal and external sources of actual and forecast economic information are considered. For retail lending, forward-looking lending information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behavior. The Bank allocates its counterparties to a relevant internal credit risk grade depending on their credit quality. The quantitative information is a primary indicator of a significant increase in credit risk and is based on the change in lifetime PD by comparing:

- The remaining lifetime PD at the reporting date; and
- The remaining lifetime PD for this point in time that was estimated based on facts and circumstances at the time of initial recognition of the exposure.

The PDs used are forward looking, and the Bank uses the same methodologies and data used to measure the loss allowance for ECL.

The qualitative factors that indicate a significant increase in credit risk are reflected in PD models on a timely basis. However, the Bank still considers some qualitative factors separately to assess if credit risk has increased significantly. For corporate lending, there is

a particular focus on assets included in the 'watch list'. An exposure is watch-listed once there is concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending, the Bank considers the expectation of default in payment periods and forbearance of its non-occurrence, credit scores, and events such as unemployment, bankruptcy, divorce, or death.

Given that a significant increase in credit risk since initial recognition is a relative measure, a given change, in absolute terms, in the PD will be more significant for a financial instrument with a lower initial PD than for a financial instrument with a higher PD.

As a back-stop when an asset's maturity exceeds (30) days, the Bank considers that a significant increase in credit risk has occurred, and the asset is in Stage (2) of the impairment model, i.e. the loss allowance is measured as a lifetime expected credit loss (ECL) balance.

Modification and Derecognition of Financial Assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and the maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Bank renegotiates loans to customers in financial difficulty to maximize collection and minimize the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default, or default has already happened, and the borrower is expected to be able to meet the revised terms. In most cases, the revised terms include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants. The Bank has an established forbearance policy applicable to corporate and retail lending.

When a financial asset is modified, the Bank assesses whether this modification results in derecognition. In accordance with the Bank's policy, a modification results in derecognition when it gives rise to substantially different terms. To determine if the modified terms are substantially different from the original contractual terms, the Bank considers the following:

- Qualitative factors, such as contractual cash flows after modification are no longer SPPI, change in currency or change of counterparty, the extent of change in interest rates, maturity, and covenants. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original effective interest.

In case the financial asset is derecognised, the loss allowance for ECL is re-measured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated- credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised nominal amount because there remains a high risk of default which has not been reduced by the modification. The Bank monitors credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified, and the modification does not result in derecognition, the Bank determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms.
- The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified as part of the Bank's forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the Bank's ability to collect the modified cash flows taking into account the Bank's previous experience of similar forbearance action, as well as various behavioral indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behavior following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the Bank calculates the modification gain/loss comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Bank measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in calculating the expected cash shortfalls from the original asset.

The Bank derecognises a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Bank recognises its retained interest in the asset and an associated liability for the amounts it may have to pay. If the Bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the Bank continues to recognise the financial asset and any collateralized borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that has been recognised in OCI and accumulated in equity is recognised in profit or loss, with the exception of equity investment designated as measured at fair value through other comprehensive income, where the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss.

Write-off

Financial assets are written off when the Bank has no reasonable expectations of recovering them, such as failure by the customer to participate in a payment plan with the Bank. Moreover, the Bank classifies funds or amounts due to be written off after all possible means of payment have been exhausted. However, if the financing is/receivables are written off, the Bank continues its enforcement activity in an attempt to recover the due receivables, which are recognised in the consolidated statement of Profit or Loss upon recovery.

Presentation of Allowance for ECL in the Consolidated Statement of Financial Position

Loss allowances for ECL are presented in the statement of financial position as follows:

- For financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets.
- For debt instruments measured at fair value through other comprehensive income: no loss allowance is recognised in the statement of financial position, as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the investment's revaluation reserve.
- For loan commitments and financial guarantee contracts: as a provision; and
- Where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Financial Liabilities and Equity

Debt and equity instruments issued are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangement.

A financial liability is a contractual obligation to deliver cash or another financial asset, or to exchange financial assets or financial liabilities with another entity under conditions potentially unfavorable to the Bank, or a contract that will or may be settled in the Bank's own equity instruments and is a non-derivative contract for which the Bank is or may be obliged to deliver a variable number of its own equity instruments, or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Bank's own equity instruments.

Equity Instruments

Paid-up Capital

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Bank are recognised at the proceeds received, net of direct issue costs.

Treasury Shares

Repurchase of the Bank's own equity instruments is recognised and deducted directly in equity. No gain or loss is recognised in the statement of Profit or Loss on the purchase, sale, issue or cancellation of the Bank's own equity instruments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Compound Instruments

The component parts of compound instruments (e.g. convertible notes) issued by the Bank are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. Moreover, non-closed related embedded derivatives, if any, are separated first with the remainder of the financial liability being recorded on an amortised cost basis, using the effective interest method until extinguished upon conversion or at the instrument's maturity date.

Financial Liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through the statement of Profit or Loss or 'other financial liabilities.

Financial liabilities at Fair Value through the Statement of Profit or Loss

Financial liabilities are classified as at fair value through the statement of Profit or Loss when the financial liability is (1) held for trading, or (2) it is designated as at fair value through the statement of Profit or Loss. A financial liability is classified as held for trading if:

- It has been incurred principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial liability, other than a financial liability held for trading, or contingent consideration that may be paid by an acquirer as part of a business combination, may be designated as at fair value through the statement of Profit or Loss upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets or financial liabilities or both, which is managed, and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- It forms part of a contract containing one or more embedded derivatives, and IFRS 9 permits the entire hybrid (combined) contract to be designated as at fair value through the statement of Profit or Loss.

Financial liabilities at fair value through the statement of Profit or Loss are stated at fair value, with any gains/losses arising on re-measurement recognised in the statement of Profit or Loss to the extent that they are not part of a designated hedging relationship. The net gain/loss recognised in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at fair value through the statement of Profit or Loss line item in the statement of Profit or Loss.

However, for non-derivative financial liabilities designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability attributable to changes in the credit risk of that liability is recognised in OCI, unless the recognition of the effects of changes in the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognised in profit or loss. Moreover, changes in fair value attributable to a financial liability's credit risk recognised in OCI are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

For issued loan commitments and financial guarantee contracts designated as at fair value through profit or loss, all gains and losses are recognised in the consolidated statement of profit or loss.

In making the determination of whether recognising changes in the liability's credit risk in other comprehensive income will create or enlarge an accounting mismatch in profit or loss, the Bank assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through the consolidated statement of Profit or Loss.

Other Financial Liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating

interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. For details on EIR, see the "net interest income section" above.

Derecognition of Financial Liabilities

The Bank derecognises financial liabilities when, and only when, the Bank's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the consolidated statement of Profit or Loss.

When the Bank exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Bank accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate, is at least (10) per cent different from the discounted present value of the remaining cash flows of the original financial liability.

Derivative Financial Instruments

The Bank enters into a variety of derivative financial instruments, some of which are held for trading while others are held to manage its exposure to interest rate risk, credit risk, and foreign exchange rate risk. Held derivatives include foreign exchange forward contracts, interest rate swaps, cross currency interest rate swaps, and credit default swaps.

Derivatives are initially recognised at fair value at the date a derivative contract is entered into, and are subsequently re-measured to their fair value at each balance sheet date. The resulting gain/loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The Bank designates certain derivatives as either hedges of the fair value of recognised assets, liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions, hedges of foreign currency risk of firm commitments (cash flow hedges), or hedges of net investments in foreign operations (net investment hedges).

A derivative with a positive fair value is recognised as a financial asset whereas a derivative with a negative fair value is recognised as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than (12) months, and it is not expected to be realised or settled within (12) months. Other derivatives are presented as current assets or current liabilities.

Embedded Derivatives

Derivatives embedded in financial liabilities or other non-financial asset host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts, and the host contracts are not measured at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realised or settled within (12) months. Other embedded derivatives are presented as current assets or current liabilities.

Financial Guarantee Contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values and, if not designated as at fair value through profit or loss and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognised less, where appropriate, the cumulative amount of income recognised in accordance with the Bank's revenue recognition policies.

Financial guarantee contracts not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any financial guarantee contracts as at fair value through profit or loss.

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Commitments to Provide a Loan at a Below-Market Interest Rate

Commitments to provide a loan at a below-market interest rate are initially measured at their fair values and, if not designated as at fair value through profit or loss, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS 9; and
- The amount initially recognised less, where appropriate, the cumulative amount of income recognised in accordance with the Bank's revenue recognition policies.

Commitments to provide a loan below market rate not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any commitments to provide a loan below market rate designated at fair value through profit or loss.

Hedge Accounting

The Bank designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations, as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. The Bank does not apply fair value hedge accounting of portfolio hedges of interest rate risk. In addition, the Bank does not use the exemption to continue using IAS (39) hedge accounting rules, i.e. the Bank applies IFRS 9 hedge accounting rules in full.

At the inception of the hedge relationship, the Bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- There is an economic relationship between the hedged item and the hedging instrument;
- The effect of credit risk does not dominate the value changes that result from that economic relationship; and
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Bank actually hedges, and the quantity of the hedging instrument that the Bank actually uses to hedge that quantity of the hedged item.

The Bank rebalances a hedging relationship in order to comply with the hedge ratio requirements, when necessary. In such cases, discontinuation may apply to only part of the hedging relationship. For example, the hedge ratio might be adjusted in such a way that some of the volume of the hedged item is no longer part of a hedging relationship. Hence, hedge accounting is discontinued only for the volume of the hedged item that is no longer part of the hedging relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio, but the risk management objective for that designated hedging relationship remains the same, the Bank adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

In some hedge relationships, the Bank designates only the intrinsic value of options. In this case, the fair value change of the time value component of the option contract is deferred in OCI, over the term of the hedge, to the extent that it relates to the hedged item and is reclassified from equity to profit or loss when the hedged item does not result in the recognition of a non-financial item. The Bank's risk management policy does not include hedges of items that result in the recognition of non-financial items, because the Bank's risk exposures relate to financial items only.

The hedged items designated by the Bank are time-period related hedged items. This means that the amount of the original time value of the option that relates to the hedged item is amortised from equity to profit or loss on a rational basis (e.g. straight- line) over the term of the hedging relationship.

In some hedge relationships, the Bank excludes from the designation the forward element of forward contracts, or the currency basis spread of cross currency hedging instruments. In this case, a similar treatment is applied to the one applied for the time value of options. The treatment for the forward element of a forward contract and the currency basis element is optional, and the option is applied on a hedge- by- hedge basis, unlike the treatment for the time value of the options which is mandatory. For hedge relationships with forwards, or foreign currency derivatives such as cross currency interest rate swaps, where the forward element or the currency basis spread is excluded from the designation, the Bank generally recognises the excluded element in the other comprehensive income.

The fair values of the derivative instruments used for hedging purposes and movements in the hedging reserve are determined in equity.

Fair Value Hedges

The fair value change on qualifying hedging instruments is recognised in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognised in other comprehensive income. The Bank has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognised in profit or loss instead of OCI. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain/loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains/losses are recognised in profit or loss, they are recognised in the same line as the hedged item.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortised cost or at fair value through other comprehensive income) arising from the hedged risk is amortised to profit or loss commencing no later than the date when hedge accounting is discontinued.

Cash Flow Hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognised in the cash flow hedging reserve, a separate component of OCI, limited to the cumulative change in fair value of the hedged item from inception of the hedge less any amounts recycled to profit or loss.

Amounts previously recognised in OCI and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognised hedged item. If the Bank no longer expects the transaction to occur, that amount is immediately reclassified to profit or loss.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognised in OCI and accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognised immediately in profit or loss.

Hedges of Net Investments in Foreign Operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain/loss on the hedging instrument relating to the effective portion of the hedge is recognised in OCI and accumulated in the foreign currency translation reserve.

Gains and losses on the hedging instrument relating to the effective portion of the hedge accumulated in the foreign currency translation reserve are reclassified to profit or loss in the same way as exchange differences relating to the foreign operation as described above.

Property and Equipment

- Property and equipment are measured at cost less accumulated depreciation and any impairment. Property and equipment (except land) are depreciated when ready for use using the straight-line method over their expected useful life.

- The depreciation rates used are as follows:

	%
Buildings	2 – 15
Equipment, furniture and fixtures	9 – 20
Vehicles	15
Computer	9 – 25
Lease Hold Improvement	9 – 10

- When the recoverable amount of any property and equipment is less than its net book value, its carrying amount is written down to its recoverable amount, and the amount of impairment is recognised in the consolidated statement of Profit or Loss.
- The useful life of property and equipment is reviewed at each year-end, and changes in the expected useful life are treated as changes in accounting estimates.

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- An item of property and equipment is derecognised upon disposal, or when no future economic benefits are expected from its use or disposal.
- Projects under construction include the value of the work in progress and the expenses of the related departments, and they are charged with their related direct costs and the costs deferred until completion of the project.
- Payments for the purchase of property and equipment.

Fair value

Fair value is defined as the price at which an asset is to be sold or paid to conver any of the liabilities in a structured transaction between the market participants on the measurement date, irrespective of whether the price can be realised directly or whether it is estimated using another valuation technique. When estimating the fair value of an asset or liability, the Bank takes into consideration, when determining the price of any asset or liability, whether market participants are required to consider these factors at the measurement date. The fair value for measurement and / or disclosure purposes in these financial statements is determined on the same basis, except for measurement procedures that are similar to fair value procedures and are not fair value such as fair value as used in IAS (36).

In addition, fair value measurements are classified for the purposes of financial reporting to levels (1), (2) or (3) based on the extent to which the inputs are clear concerning the fair value measurements and the importance of inputs to the full fair value measurements. These are as follows:

Level (1) inputs:

Inputs derived from quoted (unadjusted) prices of identical assets or liabilities in active markets that an enterprise can obtain on the measurement date;

Level (2) inputs:

Inputs derived from data other than quoted prices used at level (1) and observable for assets or liabilities, either directly or indirectly; and

Level (3) inputs:

Inputs to assets or liabilities that are not based on observable market prices.

Provisions

Provisions are recognised when the Bank has an obligation, at the date of the consolidated statement of financial position, arising from a past event, and the costs to settle the obligation are both probable and can be reliably measured.

Income Tax

- Tax expense comprises of current tax and deferred taxes.
- Current tax is based on taxable profits, which may differ from accounting profits published in the financial statements. Accounting profits may include non-taxable profits or tax non- deductible expenses which may be exempted in the current or subsequent financial years, or accumulated losses that are tax acceptable or items not subject to deduction for tax purposes.
- Tax is calculated based on tax rates and laws that are applicable in the Hashemite Kingdom of Jordan.
- Deferred tax is the tax expected to be paid or recovered due to temporary differences between the assets or liabilities in the consolidated financial statements and the value on which the tax profit is calculated. Deferred taxes are calculated using the commitment method of the consolidated statement of financial position. Deferred taxes are calculated based on the tax rates expected to be applied when the tax liability is settled or the deferred tax asset is realised.
- The carrying values of deferred tax assets are reviewed at the date of the consolidated financial statement and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Paid-up Capital

Cost of issuing or purchasing Bank's shares

- Any costs arising from the issue or purchase of the Bank's shares are charged to retained earnings net of the tax effect of such costs, if any. If the issuance or purchase process is not completed, these costs are recognised as an expense in the consolidated statement of Profit or Loss.

Managed Accounts for Customers

- The accounts managed by the Bank on behalf of the customers are not considered a Bank's assets. Fees and commissions of managing such accounts are presented in the consolidated statement of Profit or Loss. A provision is booked for impairment of portfolios guaranteed capital that are managed to the beneficiary of the customers on their capital.

Offsetting

- Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position, when there is a legally enforceable right to offset the recognised amounts, and the Bank intends to either settle them on a net basis, or to realise the asset and settle the liability simultaneously.

Revenue Recognition and Recognition of Expenses

- Income and expense recognition are recognised on an accrual basis except of the interest and commission on non-performing credit facilities that are not recognised as income and are credited to suspended interest and commissions.
- Commissions are recognised as a revenue when rendering related services, and the companies' shares earnings are recognised when realised (Approved by the General Assembly of Shareholders).

Date of Recognition of Financial Assets

- The purchase and sale of financial assets are recognised on the trade date (date of the Bank's commitment to sell or buy financial assets).

Financial Derivatives and Hedge Accounting

Hedge Financial Derivatives

For hedge accounting purposes, financial derivatives are stated at fair value, and hedges are classified as follows:

- **Fair value hedges:** These represent hedging the risk of the change in the fair value of the Bank's assets and liabilities.

  In case the effective fair value hedges are effective, profits and losses arising from the valuation of a hedging instrument at fair value, and from the change in the fair value of the hedged asset or liability, are recognised in the consolidated statement of Profit or Loss.

  In the case of effective portfolio hedge conditions, profits or losses arising from revaluation of the hedging instrument are recognised at fair value, and the fair value of the asset or liability portfolio is recognised in the consolidated statement of Profit or Loss in the same period.

- **Cash flows hedges:** These represent hedging the risk of the changes in the cash flows of the Bank's current and expected assets and liabilities.

  In the case of effective cash flow hedge conditions, the profits or losses on a hedging instrument is recognised in the consolidated statement of comprehensive income and in equity, and is transferred to the consolidated statement of Profit or Loss in the period in which the hedged transaction affects the consolidated statement of Profit or Loss.

- **Hedging for net investment** in foreign units: In case hedge conditions apply to net investment in foreign units, the fair value of the hedging instrument is measured against the hedged net assets. If the relationship is effective, the effective portion of the profits or losses on the hedging instrument is recognised in the consolidated statement of comprehensive income and in shareholders' equity, and the ineffective portion is recognised in the consolidated statement of Profit or Loss. Moreover, the effective portion is recognised in the consolidated statement of Profit or Loss when the investment in the foreign investee is sold.

- For hedges that do not qualify for effective hedging, gains or losses arising from changes in the fair value of the hedging instrument are recognised in the consolidated statement of Profit or Loss in the same period.

Derivatives for Trading

The fair value of derivative financial instruments held for trading (such as future foreign exchange contracts, future interest contracts, swaps contracts, foreign exchange rate option rights) is recognised in the consolidated statement of financial position. Moreover, fair value is determined at the prevailing market prices. If these prices are not available, the assessment method should be mentioned, and the amount of changes in fair value should be recognised in the consolidated statement of Profit or Loss.

Repurchase and Resale Agreements

- Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) will continue to be recognised in the Bank's consolidated financial statements. This is due to the Bank's continuing control of these assets and the fact that exposure to the risks and rewards of these assets remains with the Bank. These assets continue to be evaluated in accordance with the applied accounting policies (where the buyer has the right to use these assets (sell or re-lien), they are reclassified as lined financial assets). The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and the repurchase price is recognised as an interest expense over the agreement term, using the effective interest rate method.
- Assets purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the consolidated financial statements since the Bank is not able to control these assets or the associated risks and benefits. The related payments are recognised as part of deposits at banks and financial institutions or direct credit facilities as applicable, and the difference between the purchase and resale price is recognised as interest income over the agreement term, using the effective interest rate method.

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Assets Seized by the Bank Against Debts

Assets foreclosed to the Bank are shown in the consolidated statement of financial position, among other assets at their current value when it foreclosed to the Bank or at their fair value, whichever is lower. Furthermore, they are revaluated on the date of the consolidated financial statements separately, and any decrease in its value is recorded in the consolidated statement of profit or loss and consolidated comprehensive income while no increase in its value is recorded as revenue, in which, any subsequent increase is taken to the consolidated statement of profit or loss and other comprehensive income to the extent of not exceeding the previously recorded impairment value. In accordance with central Bank of Jordan's generalisation (10/3/16234) dated October 10, 2022 the calculation of the gradual provision for the foreclosed assets against debts has been suspended. Provided that the allocated provisions for the expropriated foreclosed assets in violation of the terms included in the banking low maintained, and that only the allocated provision is released against any of the violating real estate that are disposed of.

Intangible Assets

- Intangible assets acquired through business combinations are recorded at their fair value on that date. Other intangible assets are measured on initial recognition at cost.
- Intangible assets are classified based on the assessment of their useful life to definite and indefinite lives. Intangible assets with definite lives are amortised over their useful economic life, while intangible assets with indefinite useful lives are assessed for impairment at each reporting date, and impairment loss is charged to the consolidated statement of Profit or Loss.
- Internally generated intangible assets are not capitalised, but rather expensed in the consolidated Profit or Loss statement.
- Indications of impairment of intangible assets are reviewed, and their useful economic lives are reassessed at each reporting date. Adjustments are reflected in the current and subsequent periods.
- Other intangible assets consist of computer software, and key-money is amortised using the straight -line method at an annual rate of 20%.

Foreign Currencies

For the purpose of the consolidated financial statements, the results and financial position of each entity of the Group are presented in the functional currency unit of the Bank and the presentation currency of the consolidated financial statements.

The stand-alone financial statements of the Bank's subsidiaries are prepared. Moreover, the stand-alone financial statements of each entity of the Group are presented in the functional currency with which it operates. Transactions in currencies other than the functional currency of the Bank are recorded at the rates of exchange prevailing at the dates of those transactions. At the balance sheet date, financial assets and liabilities denominated in foreign currencies are translated at the rates of exchange prevailing at that date. Non-monetary items carried at fair value and denominated in foreign currencies are translated at the exchange rates at the date the fair value is determined. Non-monetary items measured at historical cost in a foreign currency are not reclassified.

Exchange differences are recognised in the consolidated statement of Profit or Loss in the period in which they arise except for:

- Foreign exchange differences on transactions made in order to hedge foreign exchange risk.
- Foreign exchange differences on monetary items required to / from a foreign operation that are not planned to be settled, are unlikely to be settled in the near future (and therefore, these differences form part of the net investment in the foreign operation), and are initially recognised in the other comprehensive income statement and reclassified from equity to the Profit or Loss statement when selling or partially disposing of net investment.

In order to present the consolidated financial statements, the assets and liabilities of the Bank's foreign operations are translated at the rates of exchange prevailing at the statement of financial position date. Income is also converted to average exchange rates for the period, unless exchange rates change significantly during that period, in which case the exchange rates are used on the date of the transactions. The resulting exchange differences, if any, are recognised in the consolidated statement of other comprehensive income and stated in a separate line item of equity.

When foreign operations are disposed of (i.e. disposal of the Bank's entire share from foreign operations, or results from the loss of control of a subsidiary in foreign operations, or partial exclusion by its share in a joint arrangement, or an associate company of a foreign nature in which the share held is a financial asset), all foreign exchange differences accumulated in a separate item under equity in respect of that transaction attributable to the Bank owners are reclassified to the consolidated statement of Profit or Loss.

In respect of the partial disposal of a subsidiary involving foreign operations that do not result in the

Bank losing control of the subsidiary, its share of the accumulated exchange differences is credited to net comprehensive income at a rate that is derecognised and not recognised in the consolidated statement of Profit or Loss. For all other partial liquidation (such as partial liquidation of associates or joint ventures that do not result in the Bank losing significant influence or joint control), the share of accumulated exchange differences is reclassified to the consolidated statement of Profit or Loss.

Leases

Leases are classified as finance leases when the terms of the lease provide for substantially all the risks and rewards of ownership of the lessee. All other leases are classified as operating leases.

Lease Contracts

The Bank as a Lessee

The Bank assesses whether the contract contains lease when starting the contract. Moreover, the Bank recognises the right-of-use assets and the corresponding lease obligations in relation to all lease arrangements to which the lessee is a party, except for short-term lease contracts (defined as leases of 12 months or less) and low-value asset leases. For these contracts, the Bank recognises the lease payments as an operating expense on a straight-line basis over the period of the lease, unless another regular basis is more representative of the time pattern in which the economic benefits from the leased assets are utilised.

The lease obligation is initially measured at the present value of the lease payments that were not paid on the start date of the lease, and is discounted using the price implicit in the lease. If this rate cannot be easily determined, the Bank uses its additional expected rate.

The lease payments included in the rental obligation measurement include:

- Fixed rental payments (essentially including fixed payments), minus accrued receivable rental incentives;
- Variable rental payments that depend on an index or rate, initially measured using the indicator or the rate at the date the contract begins;
- The amount expected to be paid by the lessee under the residual value guarantees;
- The price of the exercise of purchase options, if the lessee is reasonably certain of the exercise of the options; and
- Payment of the contract termination fines, if the lease reflects the exercise of the lease termination option.

Rental obligations are presented as a separate note in the consolidated statement of financial position.

Subsequently, lease obligations are measured by increasing the book value to reflect the interest in the rental obligations (using the effective interest method) and by reducing the book value to reflect the rental payments paid.

The lease obligations (and a similar adjustment to the related right-of-use assets) are re-measured whenever:

- The lease term has changed, or there is an event or important change in the conditions that lead to a change in the exercise of the purchase option assessment, in which case the lease obligations are re-measured by deducting the adjusted lease payment using the adjusted discount rate.
- Lease payments change due to changes in an index, rate, or change in expected payments under the guaranteed residual value, in which cases the lease obligation is re-measured by deducting the modified rental payments using a non-variable discount rate (unless the rental payments change due to a change in the floating interest rate. In this case, the adjusted discount rate is used.
- The lease contract is adjusted, and the lease amendment is not accounted for as a separate lease, in which case the lease obligation is re-measured based on the duration of the adjusted lease contract by deducting the adjusted rental payments, using the adjusted discount rate at the actual price at the date of the amendment.

The right-of-use assets are depreciated over the life of the lease or the useful life of the asset (whichever is shorter). If the lease contract transfers the ownership of the underlying asset or the cost of the right to use, which reflects that the company expects to exercise the purchase option, then the relevant value of the right to use is depreciated over the useful life of the asset. Depreciation begins on the date the commencement of the lease.

The right-of-use assets are presented as a separate note in the consolidated statement of financial position.

The Bank applies International Accounting Standard (36) to determine whether the value of the right to use has decreased its value and calculates any impairment losses as described in the policy of «property and equipment».

Variable rents that are not dependent on an index or rate are not included in the measurement of lease obligations and right-of-use assets. Related payments are recognised as an expense in the period in which the event or condition that leads to these payments occurs and are included in «Other Expenditures» in the statement of profit or loss.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Bank as a Lessor

The Bank enters into lease contracts as a lessor regarding some investment properties.

Leases in which the Bank is a lessor are classified as operating or finance leases. In the event that the terms of the lease contract transfer all risks and rewards of ownership to the lessee, the contract is classified as a finance lease, and all other leases are classified as operating leases.

When the Bank is an intermediary lessor, it represents the main lease and sub-contract as two separate contracts. The sublease contract is classified as a finance or operating lease by reference to the original right of use arising from the main lease.

Rental income from operating leases is recognised on a straight-line basis over the period of the relevant lease. The primary direct costs incurred in negotiating and arranging an operating lease are added to the book value of the leased asset and are recognised on a straight-line basis over the lease term.

The amounts due from the lessee under finance leases are recognised as receivables with the amount of the company's net investment in the rental contracts. Finance lease income is allocated to accounting periods to reflect a constant periodic rate of return on the Bank's existing net investment with respect to lease contracts.

When the contract includes leasing components and other components other than leasing, the Bank applies IFRS (15) to distribute the amounts received or to be received under the contract for each component.

The Bank as a Lessor

Under finance lease contracts, the amounts due from the lessee are recognised as receivables at the net investment amount in the lease contracts. Moreover, the finance lease income is allocated to accounting periods to reflect a constant periodic return on the net investment as regards rental leases.

Operating lease income is recognised using the straight-line method over the life of the lease. The initial direct costs incurred in the discussion and arrangement of the operating contract are added to the carrying amount of the leased assets and recognised in accordance with the straight-line method over the lease term.

The Bank as a Lessee

Assets acquired through leases are recognised on initial recognition at their fair value at the inception of the lease or at the present value of the minimum lease payments, whichever is lower. Financial leasing liabilities are recorded at the same value. These obligations are presented in the statement of financial position as finance lease liabilities.

The lease payments are distributed between the financing expenses and the decreasing of the financial lease liabilities in order to achieve a fixed rate of interest on the remaining balance of the lease liabilities. Direct financing expenses are recognised in the consolidated statement of profit or loss.

Operating lease payments are recognised as an expense on a straight-line basis over the life of the lease, except in situations there is another regular basis that is more representative of the time pattern in which the economic benefits are utilised from the leased asset. Moreover, contingent lease payments arising from operating leases are recognised as an expense in the period in which they are incurred. In the event that lease incentives are received to enter into an operating lease, these incentives are recognised as an obligation. The overall interest of incentives is recognised as a reduction in the lease expense on a straight-line basis, unless there is a systematic basis that is more representative of the time pattern in which economic benefits from the leased assets are utilised.

Cash and Cash Equivalents

Cash and cash equivalents comprise cash on hand and cash balances with central banks and balances with banks and financial institutions that mature within three months, less banks' and financial institutions' deposits that mature within three months and restricted balances.

3 Adoption of new and revised Standards

a. New and amended IFRS Standards that are effective for the current year

The following new and revised IFRSs, which became effective for annual periods beginning on or after January 1, 2023, have been adopted in these consolidated financial statements. The application of these revised IFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

IFRS 17 Insurance Contracts (including the June 2020 and December 2021 Amendments to IFRS 17)

IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts.

IFRS 17 outlines a general model, which is modified for insurance contracts with direct participation

features, described as the variable fee approach. The general model is simplified if certain criteria are met by measuring the liability for remaining coverage using the premium allocation approach. The general model uses current assumptions to estimate the amount, timing and uncertainty of future cash flows and it explicitly measures the cost of that uncertainty. It takes into account market interest rates and the impact of policyholders' options and guarantees.

The group does not have any contracts that meet the definition of an insurance contract under IFRS 17.

Amendments to IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements— Disclosure of Accounting Policies

The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material.

The IASB has also developed guidance and examples to explain and demonstrate the application of the 'four-step materiality process' described in IFRS Practice Statement 2.

Amendments to IAS 12 Income Taxes—Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting profit nor taxable profit.

Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12.

Amendments to IAS 12 Income Taxes— International Tax Reform—Pillar Two Model Rules

The IASB amends the scope of IAS 12 to clarify that the Standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the OECD, including tax law that implements qualified domestic minimum topup taxes described in those rules.

The amendments introduce a temporary exception to the accounting requirements for deferred taxes in IAS 12, so that an entity would neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes

Amendments to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors—Definition of Accounting Estimates

The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted.

b. New and revised IFRS Accounting Standards in issue but not yet effective

At the date of authorisation of these financial statements, the group has not applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective The Management anticipates that these new standards, interpretations and amendments will be adopted in the Group's consolidated financial statements as and when they are applicable and adoption of these new standards, interpretations and amendments, may have no material impact on the consolidated financial statements of the Group in the period of initial application:

Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of

a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.

The effective date of the amendments has yet to be set by the IASB; however, earlier application of the amendments is permitted.

Amendments to IAS 1 Presentation of Financial Statements—Classification of Liabilities as Current or Non-current

The amendments to affect only the presentation of liabilities as current or noncurrent in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

The amendments are applied retrospectively for annual periods beginning on or after 1 January 2024, with early application permitted.

Amendments to IAS 1 Presentation of Financial Statements—Non-current Liabilities with Covenants

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or noncurrent). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g. a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date).

The IASB also specifies that the right to defer settlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the carrying amount of related liabilities and facts and circumstances, if any, that indicate that the entity may have difficulties complying with the covenants.

The amendments are applied retrospectively for annual reporting periods beginning on or after January 1, 2024

Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures—Supplier Finance Arrangements

The amendments add a disclosure objective to IAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, IFRS 7 was amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

The term 'supplier finance arrangements' is not defined. Instead, the amendments describe the characteristics of an arrangement for which an entity would be required to provide the information.

To meet the disclosure objective, an entity will be required to disclose in aggregate for its supplier finance arrangements:

- The terms and conditions of the arrangements
- The carrying amount, and associated line items presented in the entity's statement of financial position, of the liabilities that are part of the arrangements
- The carrying amount, and associated line items for which the suppliers have already received payment from the finance providers
- Ranges of payment due dates for both those financial liabilities that are part of a supplier finance arrangement and comparable trade payables that are not part of a supplier finance arrangement
- Liquidity risk information

The amendments, which contain specific transition reliefs for the first annual reporting period in which an entity applies the amendments, are applicable for annual reporting periods beginning on or after January 1, 2024. Earlier application is permitted.

Amendment to IFRS 16 Leases—Lease Liability in a Sale and Leaseback

The amendments to IFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

As part of the amendments, the IASB amended an Illustrative Example in IFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and lease liability in a sale and leaseback transaction with variable lease payments that do not depend on an index or rate. The illustrative examples also clarify that the liability, that arises from a sale and leaseback transaction that qualifies as a sale applying IFRS 15, is a lease liability.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. Earlier application is permitted.

4 Significant Accounting Judgments and key Sources of Uncertainty Estimates

Preparation of the consolidated financial statements and application of the accounting policies require the Bank's management to make judgments, estimates, and assumptions that affect the amounts of financial assets and financial liabilities and to disclose potential liabilities. Moreover, these estimates and judgments affect revenues, expenses, provisions, in general, expected credit losses, as well as changes in fair value that appear in the consolidated statement of comprehensive income and within shareholders' equity. In particular, the Bank's management requires judgments to be made to estimate the amounts and timing of future cash flows. These estimates are necessarily based on multiple hypotheses and factors with varying degrees of estimation and uncertainty. Meanwhile, the actual results may differ from estimates due to the changes arising from the conditions and circumstances of those estimates in the future.

Judgments, estimates, and assumptions are reviewed periodically. Moreover, the effect of the change in estimates is recognised in the financial period in which the change occurs if the change affects only the financial period. On the other hand, the effect of the change in estimates is recognised in the financial period in which the change occurs and in future periods if the change affects the financial period and future financial periods. Management believes that its estimates in the consolidated financial statements are reasonable. The details are as follows:

Signification Judgement for the Implementation of the Bank's accounting policies

The following are the key judgements, other than the estimates (disclosed below), which has been used by the management in the implementation of the Bank's accounting policies that has a significant impact on the recognised amounts in the consolidated financial statements.

Evaluation of the business model

The classification and measurement of financial assets depend on the results of the principal, interest payments test on the principal outstanding, and the business model test. The Bank defines a business model at a level that reflects how the groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment that reflects all relevant evidence, including how to assess the performance of the assets and measure their performance, the risks that affect the performance of assets and how they are managed, and how asset managers are compensated. The Bank monitors financial assets measured at amortised cost or fair value through other comprehensive income and derecognised before maturity to understand the reason for derecognition, and whether the reasons are consistent with the objective of the business held. In this respect, control is part of the Bank's continuous assessment of whether the business model under which the remaining financial assets are retained is appropriate, and whether it is inappropriate if there is a change in the business model, and therefore, a future change is made in the classification of those assets.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Significant increase in credit risk

The expected credit loss is measured as an allowance equivalent to the expected credit loss of 12 months for the assets of the first stage, or the credit loss over the life of the assets of the second or third stage. The asset moves to the second stage if credit risk increases significantly since initial recognition. IFRS (9) does not specify what constitutes a significant increase in credit risk. In assessing whether the credit risk of any asset has increased significantly, the Bank takes into account reasonable and reliable quantitative and qualitative information. The estimates used by the Bank's management concerning the significant change in credit risk that result in a change in the classification within the three stages (1, 2 and 3) are shown in details in note (40).

Establishing groups of assets with similar credit risk characteristics

When the expected credit losses are measured on a collective basis, the financial instruments are grouped on the basis of common risk characteristics (e.g. instrument type, credit risk, collateral type, initial recognition date, remaining maturity period, industry, borrower's geographic location, etc.). The Bank monitors the appropriateness of credit risk characteristics on an ongoing basis to assess whether they are still similar. This is required to ensure that, in the event of a change in the credit risk characteristics, the asset is properly reallocated. This may result in the creation of new portfolios or the transfer of assets to an existing portfolio that better reflects the credit risk characteristics of that group of assets.

Re-division of portfolios and movements between portfolios

The re-division of portfolios and movements between portfolios is more common when credit risk increases significantly (or when such a large increase is reflected). Therefore, assets are transferred from expected credit losses of between (12) months to another portfolio or vice versa. However, this may happen within the portfolios that continue to be measured on the same basis as expected credit losses for a 12-month period or a lifetime, but the amount of the expected credit loss changes due to the varying credit risks of portfolios.

Models and assumptions used

The Bank uses various models and assumptions in measuring the fair value of financial assets as well as in assessing the expected credit loss described in note (40). The judgment is applied when determining the best models for each type of asset as well as for the assumptions used in those models, which include assumptions regarding the main drivers of credit risk.

a. Classification and measurement of financial assets and liabilities

The Bank classifies financial instruments or components of financial assets at initial recognition either as a financial asset or a financial liability, or as an equity instrument in accordance with the substance of the contractual agreements and the definition of the instrument. The reclassification of a financial instrument is subject to the substance of the financial statements and not to its legal form.

The Bank shall determine the classification at initial recognition and reassess such determination, if possible and appropriate, at each date of the consolidated statement of financial position.

When measuring financial assets and liabilities, certain assets and liabilities of the Bank are re-measured at fair value for financial reporting purposes. In assessing the fair value of any assets or liabilities, the Bank uses available observable market data. In the absence of Tier 1 inputs, the Bank conducts evaluations using professionally qualified independent evaluators. Moreover, the Bank works closely with qualified external evaluators to develop appropriate valuation and data valuation techniques.

b. Fair value measurement

If the fair values of financial assets and financial liabilities included in the consolidated statement of financial position cannot be obtained from active markets, these fair values are determined using a range of valuation techniques involving the use of accounting models. If possible, the entered data for those models will be extracted from the market data. In the absence of such market data, fair values are determined by making judgments. These provisions include liquidity considerations and model data such as derivative volatility, longer-term discount rates, pre-payment ratios and default rates on asset-backed securities. Management believes that the valuation techniques used are appropriate to determine the fair value of financial instruments.

c. Derivative financial instruments

The fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and, where appropriate, recognised pricing models. In the absence of prices, fair values are determined using valuation techniques that reflect observable market data. These techniques include comparison with similar instruments at observable market prices, discounted cash flow analysis, pricing option models, and other valuation techniques commonly used by market participants. The

main factors that Management takes into consideration when applying the model are:

- The expected timing and probability of future cash flows on the instrument where such cash flows are generally subject to the terms of the instrument, although Management's judgment may be required where the counterparty's ability to repay the instrument in accordance with contractual terms is in doubt; and
- An appropriate discount rate for the instrument. Management determines the instrument discount rate at a rate higher than the non-risk rate. In assessing the instrument by reference to comparative instruments, Management considers the maturity, structure, and degree of classification of the instrument based on the system in which the existing position is compared. When evaluating tools on a model basis using the fair value of the main components, Management also considers the need to make adjustments for a number of factors, such as bid differences, credit status, portfolio service costs, and uncertainty about the model.

Determining the duration of the lease

When determining the duration of the lease, management takes into account all the facts and circumstances that create an economic incentive extension option, or no termination option. Extension options (or periods following termination options) are included only in the lease term if the lease is reasonably assured that it will be extended (or not terminated). The evaluation is reviewed in the event of a significant event or significant change in the circumstances affecting this assessment that are under the control of the tenant.

Key Sources of Uncertainty Estimates

The principal estimates used by Management in applying the Bank's accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements are as follows:

Determining the number and relative weight of scenarios of the outlook for each type of product / market and the identification of future information relevant to each scenario

When measuring the expected credit loss, the Bank uses reasonable and supported future information based on the assumptions of the future movement of the various economic engines and how these affect each other.

Probability of default

The potential for default is a key input in measuring the expected credit loss. The probability of default is an estimate of the probability of default over a given period of time, which includes the calculation of historical data, assumptions, and expectations relating to future circumstances.

Loss given default

Loss given default is an estimate of the loss arising from default. It is based on the difference between the contractual cash flows due and those that the financer expects to collect, taking into account cash flows from collateral and integrated credit adjustments.

Fair value measurement and valuation procedures

When estimating the fair value of financial assets and financial liabilities, the Bank uses available observable market data. In the absence of level (1) inputs, the Bank conducts evaluations using appropriate valuation models to determine the fair value of financial instruments.

Provision for expected credit losses

Management is required to use significant judgments and estimates to estimate the amounts and timing of future cash flows and assess the risks of a significant increase in credit risk for financial assets after initial recognition and future measurement information for the expected credit losses. The most important policies and estimates used by the Bank's management are detailed in Note (40).

Impairment of Seized Assets

Impairment in the value of properties acquired is recognised based on recent real estate valuations by qualified independent evaluators for calculating the asset impairment, which is reviewed periodically. Furthermore, any decrease in its value is recorded in the consolidated statement of profit or loss and consolidated comprehensive income while no increase in its value is recorded as revenue.

In accordance with central Bank of Jordan's generalisation (10/3/16234) dated October 10, 2022, the calculation of the gradual provision for the foreclosed assets against debts has been suspended. Provided that the allocated provisions for the expropriated foreclosed assets in violation of the terms included in the banking low maintained, and that only the allocated provision is released against any of the violating real estate that are disposed of.

Productive lifespan of tangible assets and intangible assets

The Bank's management periodically recalculates the useful lives of tangible assets and intangible assets for

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

calculating annual depreciation and amortisation based on the general condition of those assets and estimated future useful lives. The impairment loss is recognised in the consolidated statement of profit or loss for the year.

Income tax

The fiscal year is charged with income tax expense in accordance with accounting regulations, laws, and standards. Moreover, deferred tax assets, liabilities, and provision are recognised.

Provision for lawsuits

A provision for lawsuits is taken to meet any legal obligations that might arise based on the legal study prepared by the Bank's legal advisor. The study identifies risks that might occur in the future and is reviewed periodically.

Assets and liabilities at cost

Management periodically reviews the assets and liabilities at cost for estimating any impairment in value, which is recognised in the consolidated statement of Profit or Loss for the year.

Lease Extension and Termination Options

Extension and termination options are included in a number of leases. These conditions are used to increase operational flexibility in terms of contract management. Most of the held extension and termination options are renewable by both the Bank and the lessor.

Discounting rental payments

Lease payments are discounted using the Bank's incremental borrowing rate ("IBR"). Management applied the judgments and estimates to determine the incremental borrowing rate at the start of the lease

Listing the Future Outlook Information:

The Bank's management uses the future available information without any unjustified effort or cost for their evaluation on the significant increase in the credit risk, in addition during its measure for the expected credit losses indicator. The Bank uses the external and internal information to prepare the basic scenario for the future expectations of the related economic variables, including a presentable group of the other probable expectation scenario. The used external information includes the economic data and the expectations issued by the governmental bodies and the monetary authorities.

The Bank management conducts the expectations on the determined expected scenarios. The base scenario which is the only most likely result that includes the information used for strategic planning and budgeting. The Bank has determined and documented the main indicators for the credit risks and credit losses related to each financial instrument, noting that using statistical analysis of the historical data it has estimated the relationship between the macroeconomics, credit risks, and the credit losses.

The Bank re-examined the macroeconomic models using an efficient macroeconomic model. and documented the main macroeconomic factors which lead to a change in the payment default rates for each financial instrument. The Banks has used the macroeconomic data and expectations form Moody's macro-economic models system was issued by the governmental and monetary authorities such as the Central Bank of Jordan, the International Monetary Fund, and the National Bank to merge the future outlook information in the probability of default model for each scenario.

The expected relationships between the key macroeconomic factors and the payment default rates for the concerned financial instruments based on the historical data analysis for the prior five years period. The models are controlled and reviewed to ensure from its adequacy as at the end of each report period.

The table below summarizes the key macroeconomic factors included in the economic scenarios used on December 31, 2023 for the years from 2024 to 2028, for the Hashemite Kingdom of Jordan, which is the main country in which the Bank operates, and therefore it is the country which has a significant impact on the expected credit losses. As the changes below summarize the rate of change of the economic indicator in subsequent years compared to the value of economic indicator for the base year December 31, 2023 and cumulatively.

The Percentage of change (Growth or contraction expected in output	2024	2025	2026	2027	2028
Gross Domestic (GDP) Compared to the base year	%	%	%	%	%
Base case scenario	2.4%	5.1%	7.6%	10.1%	12.9%
Positive scenario	5.1%	8.6%	11.2%	13.5%	16.3%
Inverse scenario	-2.2%	-0.9%	1.6%	4.3%	7.0%

The Percentage of change (Growth or contraction expected in output	2024	2025	2026	2027	2028
Share Price Compared to the base year	%	%	%	%	%
Base case scenario	-1.7%	0.6%	6.2%	12.0%	16.3%
Positive scenario	4.9%	4.8%	9.4%	13.7%	18.0%
Inverse scenario	-26.8%	-20.4%	-6.7%	3.2%	7.1%

The Bank has conducted a sensitivity analysis for the corporate facilities portfolio on how the expected credit losses change for the major portfolios if the main assumptions for the calculation of the change of the expected credit extracted from the system (ECL Engine) without applying any excesses (override).

The table below summarizes the total expected credit losses for each portfolio as of December 31, 2023, in case those assumptions remain as expected, in addition if all of these used main assumptions change by 5% increasingly or decreasingly. The changes are applied individually, and it is applied on each weighted scenario based on the probabilities used to estimate the expected credit losses for stage one and stage 2. In fact, there will be a correlation between different economic data, and the exposure to sensitivity will vary with the variation of the economic scenarios.

2023	Balances and deposits at Banks and Financial Institutions JD	Financial assets at fair value through other comprehensive income JD	Financial assets at amortised cost JD	Direct credit facilities JD	Indirect credit facilities (contingent liabilities) JD	Other asset JD
Gross Domestic Product (GDP)						
5%	19,532	7,544	12,392	3,981,855	477,472	-
-5%	20,923	9,985	15,792	4,573,574	580,195	-
Owners' Equity						
5%	19,077	7,760	12,974	4,073,156	496,341	-
-5%	21,907	8,940	15,127	4,495,738	561,698	-

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5 Cash and Balances at the Central Bank of Jordan

The details of this item are as follows:

	2023 JD	2022 JD
Cash on hand	**6,643,878**	6,729,607
Balances at the Central Banks of Jordan:		
Current accounts and demand deposits	**2,834,980**	12,025,413
Statutory cash reserve	**40,064,822**	40,988,300
Time and notice deposits	**31,500,000**	-
Cash and balances at Central Bank of Jordan	**74,399,802**	53,013,713
Total Balances	**81,043,680**	59,743,320

- The cash reserve amounted to JD 40,064,822 as of December 31, 2023 (JD 40,988,300 as of December 31, 2022).
- There are no restricted balances except for the statutory cash reserve as of December 31, 2023 and 2022.
- There are no certificates of deposits for a period exceeding three months as of December 31, 2023 and December 31, 2022.

The movement on the total balances at the Central Banks of Jordan:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Total Balance - Beginning of the year	**53,013,713**	**-**	**-**	**53,013,713**	49,417,591
New balances during the year	**21,386,089**	**-**	**-**	**21,386,089**	3,596,122
Total Balance - End of the year	**74,399,802**	**-**	**-**	**74,399,802**	53,013,713

6 Balances at Banks and Financial Institutions

The details of this item are as follows:

	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	2023 JD	2022 JD	2023 JD	2022 JD	2023 JD	2022 JD
Description						
Current accounts and demand deposits	**43,461**	107,383	**40,290,192**	44,485,966	**40,333,653**	44,593,349
Deposits maturing within 3 months or less	**36,112,245**	41,718,645	**85,959,050**	30,355,475	**122,071,295**	72,074,120
Total	**36,155,706**	41,826,028	**126,249,242**	74,841,441	**162,404,948**	116,667,469
Provision for expected credit loss	**(2,461)**	(3,112)	**(17,176)**	(10,055)	**(19,637)**	(13,167)
Net balances at banks and financial institutions	**36,153,245**	41,822,916	**126,232,066**	74,831,386	**162,385,311**	116,654,302

- Non-interest bearing balances at banks and financial institutions amounted to JD 3,848,473 as of December 31, 2023 (JD 4,311,358 as of December 31, 2022).
- These are no restricted balances at banks and financial institutions as of December 31, 2023 and 2022.

The movement on balances at banks and financial institutions:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Total Balance - Beginning of the year	**116,667,469**	**-**	**-**	**116,667,469**	57,218,887
New balances during the year	**101,771,047**	**-**	**-**	**101,771,047**	66,529,304
Settled balances	**(56,033,568)**	**-**	**-**	**(56,033,568)**	(7,080,722)
Total	**162,404,948**	**-**	**-**	**162,404,948**	116,667,469

Disclosures on the provision for expected credit loss:

	2023				2022
	Stage (1) JD	Stage (2) JD	Stage (3) JD	Total JD	Total JD
Balance - beginning of the year	**13,167**	**-**	**-**	**13,167**	7,978
Impairment loss on new balances during the year	**18,761**	**-**	**-**	**18,761**	13,167
Reversed from impairment loss on settled balances	**(12,291)**	**-**	**-**	**(12,291)**	(7,978)
Transferred to stage (1)	**-**	**-**	**-**	**-**	-
Transferred to stage (2)	**-**	**-**	**-**	**-**	-
Transferred to stage (3)	**-**	**-**	**-**	**-**	-
Effect on the provision- as at end of the year due to classification changes between the three stages	**-**	**-**	**-**	**-**	-
Effect of adjustment	**-**	**-**	**-**	**-**	-
written-off balances and deposits	**-**	**-**	**-**	**-**	-
Adjustments due to change in exchange rates	**-**	**-**	**-**	**-**	-
Total balance as at the end of the year	**-**	**-**	**-**	**-**	-
Balance – End of the Year	**19,637**	**-**	**-**	**19,637**	13,167

7 Deposits at Banks and Financial Institutions

The details of this item are as follows:

	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	2023 JD	2022 JD	2023 JD	2022 JD	2023 JD	2022 JD
Description						
Deposits maturing within a period of 3 months to 6 months	**-**	-	**17,752,650**	7,533,150	**17,752,650**	7,533,150
Total	**-**	-	**17,752,650**	7,533,150	**17,752,650**	7,533,150
Impairment provision	**-**	-	**(807)**	(579)	**(807)**	(579)
Net of deposits at Banks and Financial Institutions	**-**	-	**17,751,843**	7,532,571	**17,751,843**	7,532,571

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The following represents the movement on total deposits at banks and financial institutions:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	2022 JD
Total Balance – Beginning of the year	**7,533,150**	**-**	**-**	**7,533,150**	23,982,650
New deposits during the year	**17,752,650**	**-**	**-**	**17,752,650**	7,533,150
Settled deposits	**(7,533,150)**	**-**	**-**	**(7,533,150)**	(23,982,650)
Total Balance - End of the year	**17,752,650**	**-**	**-**	**17,752,650**	7,533,150

The following represents the movement on the total provision at Banks and financial Institutions:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	2022 JD
Total Balance – Beginning of the year	**579**	**-**	**-**	**579**	3,844
New deposits during the year	**807**	**-**	**-**	**807**	579
Settled Deposits	**(579)**	**-**	**-**	**(579)**	(3,844)
Total Balance - End of the year	**807**	**-**	**-**	**807**	579

8 Direct Credit Facilities at Amortised Cost - Net

The details of this item are as follows:

	2023 JD	2022 JD
Individuals (Retail)		
overdraft *	**26,261,592**	30,426,813
Loans and bills **	**396,635,172**	396,142,220
Credit cards	**3,798,255**	3,602,393
Mortgage loans	**67,512,513**	65,454,857
Corporates		
Overdrafts *	**76,787,806**	62,471,947
Loans and bills **	**192,257,578**	206,420,842
Small to Medium Enterprises "SME's"		
Overdrafts *	**5,087,600**	5,238,876
Loans and bills **	**19,032,615**	19,983,912
**Government and Public Sector **	**67,116,613**	66,862,888
Total	**854,489,744**	856,604,748
Less: Interest in suspense	**(23,742,903)**	(22,351,209)
Less: Expected credit loss	**(67,578,786)**	(68,130,794)
Net Direct Credit Facilities at Amortised Cost	**763,168,055**	766,122,745

* Net after deducting the interest and commissions received in advance which amounted to JD 9,190 as of December 31, 2023 (JD 12,282 as of December 31, 2022).

** Net after deducting interest and commissions received in advance which amounted to JD 86,117 as of December 31, 2023 (JD 139,612 as of December 31, 2022).

- The non performing credit facilities within stage three amounted to JD 88,477,060 which equates to 10.354% of the total direct credit facilities as of December 31, 2023 (JD 84,103,461, which equates to 9.818% of the total direct credit facilities as of December 31, 2022).
- The non performing credit facilities after deducting interest in suspense amounted to JD 64,734,157 which equates to 7.792% of the total direct credit facilities after deducting interests in suspense as of December 31, 2023 (JD 61,752,252 which equates to 7.402% of the total direct credit facilities after deducting interests in suspense as as of December 31, 2022).
- The total credit facilities granted to and guaranteed by the Jordanian government amounted to JD 67,116,613 which equates to 7.855% of the total direct credit facilities as at December 31, 2023 (JD 66,862,888, which equates to 7.806% of the total direct credit facilities as at December 31, 2022).
- Non-performing debts were transferred to Off-Consolidated Statement of Financial Position items with value JD 15,337,871 as of December 31, 2023 against JD 182,305 during the year 2022.

The movement on credit facilities:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	collective JD	Individual JD	collective JD	JD	Total JD	Total JD
Balance - beginning of the year	262,526,849	447,788,005	40,058,124	22,128,309	84,103,461	856,604,748	771,765,838
New credit facilities during the year	107,051,589	77,739,088	1,815,425	2,066,270	4,821,860	193,494,232	297,939,775
Settled credit facilities	(98,010,618)	(70,773,373)	(5,331,874)	(3,534,103)	(2,052,132)	(179,702,100)	(210,552,166)
Transferred to stage (1)	-	4,149,981	-	(3,826,174)	(323,807)	-	-
Transferred to stage (2)	(2,593,215)	(14,854,126)	2,593,215	15,137,269	(283,143)	-	-
Transferred to stage (3)	(126,046)	(7,301,462)	(5,770,593)	(4,394,131)	17,592,232	-	-
Changes resulting from adjustments	500,952	(432,693)	348,745	(942,729)	(43,540)	(569,265)	(2,366,394)
Written-off credit facilities	-	-	-	-	(15,337,871)	(15,337,871)	(182,305)
Balance - End of the Year	269,349,511	436,315,420	33,713,042	26,634,711	88,477,060	854,489,744	856,604,748

The movement on impairment loss collectively as of the year end:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	collective JD	Individual JD	collective JD	JD	Total JD	Total JD
Balance - beginning of the year	1,424,631	2,501,980	4,382,190	1,699,524	58,122,469	68,130,794	61,096,507
New credit facilities during the year	557,733	602,305	1,889,589	176,191	1,977,421	5,203,239	7,464,290
Settled credit facilities during the year	(586,142)	(475,470)	(242,181)	(195,601)	(1,655,694)	(3,155,088)	(6,746,412)
Transferred to stage (1)	-	32,413	-	(28,474)	(3,939)	-	-
Transferred to stage (2)	(70,047)	(1,632,627)	70,047	1,665,542	(32,915)	-	-
Transferred to stage (3)	(11,879)	(3,852,809)	(1,736,068)	(2,791,990)	8,392,746	-	-
Net effect on the size of exposures due to change Classification between stages	62,278	5,348,314	1,603,504	1,846,458	(444,104)	8,416,450	6,328,189
Written-off exposures	-	-	-	-	(11,016,609)	(11,016,609)	(11,780)
Balance - End of the Year	1,376,574	2,524,106	5,967,081	2,371,650	55,339,375	67,578,786	68,130,794

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The following is the movement on the impairment provision of direct credit facilities:

			Corporates			
	Retail JD	Real Estate JD	Large corporate JD	SME's JD	Government and Public Sector JD	Total JD
2023						
Balance at the beginning of the year	**24,689,835**	**826,598**	**40,516,982**	**2,092,680**	**4,699**	**68,130,794**
Impairment loss on the new credit facilities during the year	**2,364,806**	**202,694**	**2,296,359**	**339,382**	**-**	**5,203,241**
Deducted from revenue during the year	**(1,597,522)**	**(222,226)**	**(1,226,738)**	**(108,113)**	**(490)**	**(3,155,089)**
Transferred to stage (1)	**(5,041,361)**	**(17,252)**	**(36,516)**	**(45,410)**	**-**	**(5,140,539)**
Transferred to stage (2)	**(969,435)**	**(23,293)**	**(1,519,784)**	**(146,237)**	**-**	**(2,658,749)**
Transferred to stage (3)	**6,010,796**	**40,545**	**1,556,300**	**191,647**	**-**	**7,799,288**
Impact on the provision as at the year end - due to changes in the classification between the three stages during the year	**6,354,236**	**27,019**	**1,848,139**	**187,055**	**-**	**8,416,449**
Changes resulted from adjustments	**-**	**-**	**-**	**-**	**-**	**-**
Written-off loans	**(1,724,420)**	**(95,591)**	**(8,717,546)**	**(479,052)**	**-**	**(11,016,609)**
Balance at the End of the Year	**30,086,935**	**738,494**	**34,717,196**	**2,031,952**	**4,209**	**67,578,786**
2022						
Balance at the beginning of the year	21,493,729	567,178	37,054,558	1,981,042	-	61,096,507
Impairment loss on the new credit facilities during the year	2,162,370	164,694	4,950,219	182,308	4,699	7,464,290
Deducted from revenue during the year	(2,057,929)	(31,249)	(4,443,563)	(213,671)	-	(6,746,412)
Transferred to stage (1)	(2,357,027)	(104,169)	(14,939)	(4,349)	-	(2,480,484)
Transferred to stage (2)	(598,762)	(16,257)	(9,867,906)	(156,072)	-	(10,638,997)
Transferred to stage (3)	2,955,789	120,426	9,882,845	160,421	-	13,119,481
Impact on the provision as at the year end - due to changes in the classification between the three stages during the year	3,103,445	125,975	2,955,768	143,001	-	6,328,189
Changes resulted from adjustments	-	-	-	-	-	-
Written-off loans	(11,780)	-	-	-	-	(11,780)
Balance at the End of the Year	24,689,835	826,598	40,516,982	2,092,680	4,699	68,130,794

- The provisions no longer needed due to settlements or debts payment and transferred against other debts amounted to JD 2,658,137 as of December 31, 2023 (JD 2,391,236 as of December 31, 2022).

Interest in Suspense

The following is the movement on interest in suspense:

	Retail JD	Real Estate JD	Corporates		Total JD
			Large corporate JD	SME's JD	
2023					
Balance at the beginning of the year	**9,941,172**	**490,537**	**10,763,643**	**1,155,857**	**22,351,209**
Add: Suspended interests during the year	**2,517,098**	**160,184**	**3,514,574**	**130,057**	**6,321,913**
Less: interests transferred to income	**(421,799)**	**(69,085)**	**(100,493)**	**(17,580)**	**(608,957)**
Written-off interest in suspense	**(657,367)**	**(105,084)**	**(2,994,769)**	**(564,042)**	**(4,321,262)**
Balance at the Ending of the Year	**11,379,104**	**476,552**	**11,182,955**	**704,292**	**23,742,903**
2022					
Balance at the beginning of the year	8,737,795	386,792	7,145,861	1,069,686	17,340,134
Add: Suspended interests during the year	1,685,511	106,569	3,650,076	112,571	5,554,727
Less: interests transferred to income	(345,526)	-	(1,201)	(26,400)	(373,127)
Written-off interest in suspense	(136,608)	(2,824)	(31,093)	-	(170,525)
Balance at the Ending of the Year	9,941,172	490,537	10,763,643	1,155,857	22,351,209

The following are the credit exposures according to IFRS (9):

	According to the International Financial Reporting Standards (9)									Total		
	Stage (1)			Stage (2)			Stage (3)					
	Gross JD	Provision for Expected Credit Loss JD	Interest in Suspense JD	Gross JD	Provision for Expected Credit Loss JD	Interest in Suspense JD	Gross JD	Provision for Expected Credit Loss JD	Interest in Suspense JD	Gross JD	Provision for Expected Credit Loss JD	Interest in Suspense JD
2023												
Retail	**367,699,807**	**(2,457,862)**	**-**	**18,663,078**	**(2,261,861)**	**-**	**40,332,134**	**(25,367,212)**	**(11,379,104)**	**426,695,019**	**(30,086,935)**	**(11,379,104)**
Real Estate Loans	**59,638,027**	**(55,127)**	**-**	**6,019,720**	**(92,171)**	**-**	**1,854,766**	**(591,196)**	**(476,552)**	**67,512,513**	**(738,494)**	**(476,552)**
Large Corporate	**195,605,610**	**(1,246,088)**	**-**	**29,996,602**	**(5,752,999)**	**-**	**43,443,172**	**(27,718,109)**	**(11,182,955)**	**269,045,384**	**(34,717,196)**	**(11,182,955)**
SME's	**15,604,874**	**(137,394)**	**-**	**5,668,353**	**(231,700)**	**-**	**2,846,988**	**(1,662,858)**	**(704,292)**	**24,120,215**	**(2,031,952)**	**(704,292)**
Government and Public Sector	**67,116,613**	**(4,209)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**67,116,613**	**(4,209)**	**-**
	705,664,931	**(3,900,680)**	**-**	**60,347,753**	**(8,338,731)**	**-**	**88,477,060**	**(55,339,375)**	**(23,742,903)**	**854,489,744**	**(67,578,786)**	**(23,742,903)**
2022												
Retail	384,249,352	(2,430,952)	-	13,059,671	(1,529,730)	-	32,862,403	(20,729,153)	(9,941,172)	430,171,426	(24,689,835)	(9,941,172)
Real Estate Loans	55,322,370	(57,656)	-	7,928,901	(147,054)	-	2,203,586	(621,888)	(490,537)	65,454,857	(826,598)	(490,537)
Large Corporate	187,281,412	(1,333,825)	-	35,879,992	(4,279,712)	-	45,731,385	(34,903,445)	(10,763,643)	268,892,789	(40,516,982)	(10,763,643)
SME's	16,598,832	(99,479)	-	5,317,869	(125,218)	-	3,306,087	(1,867,983)	(1,155,857)	25,222,788	(2,092,680)	(1,155,857)
Government and Public Sector	66,862,888	(4,699)	-	-	-	-	-	-	-	66,862,888	(4,699)	-
	710,314,854	(3,926,611)	-	62,186,433	(6,081,714)	-	84,103,461	(58,122,469)	(22,351,209)	856,604,748	(68,130,794)	(22,351,209)

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The distribution of total facilities according to the Bank's internal credit rating for retails is:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Credit rating categories based on the Bank's internal system:							
1	-	10,313,993	-	284,291	-	10,598,284	11,807,829
2	-	-	-	-	-	-	-
3	-	550,159	-	-	-	550,159	750,761
4	-	18,980,324	-	299,879	-	19,280,203	22,043,804
5	-	118,860,862	-	2,957,873	-	121,818,735	150,903,730
6	-	218,104,093	-	4,632,482	-	222,736,575	205,477,651
7	-	761,059	-	9,294,753	-	10,055,812	5,813,876
8	-	129,317	-	1,193,800	-	1,323,117	511,372
9	-	-	-	-	3,757,237	3,757,237	1,894,986
10	-	-	-	-	4,800,582	4,800,582	1,467,487
11	-	-	-	-	31,774,315	31,774,315	29,499,930
Total	-	367,699,807	-	18,663,078	40,332,134	426,695,019	430,171,426

The movement on the facilites related to retail is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Total exposures - beginning of the year	-	384,249,352	-	13,059,671	32,862,403	430,171,426	381,784,615
New exposures during the year	-	61,765,695	-	811,870	1,513,207	64,090,772	164,800,518
Settled exposures during the year	-	(62,621,233)	-	(700,316)	(1,008,373)	(64,329,922)	(115,366,300)
Transferred to stage (1)	-	3,216,314	-	(2,892,507)	(323,807)	-	-
Transferred to stage (2)	-	(12,856,887)	-	13,140,030	(283,143)	-	-
Transferred to stage (3)	-	(6,043,899)	-	(3,953,275)	9,997,174	-	-
Effect on total exposures due to change in the classification between stages	-	(9,535)	-	(802,395)	(43,540)	(855,470)	(899,019)
Changes resulted from adjustments	-	-	-	-	-	-	-
Written off exposures	-	-	-	-	(2,381,787)	(2,381,787)	(148,388)
Total exposures - end of the year	-	367,699,807	-	18,663,078	40,332,134	426,695,019	430,171,426

The movement on the provision for expected credit losses for retail is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Balance - beginning of the year	-	2,430,952	-	1,529,730	20,729,153	24,689,835	21,493,729
Impairment losses on the new exposures during the year	-	582,197	-	163,960	1,618,649	2,364,806	2,162,370
Recovered from impairment losses on the exposures settled during the year	-	(455,445)	-	(122,013)	(1,020,064)	(1,597,522)	(2,057,929)
Transferred to stage (1)	-	30,736	-	(26,797)	(3,939)	-	-
Transferred to stage (2)	-	(1,599,060)	-	1,631,975	(32,915)	-	-
Transferred to stage (3)	-	(3,493,408)	-	(2,751,444)	6,244,852	-	-
Effect on the impairment losses due to change in the classification between stages	-	4,961,890	-	1,836,450	(444,104)	6,354,236	3,103,445
Effect on the provision due to adjustments	-	-	-	-	-	-	-
Impairment loss on the written off exposures	-	-	-	-	(1,724,420)	(1,724,420)	(11,780)
Balance of the provision for expected credit losses at year end	-	2,457,862	-	2,261,861	25,367,212	30,086,935	24,689,835

The distribution of total facilities according to the Bank's internal credit rating for real estates:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Credit rating categories based on the bank's internal system:							
1	-	1,525,261	-	56,525	-	1,581,786	1,806,350
2	-	-	-	-	-	-	-
3	-	726,457	-	-	-	726,457	1,019,894
4	-	4,187,641	-	11,836	-	4,199,477	4,599,853
5	-	23,839,100	-	1,054,160	-	24,893,260	30,181,902
6	-	29,359,568	-	2,762,395	-	32,121,963	23,539,197
7	-	-	-	1,696,261	-	1,696,261	1,946,213
8	-	-	-	438,543	-	438,543	157,862
9	-	-	-	-	246,468	246,468	799,717
10	-	-	-	-	106,718	106,718	165,270
11	-	-	-	-	1,501,580	1,501,580	1,238,599
Total	-	59,638,027	-	6,019,720	1,854,766	67,512,513	65,454,857

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The movement on the real estates facilities is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Total exposures - beginning of the year	-	55,322,370	-	7,928,901	2,203,586	65,454,857	68,314,219
New exposures during the year	-	12,707,989	-	17,305	49,292	12,774,586	6,294,246
Settled exposures during the year	-	(7,946,938)	-	(1,694,049)	(638,293)	(10,279,280)	(8,773,353)
Transferred to stage (1)	-	933,667	-	(933,667)	-	-	-
Transferred to stage (2)	-	(1,282,419)	-	1,282,419	-	-	-
Transferred to stage (3)	-	-	-	(440,856)	440,856	-	-
Effect on total exposure due to change in the classifications between stages	-	(96,642)	-	(140,333)	-	(236,975)	(377,431)
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off exposures	-	-	-	-	(200,675)	(200,675)	(2,824)
Adjustments due to change in exchange rates	-	-	-	-	-	-	-
Total exposures - end of the year	-	59,638,027	-	6,019,720	1,854,766	67,512,513	65,454,857

The movement on the provision for expected credit losses for real estates is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Balance - beginning of the year	-	57,656	-	147,054	621,888	826,598	567,178
Impairment losses on new exposures during the year	-	16,803	-	9,252	176,639	202,694	164,694
Recovered from impairment losses on the exposures settled during the year	-	(19,091)	-	(50,850)	(152,285)	(222,226)	(31,249)
Transferred to stage (1)	-	1,677	-	(1,677)	-	-	-
Transferred to stage (2)	-	(18,929)	-	18,929	-	-	-
Transferred to stage (3)	-	-	-	(40,545)	40,545	-	-
Effect on total exposure due to change in the classifications between stages	-	17,011	-	10,008	-	27,019	125,975
Effect on the provision due to adjustments	-	-	-	-	-	-	-
Impairment loss on the written off exposures	-	-	-	-	(95,591)	(95,591)	-
Adjustments due to change in exchange rates	-	-	-	-	-	-	-
Balance of the provision for expected credit losses at year end	-	55,127	-	92,171	591,196	738,494	826,598

The distribution of total facilities according to the Bank's internal credit rating for large corporate:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	-
3	-	-	-	-	-	-	-
4	-	-	-	-	-	-	-
5	40,448,345	-	-	-	-	40,448,345	6,908,098
6	213,297,078	-	2,908,434	-	-	216,205,512	249,218,283
7	-	8,976,799	5,196,976	1,951,913	-	16,125,688	17,924,849
8	1	-	19,939,279	-	-	19,939,280	15,973,062
9	-	-	-	-	5,459,510	5,459,510	6,020
10	-	-	-	-	1,257,563	1,257,563	110,742
11	-	-	-	-	36,726,099	36,726,099	45,614,623
Total	253,745,424	8,976,799	28,044,689	1,951,913	43,443,172	336,161,997	335,755,677

The movement on the large corporate facilities is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Total exposures - beginning of the year	245,928,016	8,216,284	34,740,256	1,139,736	45,731,385	335,755,677	295,671,908
New exposures during the year	99,740,635	3,264,617	682,509	1,237,095	3,003,312	107,928,168	117,367,940
Settled exposures during the year	(91,424,588)	(205,202)	(3,472,852)	(1,139,738)	(296,284)	(96,538,664)	(76,377,863)
Transferred to stage (1)	-	-	-	-	-	-	-
Transferred to stage (2)	(1,223,183)	(714,820)	1,223,183	714,820	-	-	-
Transferred to stage (3)	-	(1,257,563)	(5,459,511)	-	6,717,074	-	-
Effect on total exposure due to change in the classifications between stages	724,544	-	331,104	-	-	1,055,648	(875,215)
Changes resulted from adjustments	-	(326,517)	-	-	-	(326,517)	-
Written-off exposures	-	-	-	-	(11,712,315)	(11,712,315)	(31,093)
Adjustments due to change in exchange rates	-	-	-	-	-	-	-
Total exposures - end of the year	253,745,424	8,976,799	28,044,689	1,951,913	43,443,172	336,161,997	335,755,677

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The movement on the provision for expected credit losses for large corporates is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Balance - beginning of the year	1,325,148	13,376	4,256,976	22,736	34,903,445	40,521,681	37,054,558
Impairment losses on new exposures during the year	473,796	3,328	1,769,136	2,977	47,122	2,296,359	4,954,918
Recovered from impairment losses on the exposures settled during the year	(548,412)	(935)	(224,531)	(22,737)	(430,613)	(1,227,228)	(4,443,563)
Transferred to stage (1)	-	-	-	-	-	-	-
Transferred to stage (2)	(36,516)	(14,638)	36,516	14,638	-	-	-
Transferred to stage (3)	-	(359,401)	(1,556,300)	-	1,915,701	-	-
Effect on the impairment losses due to change in the classifications between stages	25,139	369,412	1,453,588	-	-	1,848,139	2,955,768
Effect of adjustment on the resulted provision	-	-	-	-	-	-	-
Impairment loss on the written off exposures	-	-	-	-	(8,717,546)	(8,717,546)	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Balance of the provision for expected credit losses at year end	1,239,155	11,142	5,735,385	17,614	27,718,109	34,721,405	40,521,681

The distribution of total facilities according to the Bank's internal credit rating for Small to Medium entities (SME's) is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	-
3	-	-	-	-	-	-	-
4	-	-	-	-	-	-	-
5	-	-	-	-	-	-	22,515
6	14,836,038	-	1,204,082	-	-	16,040,120	17,456,589
7	768,836	-	3,034,817	-	-	3,803,653	4,208,599
8	-	-	1,429,454	-	-	1,429,454	228,998
9	-	-	-	-	207,658	207,658	165,522
10	-	-	-	-	437,128	437,128	161,547
11	-	-	-	-	2,202,202	2,202,202	2,979,018
Total	15,604,874	-	5,668,353	-	2,846,988	24,120,215	25,222,788

The movement on the Small and Medium entities (SME's) facilities is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Total exposures - beginning of the year	**16,598,832**	**-**	**5,317,869**	**-**	**3,306,087**	**25,222,788**	25,995,096
New exposures during the year	**7,311,742**	**-**	**1,132,915**	**-**	**256,049**	**8,700,706**	9,477,071
Settled exposures during the year	**(6,586,030)**	**-**	**(1,859,022)**	**-**	**(109,182)**	**(8,554,234)**	(10,034,650)
Transferred to stage (1)	**-**	**-**	**-**	**-**	**-**	**-**	-
Transferred to stage (2)	**(1,370,032)**	**-**	**1,370,032**	**-**	**-**	**-**	-
Transferred to stage (3)	**(126,046)**	**-**	**(311,082)**	**-**	**437,128**	**-**	-
Effect on total exposure due to change in the classifications between stages	**(223,592)**	**-**	**17,641**	**-**	**-**	**(205,951)**	(214,729)
Changes resulted from adjustments	**-**	**-**	**-**	**-**	**-**	**-**	-
Written-off credit facilities	**-**	**-**	**-**	**-**	**(1,043,094)**	**(1,043,094)**	-
Adjustments due to change in exchange rates	**-**	**-**	**-**	**-**	**-**	**-**	-
Total exposures at year end	**15,604,874**	**-**	**5,668,353**	**-**	**2,846,988**	**24,120,215**	25,222,788

The movement on the provision for expected credit losses for Small and Medium entities (SME's) is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	Individual JD	Total JD	2022 JD
Balance - beginning of the year	**99,479**	**-**	**125,218**	**-**	**1,867,983**	**2,092,680**	1,981,042
Impairment losses on new exposures during the year	**83,916**	**-**	**120,454**	**-**	**135,012**	**339,382**	182,308
Recovered from impairment losses on the exposures settled during the year	**(37,730)**	**-**	**(17,651)**	**-**	**(52,732)**	**(108,113)**	(213,671)
Transferred to stage (1)	**-**	**-**	**-**	**-**	**-**	**-**	-
Transferred to stage (2)	**(33,531)**	**-**	**33,531**	**-**	**-**	**-**	-
Transferred to stage (3)	**(11,879)**	**-**	**(179,768)**	**-**	**191,647**	**-**	-
Effect on the impairment losses due to change in the classifications between stages	**37,139**	**-**	**149,916**	**-**	**-**	**187,055**	143,001
Effect of adjustment on the resulted provision	**-**	**-**	**-**	**-**	**-**	**-**	-
Impairment loss on the written off exposures	**-**	**-**	**-**	**-**	**(479,052)**	**(479,052)**	-
Adjustments due to change in exchange rates	**-**	**-**	**-**	**-**	**-**	**-**	-
Balance of the provision for expected credit losses at year end	**137,394**	**-**	**231,700**	**-**	**1,662,858**	**2,031,952**	2,092,680

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9 Financial Assets at Fair Value through Other Comprehensive Income

The details of this item are as follows:

	2023 JD	2022 JD
Quoted shares in active markets	**1,251,906**	1,250,705
Unquoted shares in active markets	**3,414,222**	2,899,316
Governmental and guaranteed financial bonds	**76,288,863**	115,299,365
Jordanian treasury bills	**-**	15,652,517
Other financial bonds	**13,327,665**	10,162,899
Total	**94,282,656**	145,264,802
Less: Impairment provision	**(8,355)**	(4,453)
	94,274,301	145,260,349

The movement on the provision for expected credit losses of the financial assets through other comprehensive income as follows:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Balance – beginning of the year	**4,453**	**-**	**-**	**4,453**	2,830
New investment during the year	**3,902**	**-**	**-**	**3,902**	3,477
Matured investments	**-**	**-**	**-**	**-**	(1,854)
Transferred to stage (1)	**-**	**-**	**-**	**-**	-
Transferred to stage (2)	**-**	**-**	**-**	**-**	-
Transferred to stage (3)	**-**	**-**	**-**	**-**	-
Changes in fair value	**-**	**-**	**-**	**-**	-
Effect of changes in the investments adjustments	**-**	**-**	**-**	**-**	-
Written-off investment	**-**	**-**	**-**	**-**	-
Total balance – end of the year	**8,355**	**-**	**-**	**8,355**	4,453

The following represents the movement on financial assets through other comprehensive income:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Balance – beginning of the year	145,264,802	-	-	145,264,802	135,636,739
New investment during the year	3,465,218	-	-	3,465,218	27,883,155
Matured investments	(56,076,077)	-	-	(56,076,077)	(10,149,964)
Transferred to stage (1)	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-
Changes in fair value	1,628,713	-	-	1,628,713	(8,105,128)
Effect of changes in the investments adjustments	-	-	-	-	-
Written-off investment	-	-	-	-	-
Total balance – end of the year	94,282,656	-	-	94,282,656	145,264,802

10 Financial Assets at Amortised Cost

The details of this item are as follows:

	2023 JD	2022 JD
Financial assets that have market prices		
Jordanian treasury bills	13,800,725	18,830,972
Governmental and guaranteed bonds	152,666,218	106,706,487
Other financial bonds	15,000,000	15,000,000
	181,466,943	140,537,459
Less: Provision for financial assets at amortised cost	(13,997)	(15,204)
	181,452,946	140,522,255
Bonds Analysis:		
With fixed rate	181,466,943	140,537,459
With floating rate	-	-
Total	181,466,943	140,537,459
Bonds Analysis in accordance with IFRS (9)		
Stage 1	181,466,943	140,537,459
Stage 2	-	-
Stage 3	-	-
Total	181,466,943	140,537,459

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The following is the movement of the financial assets at amortised cost:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Balance – beginning of the year	140,537,459	-	-	140,537,459	139,322,625
New investment during the year	64,241,193	-	-	64,241,193	77,423,339
Settled investments *	(23,311,709)	-	-	(23,311,709)	(76,208,505)
Transferred to stage 1	-	-	-	-	-
Transferred to stage 2	-	-	-	-	-
Transferred to stage 3	-	-	-	-	-
Changes in fair value	-	-	-	-	-
Effect of changes in the investments adjustments	-	-	-	-	-
Written off investments	-	-	-	-	-
Total balance - end of the year	181,466,943	-	-	181,466,943	140,537,459

The following is the movement on provision for expected credit losses for financial assets at amortised cost:

	2023				2022
	Stage (1) Individual JD	Stage (2) Individual JD	Stage (3) JD	Total JD	Total JD
Balance – beginning of the year	15,204	-	-	15,204	8,217
Impairment losses on new investments during the year	-	-	-	-	15,204
Recovered amount from losses on paid investments	(1,207)	-	-	(1,207)	(8,217)
Transferred to stage (1)	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-
Changes in fair value	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-
Written-off investments	-	-	-	-	-
Total balance - end of the year	13,997	-	-	13,997	15,204

11 Financial Assets at Amortised Cost - Mortgaged

The details of this item are as follows:

	2023 JD	2022 JD
Governmental and guaranteed bonds	30,989,923	47,518,001
	30,989,923	47,518,001

* On April 4, 2021, the Bank sold three bonds of the Jordanian treasury bonds with a nominal value of JD 31,000,000 to Arab Bank. The amount of the repurchase agreement was JD 34,455,130, and the amount received was JD 33,766,027 as borrowed money at an interest rate of 5.88% per annum, as stated in Note (19). Moreover, the Bank did not recognise this transaction as a sale transaction, as the Bank reserves the right to repurchase these bonds on April 3, 2025.

12 Property and Equipment - Net

The details of this item are as follows:

	Lands JD	Buildings JD	Equipment and Furniture JD	Vehicles JD	Computers JD	Decorations and Leasehold Improvements JD	Total JD
2023							
Cost:							
Balance - beginning of the year	**5,473,330**	**16,593,258**	**12,061,957**	**504,600**	**3,284,546**	**5,496,547**	**43,414,238**
Additions *	**-**	**3,306**	**538,097**	**-**	**272,245**	**265,252**	**1,078,900**
Disposals	**-**	**(281,021)**	**(31,740)**	**-**	**(44,547)**	**(621)**	**(357,929)**
Balance - End of the Year	**5,473,330**	**16,315,543**	**12,568,314**	**504,600**	**3,512,244**	**5,761,178**	**44,135,209**
Accumulated Depreciation:							
Balance - beginning of the year	**-**	**1,815,015**	**4,925,827**	**460,460**	**2,299,348**	**3,396,105**	**12,896,755**
Depreciation of the year	**-**	**325,940**	**1,344,990**	**25,658**	**401,410**	**252,568**	**2,350,566**
Disposals	**-**	**(172,890)**	**(31,370)**	**-**	**(44,144)**	**(274)**	**(248,678)**
Accumulated depreciation at the end of the year	**-**	**1,968,065**	**6,239,447**	**486,118**	**2,656,614**	**3,648,399**	**14,998,643**
Net book value of property and equipment	**5,473,330**	**14,347,478**	**6,328,867**	**18,482**	**855,630**	**2,112,779**	**29,136,566**
Advance payment on the purchase of property and equipment	**-**	**-**	**-**	**-**	**17,547**	**25,793**	**43,340**
Projects under construction	**-**	**3,590,613**	**189,806**	**-**	**-**	**-**	**3,780,419**
Net Book Value – End of the Year	**5,473,330**	**17,938,091**	**6,518,673**	**18,482**	**873,177**	**2,138,572**	**32,960,325**
2022							
Cost:							
Balance - beginning of the year	5,473,330	19,298,573	11,149,223	504,600	4,285,041	6,318,845	47,029,612
Additions *	-	341,043	2,100,998	-	400,262	332,242	3,174,545
Disposals	-	(3,046,358)	(1,188,264)	-	(1,400,757)	(1,154,540)	(6,789,919)
Balance - End of the Year	5,473,330	16,593,258	12,061,957	504,600	3,284,546	5,496,547	43,414,238
Accumulated Depreciation:							
Balance - beginning of the year	-	3,919,027	4,635,165	434,150	3,334,202	4,267,790	16,590,334
Depreciation of the year	-	334,255	1,448,229	26,310	365,181	262,233	2,436,208
Disposals	-	(2,438,267)	(1,157,567)	-	(1,400,035)	(1,133,920)	(6,129,789)
Accumulated depreciation at the end of the year	-	1,815,015	4,925,827	460,460	2,299,348	3,396,103	12,896,753
Net book value of property and equipment	5,473,330	14,778,243	7,136,130	44,140	985,198	2,100,444	30,517,485
Advance payment on the purchase of property and equipment	-	-	6,728	-	189,042	90,000	285,770
Projects under construction	-	1,750,360	471,272	-	-	34,772	2,256,404
Net Book Value – End of the Year	5,473,330	16,528,603	7,614,130	44,140	1,174,240	2,225,216	33,059,659
Annual Depreciation Rate %	-	2-15	9-20	15	9-25	9-10	

- The fully depreciated assets on Property and equipment amounted to JD 8,832,357 as of December 31, 2023 (JD 6,895,772 as of December 31, 2022).

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13 Intangible Assets - Net

The details of this item are as follows:

	2023 JD	2022 JD
Balance - beginning of the year	**1,254,297**	1,556,131
Additions	**350,398**	180,729
Amortisation of the year	**(524,294)**	(482,563)
Balance - end of the year	**1,080,401**	1,254,297
Amortisation Rate %	**20**	20

14 Lease Contracts

Right-of-use assets:

The Bank leases many assets including land and buildings, the following is the movement on the right- of-use assets' during the year:

	2023 JD	2022 JD
Balance - beginning of the year	**2,926,289**	2,826,245
Add: Additions during the year	**615,455**	911,603
Less: Depreciation of the year	**(636,632)**	(604,721)
Cancelled contracts	**-**	(206,838)
Balance - end of the year	**2,905,112**	2,926,289

The amounts recorded on the consolidated statement of profit or loss

	2023 JD	2022 JD
Depreciation of the year	**636,632**	682,103
Interest of the year	**153,549**	167,286
Lease expense during the year	**790,181**	849,389

Lease liabilities:

	2023 JD	2022 JD
Balance - beginning of the year	**2,819,028**	2,762,365
Add: Additions during the year	**615,454**	911,603
Interest during the year	**153,549**	167,286
Less: Payments during the year	**(759,956)**	(880,306)
Cancelled contracts	**-**	(141,920)
Balance - end of the year	**2,828,075**	2,819,028

15 Other Assets

The details of this item are as follows:

	2023 JD	2022 JD
Accrued revenues and interests	**6,741,320**	8,972,504
Prepaid expenses	**900,324**	759,250
* Assets seized by the Bank against outstanding debts	**2,815,582**	3,034,678
Assets / gain unrealised derivatives gain	**384,065**	465,904
Other receivables / Brokerage Company	**46,066**	88,259
Lands held for sale / Brokerage Company	**1,696,734**	1,696,734
Discounted LC's	**-**	75,640
Seized assets sold in installments	**3,822,675**	3,822,675
Others	**3,479,733**	3,218,318
Total	**19,886,499**	22,133,962

* The regulations of the Central Bank of Jordan require disposing of the assets seized by the Bank against outstanding debts on the clients during a maximum period of two years from the date of its acquisition. In exceptional cases , the Central Bank may extend this period to a maximum two consecutive years.

The following is a summary of the movement on assets seized by the Bank due to outstanding debts:

	2023 JD	2022 JD
Balance - beginning of the year	**3,034,678**	3,270,042
Additions	**135,905**	73,925
Disposals	**(355,001)**	(309,289)
(Provision) for assets seized during the year	**-**	-
Balance - end of the year	**2,815,582**	3,034,678

The provision of assets seized by the Bank amounted to JD 201,322 as at December 31, 2023 (JD 201,322 as at December 31, 2022) for the assets seized by the Bank for a period of more than 4 years.

16 Bank and Financial Institutions Deposits

The details of this item are as follows:

	2023			2022		
	Inside Jordan JD	Outside Jordan JD	Total JD	Inside Jordan JD	Outside Jordan JD	Total JD
Current accounts and demand deposits	**-**	**942,976**	**942,976**	-	1,336,583	1,336,583
Deposits due within 3 months	**-**	**128,897,549**	**128,897,549**	24,000,000	111,755,671	135,755,671
Deposits due within 3 - 6 months	**-**	**-**	**-**	-	1,604,642	1,604,642
More than a year	**-**	**38,995,000**	**38,995,000**	-	-	-
Total	**-**	**168,835,525**	**168,835,525**	24,000,000	114,696,896	138,696,896

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17 Customers' Deposits

The details of this item are as follows:

	Retail JD	Large Corporate JD	SMEs JD	Government and Public Sector JD	Total JD
2023					
Current accounts and demand deposits	**41,924,420**	**54,060,791**	**9,231,972**	**574,721**	**105,791,904**
Saving deposits	**17,702,723**	**181,325**	**157,262**	**86**	**18,041,396**
Time and notice deposits	**349,180,156**	**272,612,151**	**15,387,421**	**115,610,447**	**752,790,175**
Total	**408,807,299**	**326,854,267**	**24,776,655**	**116,185,254**	**876,623,475**
2022					
Current accounts and demand deposits	49,425,795	61,503,771	10,688,854	644,914	122,263,334
Saving deposits	21,551,728	282,174	299,556	85	22,133,543
Time and notice deposits	309,126,999	280,847,274	10,565,453	96,977,833	697,517,559
Total	380,104,522	342,633,219	21,553,863	97,622,832	841,914,436

- The deposits of the governmental and public sector inside Jordan amounted to JD 116,185,254 representing 13.254% of total deposits as of December 31, 2023 (JD 97,622,832 representing 11.595% of total deposits as of December 31, 2022).
- Non-interest bearing deposits amounted to JD 70,560,283 representing 8.049% of total deposits as of December 31, 2023 (JD 98,512,567, representing 11.701% as of December 31, 2022).
- Restricted deposits amounted to JD 102,817,184 representing 11.729% of total deposits as of December 31, 2023 (JD 97,528,567, representing 11.584% of total deposits as of December 31, 2022).
- Dormant accounts amounted to JD 8,877,860 as of December 31, 2023 (JD 13,643,745 as of December 31, 2022).

18 Cash Margins

The details of this item are as follows:

	2023 JD	2022 JD
Margins on direct credit facilities	**37,035,726**	41,779,992
Margins on indirect credit facilities	**5,073,752**	4,985,310
Other margins	**2,871,835**	3,529,592
Total	**44,981,313**	50,294,894

19 Borrowed Funds

The details of this item are as follows:

	Amount	Number of Payments		Instalments Maturity	Collaterals	Interest Rate
		Total Number of Payments	Outstanding Payments			
2023						
Arab Bank loan *	**33,766,027**	**1**	**1**	**36 Months**	**Mortgaged bonds - The Central Bank of Jordan**	**%5.880**
Central Bank of Jordan loan **	**122,426**	**34**	**4**	**Semi annual**	**-**	**%2.500**
Central Bank of Jordan loan ***	**1,002,638**	**24**	**24**	**Semi annual**	**-**	**%3.000**
Central Bank of Jordan loan	**3,050,098**	**264**	**109**	**Monthly**	**-**	**%1.000**
Jordan Mortgage Refinance Company	**15,000,000**	**1**	**1**	**24 Months**	**Mortgaged deeds loan's portfolio**	**%5.90**
Jordan Mortgage Refinance Company	**10,000,000**	**1**	**1**	**7 years**	**Mortgaged deeds loan's portfolio**	**%4.900**
Central Bank of Jordan loan ****	**7,422,736**	**1621**	**794**	**Monthly**	**-**	**%0.000**
European Investment Bank *****	**21,270,000**	**11**	**11**	**Semi annual**	**-**	**%6.532**
Arab Investment Bank ******	**2,835,091**	**1**	**1**	**Monthly**	**-**	**%7.750**
Arab Banking Corporation (Bahrain) *******	**2,481,500**	**1**	**1**	**2 weeks**	**-**	**%6.000**
Cairo Amman Bank ********	**5,970,881**	**1**	**1**	**Monthly**	**-**	**%7.625**
Total	**102,921,397**					
2022						
Arab Bank loan *	33,766,027	1	1	36 Months	Mortgaged bonds - The Central Bank of Jordan	3.970%
Central Bank of Jordan loan **	311,404	30	12	Semi annual	-	2.500%
Central Bank of Jordan loan ***	740,694	168	168	Semi annual	-	3.000%
Jordan Mortgage Refinance Company	15,000,000	1	1	24 Months	Mortgaged deeds loan's portfolio	5.900%
Jordan Mortgage Refinance Company	10,000,000	1	1	7 years	Mortgaged deeds loan's portfolio	4.90%
Jordan Mortgage Refinance Company	7,000,000	1	1	24 Months	Mortgaged deeds loan's portfolio	4.250%
Central Bank of Jordan loan ****	16,589,953	1	1	Monthly	Mortgaged bonds - The Central Bank of Jordan	6.000%
Central Bank of Jordan loan	1,991,377	186	173	Monthly	-	1.000%
Central Bank of Jordan loan *****	6,849,608	2128	1158	Monthly	-	0.000%
European Investment Bank ******	21,270,000	11	11	Quarterly	-	5.522%
Arab Banking Corporation (Bahrain) *******	9,217,000	1	1	2 weeks	-	5.000%
Cairo Amman Bank ********	2,021,152	1	1	Monthly	-	7.000%
Total	124,757,215					

* The fund borrowed from the Arab Bank amounted to JD 33,766,027 represents an agreement to repurchase treasury bonds with a nominal value of JD 31 million. Meanwhile, the Bank holds the right to repurchase these bonds on of April 3, 2025.

** The fund borrowed from the Central Bank amounted to JD 122,426 , as at December 31, 2023, represents the loan agreement of the Arab Fund for Economic and Social Development to finance the corporate sector, micro & SME's against JD 311,404 as at December 31, 2022.

*** The fund borrowed from the Central Bank amounted to JD1,002,638 , as at December 31, 2023, represents the loans agreement of the Arab Fund for Economic and Social Development to finance the corporate sector, micro & SME's against JD 740,694 as at December 31, 2022.

**** The fund borrowed from the Central Bank of Jordan amounted to JD 7,422,736 represents a loans agreement to support the Companies due to the COVID pandemic.

***** The fund borrowed from European Investment Bank amounted to JD 21,270,000 as at December 31, 2023.

****** The fund borrowed from Arab Investment Bank amounted to JD 2,835,091 represents an agreement to fund the subsidiary (Arab Cooperation Financial Investment Company).

******* The fund borrowed from Arab Banking Corporation (Bahrain) amounted to JD 2,481,500 represents an agreement to fund the subsidiary (Arab Cooperation Financial Investment Company).

******** The fund borrowed from Cairo Amman Bank amounted to JD 5,970,881 represents an agreement to fund the subsidiary (Arab Cooperation Financial Investment Company).

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20 Sundry Provisions

The details of this item are as follows:

	Balance - Beginning of the Year JD	Additions During the Year JD	Paid During the Year JD	Transferred from Provisions JD	Recovered to Income JD	Balance - End of the Year JD
2023						
Provision for lawsuits against the Group and other liabilities	**109,376**	**-**	**-**	**-**	**-**	**109,376**
Other provisions *	**2,987,270**	**179,146**	**-**	**-**	**(235,043)**	**2,931,373**
Total	**3,096,646**	**179,146**	**-**	**-**	**(235,043)**	**3,040,749**
2022						
Provision for lawsuits against the Group and other liabilities	638,413	-	-	-	(529,037)	109,376
Other provisions *	2,740,411	251,549	(4,690)	-	-	2,987,270
Total	3,378,824	251,549	(4,690)	-	(529,037)	3,096,646

* This item represents booked provisions allocated to some guarantees classified within stage (3) by which it has not been paid yet, and since the customers debts are classified as a non-performing debt. Accordingly, the balance of the guarantees were included in note (22) within stage (3) and without any expected credit losses.

21 Income Tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

	2023 JD	2022 JD
Balance - beginning of the year	**2,283,188**	7,256,848
Income tax paid	**(1,121,387)**	(5,031,415)
Accrued income tax	**1,817,945**	57,755
Prior years tax refundable deposits	**-**	-
Balance - End of the Year	**2,979,746**	2,283,188

The income tax expense appearing in the consolidated statement of profit or loss represents the following:

	2023 JD	2022 JD
Accrued income tax on the Profit of the year	**1,817,945**	57,755
Deferred tax assets for the year	**(1,165,675)**	(1,161,483)
Amortisation of deferred tax assets	**577,371**	3,132,991
Total	**1,229,641**	2,029,263

b. Assets / Liabilities Deferred Tax

The details of this item are as follows:

	2023					2022
	Beginning Balance JD	Amounts Released JD	Amounts Added JD	Ending Balance JD	Deferred Tax JD	Deferred Tax JD
Deferred tax assets						
Provision of non performing loans from prior years	8,902	-	-	8,902	3,383	3,383
Difference in credit facilities provision	1,171,126	(1,069,728)	-	101,398	38,531	445,028
Fair value reserve of shares financial assets	130,475	(29,621)	-	100,854	38,325	49,581
Fair value reserve of bonds financial assets	2,824,269	(1,580,203)	-	1,244,066	472,745	1,073,222
Deferred tax assets resulted from the adoption of IFRS (9) from retained earnings	14,520,372	-	3,006,450	17,526,822	6,163,133	5,089,860
Employees bonuses provision	724,350	(724,351)	573,740	573,739	218,021	275,253
Others	2,987,270	(235,043)	179,145	2,931,372	1,113,921	1,135,162
Total	22,366,764	(3,638,946)	3,759,335	22,487,153	8,048,059	8,071,489
Deferred tax liabilities						
Unrealised gain of financial assets resulted from the adoption of IFRS (9)	4,453	-	-	4,453	1,692	1,692
Gain on the valuation of the financial assets (financial derivatives)	465,813	(81,748)	-	384,065	145,945	177,009
Fair value reserve of financial assets bonds through other comprehensive income	106,513	(26,319)	-	80,194	30,474	40,475
Fair value reserve of financial assets shares through other comprehensive income	637,357	-	45,207	682,564	259,373	242,195
Total	1,214,136	(108,067)	45,207	1,151,276	437,484	461,371

The movement on the deferred income tax assets / liabilities is as follows:

	2023		2022	
	Assets JD	Liabilities JD	Assets JD	Liabilities JD
Balance - beginning of the year	8,071,489	461,371	9,067,586	2,337,442
Additions	1,359,369	17,178	2,203,364	233,076
Disposals	(1,382,799)	(41,065)	(3,199,461)	(2,109,147)
Balance - End of the Year	8,048,059	437,484	8,071,489	461,371

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c. The reconciliation between taxable profit and accounting profit is as follows:

	2023 JD	2022 JD
Accounting profit	**6,230,061**	8,699,095
Non-taxable profit	**(2,554,109)**	(8,395,851)
Non-taxable expenses	**4,585,175**	1,684,547
Realised gain in retained earnings	**-**	-
Tax profit	**8,261,127**	1,987,791
Effective income tax rate	**47.18%**	11.89%

- The legal tax rate for banks in Jordan is 35% and 3% as national contribution. For subsidiaries, it is 24%, and 4% as national contribution.
- A final settlement has been reached with the Income and Sales Tax Department for the Bank for the years 2019 and 2020. In addition, the tax return for 2021 and 2022 was submitted, and no final decision has been issued by the Income and Sales Tax Department yet.
- A final settlement has been reached with the Income and Sales Tax Department for the subsidiary company up to the year 2020. In addition, the tax return for 2021 and 2022 was submitted, and no final decision has been issued by the Income and Sales Tax Department yet.

22 Other Liabilities

The details of this item are as follows:

	2023 JD	2022 JD
Accrued interest expense	**12,120,352**	7,544,411
Revenue received in advance	**194,913**	159,413
Accounts payable	**5,827,262**	7,211,264
Accrued expenses and unpaid	**1,656,923**	1,786,305
Liability / Unrealised derivatives losses	**96,049**	202,424
Certified checks drafted over the Bank	**1,849,574**	987,073
Provision for off-Consolidated Statement of Financial Position Items	**368,173**	429,095
Board of Directors' remunerations	**89,718**	89,243
Incoming transfers	**1,277,430**	1,004,954
Deferred revenue	**272,391**	329,639
Other liabilities	**4,214,357**	2,959,733
Total	**27,967,142**	22,703,554

The movement of the indirect facilities on a collective basis as at the end of the year:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Balance at the beginning of the year	120,623,841	7,595,349	2,395,892	583	4,939,258	135,554,923	135,082,448
New exposures during the year	60,247,207	3,197,691	1,366,628	-	1,600	64,813,126	62,700,209
Matured exposure	(54,864,090)	(1,731,006)	(894,250)	-	(245,507)	(57,734,853)	(62,538,727)
Transferred to stage (1)	-	2,499	-	(2,499)	-	-	-
Transferred to stage (2)	(2,351)	-	2,351	-	-	-	-
Transferred to stage (3)	(2,000)	-	-	-	2,000	-	-
Changes resulted from adjustments	(278,332)	(594)	(475,958)	1,916	-	(752,968)	310,993
Balance at the End of the Year	125,724,275	9,063,939	2,394,663	-	4,697,351	141,880,228	135,554,923

The movement on the expected credit loss for indirect facilities on a collective basis during the year:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Balance at the beginning of the year	330,766	11,581	86,722	26	-	429,095	539,221
New exposure during the year	157,621	4,813	30,758	-	-	193,192	178,923
Matured exposure	(194,983)	(3,611)	(29,590)	-	-	(228,184)	(318,449)
Transferred to stage (1)	-	13	-	(13)	-	-	-
Transferred to stage (2)	(60)	-	60	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-	-
Changes resulted from adjustments	(4,987)	-	(20,930)	(13)	-	(25,930)	29,400
Balance at Year End	288,357	12,796	67,020	-	-	368,173	429,095

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The distribution of total indirect credit facilities (Guarantees) according to the Bank's internal credit rating is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Credit rating categories based on the Bank's internal system:							
1	13,894	-	-	-	-	13,894	23,425
2	-	-	-	-	-	-	-
3	-	-	-	-	-	-	-
4	-	-	-	-	-	-	-
5	18,309,365	-	3	-	-	18,309,368	15,511,774
6	78,258,513	-	41,349	-	-	78,299,862	65,740,749
7	502,401	-	541,000	-	-	1,043,401	1,108,930
8	9,200	-	21,000	-	-	30,200	5,500
9	-	-	-	-	-	-	-
10	-	-	-	-	2,000	2,000	-
11	-	-	-	-	4,695,351	4,695,351	4,939,258
Total	97,093,373	-	603,352	-	4,697,351	102,394,076	87,329,636

The movement of indirect credit facilities - Guarantees:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	81,774,458	-	615,920	-	4,939,258	87,329,636	80,134,795
New exposures during the year	38,855,450	-	-	-	1,600	38,857,050	35,673,010
Settled exposures	(23,534,535)	-	(12,568)	-	(245,507)	(23,792,610)	(28,478,169)
Transferred to stage (1)	-	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-	-
Transferred to stage (3)	(2,000)	-	-	-	2,000	-	-
Effect of total exposure due to changes in the classification between stages	-	-	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off facilities	-	-	-	-	-	-	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Total balance - end of the year	97,093,373	-	603,352	-	4,697,351	102,394,076	87,329,636

The movement on provision of the indirect credit facilities - Guarantees

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	109,291	-	13,289	-	-	122,580	112,543
Impairment losses on new exposures during the year	18,970	-	1,598	-	-	20,568	30,567
Recoveries on impairment losses on settled exposure	(28,472)	-	(150)	-	-	(28,622)	(20,794)
Transferred to stage (1)	-	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-	-
Effect on the provision - at year end - due to changes in classifications between stages	(23)	-	-	-	-	(23)	264
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off credit facilities	-	-	-	-	-	-	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Total balance - end of the year	99,766	-	14,737	-	-	114,503	122,580

The distribution of the total indirect credit facilities (Unutilised Limits) according to the Bank's internal credit rating is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Credit rating categories based on the Bank's internal system:							
1	-	1,057,242	-	-	-	1,057,242	960,548
2	-	-	-	-	-	-	-
3	-	162,697	-	-	-	162,697	164,851
4	-	236,790	-	-	-	236,790	219,913
5	1,700,344	2,537,340	-	-	-	4,237,684	2,823,719
6	15,963,727	5,049,072	1,147,177	-	-	22,159,976	28,592,608
7	-	20,798	544,718	-	-	565,516	777,407
8	-	-	-	-	-	-	-
9	-	-	-	-	-	-	-
10	-	-	-	-	-	-	-
11	-	-	-	-	-	-	-
Total	17,664,071	9,063,939	1,691,895	-	-	28,419,905	33,539,046

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The movement on indirect credit facilities - Unutilised Limits

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	24,405,776	7,595,349	1,537,338	583	-	33,539,046	32,002,665
New exposures during the year	11,052,144	3,197,691	1,267,213	-	-	15,517,048	12,732,638
Settled exposures	(17,513,166)	(1,731,006)	(639,049)	-	-	(19,883,221)	(11,507,250)
Transferred to stage (1)	-	2,499	-	(2,499)	-	-	-
Transferred to stage (2)	(2,351)	-	2,351	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-	-
Effect of total exposure due to changes in the classification between stages	(278,332)	(594)	(475,958)	1,916	-	(752,968)	310,993
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off facilities	-	-	-	-	-	-	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Total balance - end of the year	17,664,071	9,063,939	1,691,895	-	-	28,419,905	33,539,046

The movement on provision of the indirect credit facilities - Unutilised Limits:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	181,427	11,581	71,944	26	-	264,978	379,705
Impairment losses on new exposures during the year	109,646	4,813	28,702	-	-	143,161	106,826
Recoveries on impairment losses on settled exposure	(126,468)	(3,611)	(27,952)	-	-	(158,031)	(250,689)
Transferred to stage (1)	-	13	-	(13)	-	-	-
Transferred to stage (2)	(60)	-	60	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-	-
Effect on the provision - at year end - due to changes in classifications between stages	(4,964)	-	(20,930)	(13)	-	(25,907)	29,136
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off credit facilities	-	-	-	-	-	-	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Total balance - end of the year	159,581	12,796	51,824	-	-	224,201	264,978

The distribution of the total indirect credit facilities (Letters of Credit) according to the Bank's internal credit rating is as follows:

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	-
3	-	-	-	-	-	-	-
4	-	-	-	-	-	-	-
5	684,133	-	-	-	-	684,133	-
6	10,282,698	-	99,416	-	-	10,382,114	14,686,241
7	-	-	-	-	-	-	-
8	-	-	-	-	-	-	-
9	-	-	-	-	-	-	-
10	-	-	-	-	-	-	-
11	-	-	-	-	-	-	-
Total	10,966,831	-	99,416	-	-	11,066,247	14,686,241

The movement on the indirect credit facilities - Letters of Credit

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	14,443,607	-	242,634	-	-	14,686,241	22,944,988
New exposures during the year	10,966,802	-	99,415	-	-	11,066,217	14,657,937
Settled exposures	(14,443,578)	-	(242,633)	-	-	(14,686,211)	(22,916,684)
Transferred to stage (1)	-	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-	-
Effect of total exposure due to changes in the classification between stages	-	-	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-	-	-
Written-off facilities	-	-	-	-	-	-	-
Adjustments due to changes in exchange rates	-	-	-	-	-	-	-
Total balance - end of the year	10,966,831	-	99,416	-	-	11,066,247	14,686,241

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The movement on provision of the indirect credit facilities - Letter of Credit

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Total balance - beginning of the year	**40,048**	**-**	**1,489**	**-**	**-**	**41,537**	46,973
Impairment losses on new exposures during the year	**29,005**	**-**	**458**	**-**	**-**	**29,463**	41,530
Recoveries on impairment losses on settled exposure	**(40,043)**	**-**	**(1,488)**	**-**	**-**	**(41,531)**	(46,966)
Transferred to stage (1)	**-**	**-**	**-**	**-**	**-**	**-**	-
Transferred to stage (2)	**-**	**-**	**-**	**-**	**-**	**-**	-
Transferred to stage (3)	**-**	**-**	**-**	**-**	**-**	**-**	-
Effect on the provision - at year end - due to changes in classifications between stages	**-**	**-**	**-**	**-**	**-**	**-**	-
Changes resulted from adjustments	**-**	**-**	**-**	**-**	**-**	**-**	-
Written-off credit facilities	**-**	**-**	**-**	**-**	**-**	**-**	-
Adjustments due to changes in exchange rates	**-**	**-**	**-**	**-**	**-**	**-**	-
Total balance - end of the year	**29,010**	**-**	**459**	**-**	**-**	**29,469**	41,537

23 Issued and Paid-Up Capital

The issued and paid-up capital amounted to JD 110,000,000, divided into 110,000,000 shares at a par value of JD 1 per share as of December 31, 2023 and 2022.

Proposed Dividends

The Board of Directors decided on February 14, 2024 to recommend to the General Assembly to distribute cash dividends amounted to JD 3,300,0000 at 3% of the paid up and subscribed capital.

Dividends Distribution

The board of directors decided on April 13, 2023 to recommend to the general assembly the distribution of cash dividends with an amount of JD 4,400,000 of the subscribed and paid-up capital.

24 Reserves

The reserves details as of December 2023 and 2022 is as follows:

a. Statutory Reserves

The amounts accumulated in this account represent transfers from the annual profits before tax at a rate of 10% during the year and prior years according to the Bank's regulations, and the reserve amounts may not be distributed to shareholders.

b. Voluntary Reserves

The amounts accumulated in this account represent transfers from the annual profits before tax at a rate not exceeding 20% during the year and prior. The voluntary reserve is used for the purposes determined by the Board of Directors, and the General Assembly of Shareholders have the right to distribute it, wholly or partially, as dividends to shareholders.

The restricted reserves are as follows:

Reserve Type	2023 JD	2022 JD	Nature of Restriction
Statutory reserve	**31.385.324**	30,762,318	According to the Bank's regulations and the Companies Law

25 Fair Value Reserve - Net

This item's details are as follows:

	2023				2022
	Shares JD	Bonds JD	Derivatives JD	Total JD	Total JD
Balance – beginning of the year	**314,267**	**(1,685,009)**	**288,804**	**(1,081,938)**	3,570,478
Gains (losses) unrealised	**74,829**	**1,553,884**	**(81,748)**	**1,546,965**	(7,503,896)
Deferred tax liabilities	**(17,179)**	**10,001**	**31,064**	**23,886**	1,876,070
Deferred tax assets	**(11,256)**	**(600,477)**	**-**	**(611,733)**	975,410
Balance at the End of the Year	**360,661**	**(721,601)**	**238,120**	**(122,820)**	(1,081,938)

- The reserve is shown at fair value after deducting the deferred tax assets balance of JD 611,733 and deferred tax liabilities of JD 23,886 as of December 31, 2023 (Deferred tax assets amounted to JD 975,410 as of December 31, 2022 and the deferred tax liabilities amounted to JD 1,876,070 as of December 31, 2022).

26 Retained Earnings

The movement on retained earnings is as follows:

	2023 JD	2022 JD
Balance - beginning of the year	**23,827,407**	24,627,485
Income for the year	**5,000,420**	6,669,832
Transferred during the year from reserves	**(623,006)**	(869,910)
Dividends distribution	**(4,400,000)**	(6,600,000)
Balance – End of the Year	**23,804,821**	23,827,407

- An amount of JD 8,048,059 as of December 31, 2023 is restricted against deferred tax assets (JD 8,071,489 as of December 31, 2022), including the capitalisation or distribution to the extent of what has been actually realised according to the instructions of the Jordan Securities Commission and the Central Bank of Jordan.
- The retained earnings include an amount of JD 2,761 as of December 31, 2023 (JD 2,761 as of December 31, 2022) which is restricted, and representing the impact of IFRS (9) early adoption, except for the amounts realised through the actual sales transactions.

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27 Expected Credit Loss Provision

This item's details are as follow:

	2023 JD	2022 JD
Deposits balances at banks and financial institutions	**6,698**	1,924
Financial assets at fair value from other comprehensive income	**3,902**	1,623
Financial assets at amortised cost	**(1,207)**	6,987
Direct credit facilities	**10,464,601**	7,046,067
Discounted letters of credit	**(20)**	(88)
Off balance	**-**	(3,037)
Items off- Statement of Financial Position	**(60,922)**	(110,126)
Total	**10,413,052**	6,943,350

28 Interest Income

The details of this item are as follows:

	2023 JD	2022 JD
Direct Credit Facilities		
Individual (retail)		
Overdraft	**53,714**	60,928
Loans and discounted bills	**39,021,864**	27,940,288
Credit cards	**557,505**	608,588
Real estate mortgages	**4,550,733**	3,969,495
Large Corporate		
Overdraft	**4,328,447**	3,209,411
Loans and discounted bills	**12,385,786**	10,310,906
Small and medium enterprises lending "SME's		
Overdraft	**502,055**	399,746
Loans and discounted bills	**1,196,595**	948,751
Government and Public Sector	**4,494,067**	2,979,957
Balances at central banks	**1,370,419**	59,449
Balances and deposits at banks and financial institutions	**7,892,420**	1,576,808
Financial assets at fair value through other comprehensive income	**5,500,384**	6,486,164
Financial assets at amortised cost	**10,396,037**	8,456,803
Interest income on margin trading financing for the subsidiary customers	**3,353,420**	3,028,822
Interest income on interest rate swap contracts	**927,543**	223,816
	96,530,989	70,259,932

29 Interest Expense

The details of this item are as follows:

	2023 JD	2022 JD
Banks and financial institutions' deposits	**9,862,122**	3,540,089
Customers deposits :		
Current accounts and demand deposits	**480,367**	214,489
Saving deposits	**14,824**	17,214
Time and notice deposits	**37,412,125**	22,350,262
Cash margins	**1,457,899**	1,511,108
Borrowed funds	**5,411,691**	4,272,536
Deposits guarantee fees	**615,183**	972,251
Interest paid on lease liabilities (Rents)	**153,549**	167,286
Interest paid on interest rate swap contracts	**1,829,108**	1,011,765
	57,236,868	34,057,000

30 Net Commission Income

The details of this item are as follows:

	2023 JD	2022 JD
Direct facilities commissions	**1,074,851**	1,919,235
Indirect facilities commissions	**1,707,236**	1,257,338
Net Commission Income	**2,782,087**	3,176,573

31 Gain from Foreign Currency

The details of this item are as follows:

	2023 JD	2022 JD
Resulted from trading / dealing	**1,241,834**	1,010,724
Resulted from revaluation	**(183,208)**	(84,433)
	1,058,626	926,291

32 Gain on Financial Assets at Fair Value through Other Comprehensive Income

The details of this item are as follows:

	2023 JD	2022 JD
Dividends distribution income of corporate shares	**40,675**	29,500
	40,675	29,500

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33 Other Income

The details of this item are as follows:

	2023 JD	2022 JD
Brokerage commissions at financial markets	**854,385**	816,420
Visa Income	**598,492**	509,026
Management and consulting fees	**15,482**	18,500
Transfers commission	**199,114**	204,609
Recovery of written-off debts	**181,213**	247,814
Gains (losses) Capitalised	**129,785**	(563,092)
Returned cheques commission	**12,573**	21,873
Salaries transfer commission	**326,064**	310,033
Postal fees	**149,614**	497,458
Others	**523,005**	708,444
	2,989,727	2,771,085

34 Employees Expenses

The details of this item are as follows:

	2023 JD	2022 JD
Salaries, benefits and allowances	**12,606,983**	11,882,569
Employees' bonuses	**616,160**	879,568
Social security contributions	**1,536,996**	1,435,411
Medical expenses	**676,442**	599,656
Training expenses	**93,779**	91,568
Travel and transportation expenses	**39,412**	25,309
Other	**216,926**	174,283
	15,786,698	15,088,364

35 Other Expenses

The details of this item are as follows:

	2023 JD	2022 JD
Tax and fees	**890,405**	801,593
Computer expenses	**2,307,236**	1,788,977
Advertising and marketing expenses	**628,909**	633,275
Travel expense	**28,346**	54,588
General administration expenses (Bahrain)	**160,036**	98,605
Telecommunication expenses	**957,601**	956,220
Building Services and benefits expenses	**782,775**	884,705
Board of Directors' expenses	**505,218**	495,962
Office supplies expenses	**450,724**	421,772
Borrowers transactions fees	**1,352,093**	1,230,258
Consulting fees	**12,120**	52,904
Magazines and newspapers subscription	**7,081**	7,171
Professional and legal expenses	**661,131**	498,680
Board of Directors' bonuses	**85,550**	85,500
ATM expenses	**156,387**	161,269
International Visa fees	**763,043**	297,957
Other	**531,175**	582,750
	10,279,830	9,052,186

36 Earning per Share for the Bank's Shareholders

The details of this item are as follows:

	2023 JD	2022 JD
Profit for the year	**5,000,420**	6,669,832
Weighted average of the number of shares	**110,000,000**	110,000,000
Basic and diluted earnings per share (JD/Fils)	**-/045**	-/061

- The basic earnings per share from the profits for the year is equivalent to the diluted earnings per share from the profits for the year.

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37 Cash and Cash Equivalent

The details of this item are as follows:

	2023 JD	2022 JD
Cash and balances with the Central Bank maturing within three months	**81,043,680**	59,743,320
Add: Balances at banks and financial institutions maturing within 3 months	**162,404,948**	116,667,469
Less: Banks and financial institutions' deposits maturing within 3 months	**(129,840,525)**	(137,092,254)
	113,608,103	39,318,535

38 Derivatives

The following schedule represents the positive and negative fair value of financial derivatives, and the distribution of their nominal value avccording to their maturity:

				Nominal Value Maturity, according to Maturity Dates			
	Positive Fair Value Thousand JD	Negative Fair Value Thousand JD	Total Nominal Value Thousand JD	Within 3 months Thousand JD	3 - 12 months Thousand JD	1 - 3 years Thousand JD	More than 3 years Thousand JD
2023							
Foreign currencies derivatives held for trading	**-**	**96**	**51,680**	**51,680**	**-**	**-**	**-**
Hedge interest rate swap contracts	**-**	**(384)**	**13,826**	**-**	**3,545**	**3,545**	**6,736**
	-	**(288)**					
2022							
Foreign currencies derivatives held for trading	(3)	200	59,466	41,741	17,725	-	-
Hedge interest rate swap contracts	-	(466)	10,635	-	-	7,090	3,545
	(3)	(266)					

The nominal value represents the value of the current transaction for the year-end, and it does not reflect market risk and credit risk.

39 Balances and Transactions with Related Parties

The consolidated financial statements includes the Bank's financial statements and the following subsidiary company:

Company's Name	Ownership Percentage %	Paid-up Capital 2023 JD	Paid-up Capital 2022 JD
Arab Co-operation for Financial Investments Company	100	**15,600,000**	15,600,000

All the balances and transactions between the Bank and the subsidiary company were eliminated.

The bank entered into transactions with parent company, sister companies, senior management and the subsidiary company within the Bank's ordinary course of buisness using commercial interest and commission rates. All credit facilities granted to related parties are performing loans and no provisions were booked against it.

The details for this item are as follows:

	Related Party					
	Parent / Sister Company JD	Executive Management JD	Bank's Employees JD	Board of Directors JD	2023 JD	2022 JD
Consolidated Statement of Financial Position Items:						
Direct credit facilities	-	2,585,804	12,172,843	13,695	14,772,342	13,543,591
Balances at banks and financial institutions	13,400,781	-	-	-	13,400,781	13,585,922
Deposits at banks and financial institutions	75,429,629	-	-	-	75,429,629	37,653,136
Customers' deposits	-	2,719,426	2,329,637	453,486	5,502,549	5,459,092
Borrowed funds	2,481,500	-	-	-	2,481,500	9,217,000
Off-Consolidated Statement of Financial Position Items:						
Letter of guarantees	34,783,792	-	-	-	34,783,792	18,203,086
Letter of credit	6,810,823	-	-	-	6,810,823	6,063,293
Interest rate swap contracts	13,825,500	-	-	-	13,825,500	10,635,000
Currency swap contracts	-	-	-	-	-	14,401,575
Consolidated Statement of Profit or Loss Items:						
Interests and commissions income	3,100,690	98,531	506,336	-	3,705,557	1,229,465
Interests and commissions expense	(5,535,718)	(135,017)	(85,300)	(7,221)	(5,763,256)	(1,011,463)

* Interest rates on credit facilities range from 3% to 7.5%, and interest rates on customers' deposits range from 0.01% to 6.99%.

** In addition to what was disclosed in the above table, the total balance of the credit facilities provided to the Bank's related parties, which relates to 120 clients, amounted to JD 6,692,133 as of December 31, 2023, against acceptable guarantees amounted to JD 4,604,431 as of December 31, 2023. The interest rates income on these credit facilities range from 2% to 14%, while the commission rates range from 0.5% to 1%.

The following summarized the Bank's Executive Management's Remunerations:

	2023 JD	2022 JD
Salaries and bonuses	2,861,702	2,943,656
Total	2,861,702	2,943,656

40 Risk Management

Based on the importance of managing the various risks that surround the Bank's business activities to which the Bank is or may be exposed in the future, the Bank continues to follow a risk management strategy in line with the direction of the Board of Directors, senior management, legislations, and laws issued by the Central Bank of Jordan, as well as with the policies and procedures of the parent institution in Bahrain, where the best international practices and the latest methods and techniques of risk management are applied. Moreover, risk management at the Bank is directly linked to the risk Management Committee of the Board of Directors.

The risk management process involves identification, measurement, evaluation and monitoring of financial and non-financial risks that can negatively affect the overall performance of the Bank.

It is the responsibility of senior management to determine the main principles of risks and the amount of risks that the Group can accept, as well as their

optimal distribution to the Bank's various business activities and sectors. During 2023, the internal capital adequacy assessment process ICAAP, which included an assessment of the level of internal capital adequacy, legal liquidity ratios, was continued on the basis of the expected business strategy for the next three years.

The Bank has been able to maintain a high level of capital adequacy as well as a comfortable liquidity ratio in anticipation of any stressful situations that may occur. It has also been able to maintain the Bank's durability according to ICAAP and Basel III requirements and to keep up with any modifications to the Basel requirements.

The Central Bank of Jordan (CBJ) has released the Stress Testing Instructions, hence the bank has developed a methodology, policy and procedure approved by the Board Risk Committee in order to apply these instructions, where Stress testing is considered a key element in risk management process at various level, as follows:

- A key tool for understanding the bank's risk system (Risk Profile) and its ability to withstand the shocks and high risks that it may face.
- An important part of the capital planning process through Internal Capital Adequacy Assessment Process (ICAAP).
- Help the bank to estimate the size of future capital that must be available in the coming years in accordance with its established strategy.
- An important part of identifying, measuring, and controlling liquidity risks in order to assess the bank's liquidity and the adequacy of liquidity shocks mitigating tools.

These tests are designed to assess the bank's financial situation in stress but possible scenario, where the necessary reports have been made and submitted to the Board Risk Committee, which adopt the assumptions and scenarios used, discuss the results of the tests, and adopt the actions to be taken based on these results.

Governance of Stress Testing

Stress testing must be a key part of risk governance and risk management culture of the bank in order to enhance the ability of the bank to identify and control risks.

The Role of the Board of Directors:

- The board of directors must ensure the existence of an effective framework for stress testing to evaluate the ability of the bank to withstand shocks and confront high risks. In this regard, the stress testing program at the bank will be the ultimate responsibility of the board of directors, and approve of the related policies and procedures.
- The board of directors must verify that the risk management department conducts the stress tests on a periodic basis. The board of directors must have a major role in setting the assumptions and the scenarios used, analysing the stress testing results, and approving the procedures to be implemented based on the stress testing outcomes.

The Role of the Senior Executive Management:

- Executing and monitoring the stress testing program and in line with the methodology adopted by the board of directors which is in line with the determined stress testing based on the Central Bank of Jordan instructions.
- Ensuring the availability of a qualified staff at the risk management department to conduct the stress testing and that the department does possess the appropriate tools and means for the tests.
- Ensuring the availability of a suitable number of possible scenarios that are related to the business of the bank, given that these scenarios are well-understood and documented.
- Using the results of the stress testing in setting and identifying the bank's risk appetite statement, and in planning for capital and liquidity.

The Role of the Risk Management:

To adopt the Central Bank of Jordan instructions related to the design of stress testing program and use of forms and methodologies to determine their impact on the bank to cover, but not be limited to, the following aspects:

- Stress testing must encompass scenarios ranging from the lowest impact to the highest impact
- Making sure that the tests cover all the complex financial products as needed
- Taken into consideration the possible changes in the market circumstances that might adversely impact the bank's exposure to concentration risks
- Stress testing shall include scenarios to evaluate the size and impact of the off- balance sheet assets on other types of risks
- including some scenarios that are related to the reputational risks in stress testing, by reflecting the risks outcome which may have an impact of the Bank's reputation and in which it also reflects on the Bank's liquidity, its liquid assets, through withdrawals of deposits by some customers.
- The tests used must be appropriate to the degree of risk appetite that the bank has set for itself so that

the scenarios selected by the bank commensurate with the size, nature, and complexity of the bank's business as well as the risks associated with the bank.

- The stress testing program must include both quantitative and qualitative methods to improve the comprehensiveness of these tests and make them supportive and complementary to the patterns and approaches of risk management used in the bank.
- The tests must range from simple sensitivity tests that are based on the change(s) in a single risk factor analysis sensitivity and to scenarios that are based on statistical methods which take into consideration the relationships among the drivers of systemic risks in times of crises, noting that the part related to scenario analysis is annually determined by the Central Bank of Jordan.
- Set a suitable dialogue format among the various related parties in order to obtain their views and opinions regarding the possible shocks and stressful situations in case of its occurrence so that it can then identify the assumptions and scenarios suitable for the internal and external risks that the bank might be exposed to. All concerned parties in the bank, such as Compliance Department, Internal Audit Department, Central Operation Department, Legal Department and Businesses Departments and others involved must participate in this dialogue in order to identify the possible shocks for Operational Risk on an annual basis and according to the instructions of the Central Bank of Jordan.
- The results of the tests should be submitted to the Local Assets and Liability Committee and the local Board Risk Committee, and the Risk Committee stemmed by the Bank's Board of Directors and on an annual basis.

The Role of the Internal Audit:

The internal audit department is responsible for reviewing and evaluating the stress testing framework at least once a year, and the evaluation outcomes are reported and revied by the board of directors.

During the year 2023, the Bank has reviewed and updated all the risk policies over the determined period for this, so that it ensures all the monitoring and internal requirements to be adopted by the Board of Directors, noting that the Bank ensures to conduct a periodic review of the various policies in order to confront with the surrounding risks and to limit from their impact.

In addition, the Bank depends on output Solution for the purposes of preparing the required reports and disclosures within the bank's final financial statements of the year 2023, where these results were presented to the Board of Directors and the Risk Committee stemmed by the Board of Directors and the concerned Bank's local Committees. The following gives a brief introduction to this methodology:

First: Definition of the Bank's implementation of default and the mechanism of Default Treatment

The Bank follows and applies the Central Bank of Jordan's Instructions No. (2009/47) dated December 10, 2009 for the classification of the non-performing accounts for the outstanding Bank's credit portfolio, where it classifies the non-performing debts and interest in suspense automatically within the used Bank's system, and according to the classifications included in the instructions (sub-standard, doubtful debts, and loss debts).

1) Bank's application of default:

The Central Bank of Jordan's instructions are applied with regards to the classification of impaired debts and suspension of interest. As for provisions, the Central Bank of Jordan's instructions and the internal Bank's policies are applied, whereby the most conservative results are taken.

2) Mechanism of default treatment:

- Rescheduling of debts according to the rescheduling principles outlined in the instructions of the Central Bank of Jordan.
- Final payments and deducting part of the debt.
- Following the legal procedures to collect the Bank's rights.
- Manually transferring non-performing accounts to performing accounts.

Taking into consideration the instructions of the Central Bank of Jordan and the internal policy adopted by the Bank, where the more conservative and strict procedures are adopted. The classification of risk ratings for non-performing accounts is adopted as follows:

Classification Segment	Internal Classification for Non-performing Facilities
Sub-standard	9
Doubtful debts	10
Loss debts	11

Second: Detailed explanation of the Bank's internal credit classification system and its working mechanism

The Bank evaluates corporate customers based on Moody's- Credit Lens internal evaluation system. Moreover, the evaluation relies on the evaluation of

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the financial elements and the non-financial elements where the financial statements relating to the results of corporate clients are entered into the internal rating system when granting, reviewing, or modifying the ceilings of the facilities granted to the client within the ratios and financial indicators specified on the system. In addition, there are standards and non-financial requirements entered into the system to extract the customer's degree of risk classification based on the risk classification degree listed below. This degree is entered through the Bank's system, indicating that the classification degrees 7 & 8 also include watch-list facilities accounts. On the other hand, the classification ratings of (9, 10, and 11) relate to the non-performing facilities accounts based on the Central Bank of Jordan's Instructions No. (47/2009). In this respect, the classification related to the watch list and non-performing accounts are performed automatically in the system.

Internal Risk Grade	Description
1	Exceptional
2	Excellent
3	Superior
4	Good
5	Satisfactory
6	Adequate
7	Marginal/Watch list
8	Special mention
NPLs (9,10 &11)	Sub-Standard, Doubtful and Loss

Third: Mechanism adopted for calculating the expected credit losses (ECL) based on financial instruments for each individual item.

- The expected credit losses are calculated based on financial instruments classified under the amortised cost portfolio or through the other comprehensive income statement based on an individual basis, on debt instruments. The calculation is performed according to the Treasury Department's business model adopted by the Bank's Board of Directors, where these tools are subject to impairment calculation (Expected credit losses) according to IFRS (9) requirements. Meanwhile, loss is recorded in the consolidated statement of Profit or Loss.
- The debt instruments issued or guaranteed by the Government of Jordan are excluded from the expected credit loss.

Fourth: Regulatory requirements for the implementation of International Financial Reporting Standard (9) including the responsibilities of the Board of Directors and Executive Management in ensuring compliance with the said requirements.

- The Bank's Board of Directors shall adopt the policies and documents relating to the standards, methodologies, and the basis for calculating the requirements of IFRS (9) according to the Central Bank of Jordan's instructions, including periodically reviewing the results of the expected credit losses calculation and standing up on the developments and updates related to these results, in addition to the basis and other matters related to the calculation.
- The Board of Directors approves any exceptional case in which an allowance is made or expected credit losses are taken, and the adjustments concerning the expected credit losses calculation results according to clear and reliable justifications.
- The Bank's Steering Committee for managing the application of IFRS (9) is chaired by the CEO, and its membership consists of each of the heads of the executive departments concerned with the application. The members represent the heads of the business units, backing and support group, risk management, financial control, and information system management. This Committee supervises the application of IFRS (9) requirements, and is responsible for applying it to ensure that the concerned departments shall implement this plan according to the competence of each to comply with the roles assigned; implement the procedures related to the implementation steps and stages of applying this standard in the Bank; present the completion results once ready; and coordinate with the various credit committees in the Bank to obtain the necessary approvals for the cases that require an adjustment to the results of calculating the volume of the expected losses, and reviewing the result of calculating the volume of credit facilities.
- The Credit Committee presents and reviews the list of accounts that need to be monitored closely and under control in order to verify that the size of the provisions calculated are in accordance with the required standard commensurate with the credit risk related to these accounts.
- The requirements of IFRS (9) has been implemented through the Arab Banking Corporation/parent company in Bahrain. Moreover, agreement has been reached d to apply this standard at the Group's level through Moody's Company.

Fifth: Definition of the mechanism for calculating and controlling the probability of default (PD), credit exposure at default (EAD), and loss given default (LGD).

- According to IFRS(9), the expected credit loss measurement model has been applied using the following framework:

  Expected Credit Losses = Credit Exposure at Default * Probability of Default * Loss Given Default.
- Credit exposure is calculated according to the Central Bank of Jordan's instructions as follows: loans and credit facilities (direct and indirect), debt instruments recorded at amortised cost, debt instruments recorded at fair value through the statement of comprehensive income, financial guarantees, credit exposures to bank and financial institution, the unutilised direct limits, taking into consideration the conversion factor for indirect requirements. A rate of 100% has been adopted for calculating the exposure at default.
- The Probability of Default ratios have been calculated according to the results of the evaluation of the risk degree of the credit portfolio of the customers during the past years. Moreover, the required review has been conducted regarding the customer's risk assessment forms for all corporates and banks through Moody's system according to the following table:

Moody's Rating	Notch	ABC – Rating
Aaa	1	1
Aa1	2	2+
Aa2	3	2
Aa3	4	2-
A1	5	3+
A2	6	3
A3	7	3-
Baa1	8	4+
Baa2	9	4
Baa3	10	4-
Ba1	11	5+
Ba2	12	5
Ba3	13	5-
B1	14	6+
B2	15	6
B3	16	6-
Caa1	17	7+
Caa2	18	7
Caa3	19	7-
Ca	20	8
	Sub-Standard	9
	Doubtful	10
	Loss	11

- The loss given default ratio is calculated using the systems approved by the external supplier of Moody's company, assuming that the default happens after calculating the recoverable amount of the credit exposure and the timing of the recovery, taking into consideration the collaterals provided against the credit exposure and the application of the deduction ratios determined in accordance with the internal standards adopted by the Bank.
- The methodology for calculating the expected credit loss in the stage one and two was adopted on a Collective Basis level for the retail portfolio (personal loans, housing loans, credit cards and auto financing loans). Moreover, the Roll Rate Approach was adopted. Such portfolios or products carry similar credit risk and share several elements such as (type of product, quality of collateral provided, nature of financing, duration of financing, sector, etc.)
- The stress tests required in accordance with IFRS (9), which is part of the expected credit loss calculation process, were adopted in three scenarios to study the future forecasts and their effect on the variables of the expected credit loss measurement model, represented by a base scenario, downside scenario, and upside scenario, since we have adopted the weighted probability value for these scenarios.

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- As for the calculation of the credit loss under Stage 3, we continue to follow the Central Bank of Jordan's Instructions No. (47/2009) for the classification of non-performing debts, suspension of interest, calculation of provisions and acceptable haircut rates for collateral based on these instructions and the volume of credit losses are calculated based on IFRS 9 in which the more conservative is taken.

Sixth: Determinants of the significant change in the credit risk on which the Bank relies for calculating the expected credit losses

- A decrease or deterioration in the actual internal credit rating of the borrower according to the internal rating system applied by the Bank related to comparison with the internal rating of the borrower at the time of granting the loan.
- Accounts with no risk rating degree on the system at the facility granting and their current degree of risk rating 5+ or worse classified in stage two.
- The unpaid accruals on one of the client accounts or the borrower equal to or greater than 30 days.
- Accounts classified as watch list (internal ratings 7 and 8).
- Accounts that need to be actively monitored by the Bank within watchlist accounts.
- Accounts that have restructured the debtor's obligations (restructuring of obligations).
- As for the credit portfolio for retail facilities of all types, the customers' loans with dues for more than or equal to 30 and less than 90 days are classified in the stage two, in addition to the restructured accounts.

Seventh: The Bank's policy in identifying the common elements (characteristics) on which the credit risk and expected loss are based on a collective basis

- The methodology for calculating the expected credit loss in stage one and two was adopted at the Collective Base level for the retail portfolio (personal loans, personal loans against cash margins, housing loans, credit cards, and auto financing loans). Moreover, the Roll Rate Approach was adopted. Such portfolios or products carry similar credit risks and share several elements such as (type of product, quality of collateral provided, nature of financing, duration of financing, sector, etc.).
- The roll-rate approach was used to calculate the probability of default for retail products for each product based on the reports extracted from the Bank during the past years and monthly to determine the distribution of dues. The loss given default ratio was calculated by reference to the size of the realised recoveries of the NPL portfolio for each type of the retail portfolio, including the overdrawn account during the previous years.
- An independent and more detailed methodology was used in order to calculate the size of the expected credit loss for the credit portfolio granted by the bank's subsidiary "Arab Cooperation for Financial Investments", which is represented in financing shares within the product of margin financing and cash financing for the first stage, the second stage and the third stage, where it was considered The risk score of the operating portfolio clients classified within the first stage is one notch less than the country risk score (Jordan). As for the risk score of the client classified within the second stage, it was considered four notches lower than the country risk score (Jordan). As for the maturity of the facilities, the maturity date was considered based on the type of product and the stage of the exposure's classification and as follows:

Product	Classification stage	Maturity period
Cash Financing	1	3 Months
	2	
Margin Financing	1	Remaining maturity
	2	Contractual maturity or 2 years from reporting period whichever is greatest

As for the loss given default (LGD), a rate of 5% LGD Floor has been approved for facilities classified within the first stage (which was calculated according to the percentage of guaranteed coverage for existing facilities) and a rate of 10% LGD Floor for customers classified within the second stage. As for the classification of accounts of the third stage (defaulters). Therefore, the company adopts the approved internal policy in this regard.

Eighth: Primary economic indicators used by the Bank in calculating the expected credit loss probability of default (PD)

The parent institution in Bahrain used an external supplier to conduct the calculation of expected credit loss by adopting three scenarios to study the future forecasts and their impact on the variables of the credit loss measurement model. The economic factors used in the calculation were the economic growth ratios in Jordan and the stock price index in regards of the Company's portfolio.

The banking significant risk for the Group and management tools to handle it:

(40/a) Credit Risk

Credit risk represents the other party's default or inability of the financial instrument to meet its obligations toward the Group which could result in a loss. The Bank divides the direct credit facilities portfolio into four sections comprising credit facilities for governments and financial institutions, including banks and companies, consisting of both corporate and medium size facilities; as well as retail facilities, including personal loans, housing loans and other products such as credit cards and personal car loans. These policies include rules and procedures that must be adhered to when granting or renewing facilities. They also include a special evaluation for each customer through rating, whereby CreditLens is currently used to classify the facilities of corporates and medium companies, and in which is performed automatically. In addition, a Credit Scoring model is adopted to assess customers included in the retail portfolio.

The Bank is also pursuing a policy of diversification at the level of customers, economic sectors and geographical regions, which contributes to reducing the degree of credit risk. In order to control the risks of lending, the Risk Management Committee of the Board of Directors holds periodic meetings to discuss all matters related to credit risk, and is provided with quarterly reports on the distribution of the facility portfolio in terms of economic distribution, credit rating, geographical distribution, tenor for facilities, volume of expected credit losses, review of the results of regulatory and internal capital adequacy ratios, and the results of stress testing and risk appetite limits, which determine the direction of the Bank in the upcoming period. The adequacy of the impairment provision for the credit facilities is reviewed periodically in accordance with the instructions of the Central Bank of Jordan. Moreover, the volume of expected credit losses is reviewed in accordance with IFRS (9).

The details of the direct credit facilities portfolio are stated in Note (8). In addition, the Group's off-balance sheet financial position obligations carrying credit risks are detailed in Note (40).

Rescheduled Debts:

These represent the debts pre-classified as non-performing credit facilities and derecognised as non-performing credit facilities according to assets rescheduling and recognised as stage 2 debts. The total rescheduled debts amounted to JD 823,826 during 2023 (JD 377,884 during 2022).

Restructured Debts:

Restructuring means rearranging the credit facilities through amending the installments, prolonging the facilities, postponing some other installments, extending the grace period, or classifying the credit facilities as debts under Watch list. Restructured debts totaled JD 36,526,261 including some accounts that have been restructured twice during the year totaling JD 15,870,051 as of December 31, 2023 (a giants of JD 38,680,087 as of December 31, 2022, including some accounts that have been restructured twice during the year with a total of JD 15,554,655).

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1 - Credit Exposures Distributions

Internal Rating for the Bank	Category Classification According to (47/2009)	Total Exposure Value JD	Expected Credit Loss JD	Probability of Default %	Exposure when Default JD	Average Loss on Default %
1	Performing Loans	13,226,149	11,257	from 0.0003 to 0.0006	13,226,055	from 0.2293 to 0.4434
2	Performing Loans	28,932,269	1,537	from 0.0003 to 0.0006	28,932,269	from 0.2293 to 0.4434
3	Performing Loans	92,784,909	17,559	from 0.0004 to 0.0022	92,784,909	from 0.2318 to 0.4959
4	Performing Loans	45,138,981	182,425	from 0.0012 to 0.0055	45,138,981	from 0.2388 to 0.5118
5	Performing Loans	220,524,914	1,413,551	from 0.0084 to 0.014	204,485,230	from 0.02 to 0.5224
6	Performing Loans	1,004,951,989	3,534,205	from 0.0132 to 0.0493	949,925,189	from 0.02 to 0.5689
7	Performing Loans	30,836,180	1,903,293	from 0.06 to 0.1674	30,406,488	from 0.02 to 0.5421
8	Performing Loans	17,250,510	5,586,553	from 0.1373 to 0.2238	17,241,810	from 0.02 to 0.5503
Total		1,453,645,901	12,650,380		1,382,140,931	
Non-performing exposures						
9	Non-performing Loans	6,251,407	2,970,952	%100	9,222,358	
10	Non-performing Loans	2,158,741	4,024,125	%100	6,182,865	
11	Non-performing Loans	5,681,986	48,344,298	%100	54,026,285	
Total		14,092,134	55,339,375		69,431,508	
Net total		1,467,738,035	67,989,755		1,451,572,439	

2. Credit risk according to economic sectors:

a. Distributions according to financial instruments exposure:

	2023										2022
	Financial JD	Industrial JD	Trading JD	Real Estate JD	Agriculture JD	Shares JD	Individuals JD	Government and Public Sector JD	Services JD	Total JD	Total JD
Cash at Central Bank of Jordan	-	-	-	-	-	-	-	74,399,802	-	74,399,802	53,013,713
Balances at banks and financial institutions	162,385,311	-	-	-	-	-	-	-	-	162,385,311	116,654,302
Deposits at banks and financial institutions	17,751,843	-	-	-	-	-	-	-	-	17,751,843	7,532,571
Direct credit facilities at amortised costs	37,234,423	79,223,312	52,723,643	77,864,986	2,022,086	34,235,796	362,791,620	67,116,613	49,955,576	763,168,055	766,122,745
Bonds and bills:											
Within financial assets at amortised cost	14,986,003	-	-	-	-	-	-	166,466,943	-	181,452,946	140,522,255
Within financial Assets through other comprehensive income	13,319,309	-	-	-	-	-	-	76,288,864	-	89,608,173	141,110,328
Within mortgaged financial assets	-	-	-	-	-	-	-	30,989,923	-	30,989,923	47,518,001
Other Assets	288,333	20,889	239,080	237,502	331	-	878,833	4,722,295	82,664	6,469,927	9,461,615
Total	245,965,222	79,244,201	52,962,723	78,102,488	2,022,417	34,235,796	363,670,453	419,984,440	50,038,240	1,326,225,980	1,281,935,530
Letter of guarantees	48,473,223	18,352,349	10,503,018	6,747,921	133,721	-	-	-	18,069,341	102,279,573	87,207,056
Letter of credit	5,101,039	768,946	4,492,503	46,744	627,546	-	-	-	-	11,036,778	14,644,704
Other Liabilities	2,016,201	2,440,494	9,567,223	2,642,933	164,652	1,333,558	7,717,587	-	2,313,056	28,195,704	33,274,068
Total	301,555,685	100,805,990	77,525,467	87,540,086	2,948,336	35,569,354	371,388,040	419,984,440	70,420,637	1,467,738,035	1,417,061,358

b. Distribution of exposure according to staging IFRS (9)

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Financial	301,543,686	-	-	-	11,999	301,555,685	213,454,130
Industrial	84,544,380	-	15,358,277	-	903,333	100,805,990	116,532,974
Trading	62,442,776	-	11,384,014	-	3,698,677	77,525,467	85,557,707
Real Estates	14,583,649	59,582,895	2,884,226	5,927,553	4,561,763	87,540,086	87,412,389
Agriculture	2,935,687	-	2,649	-	10,000	2,948,336	1,629,293
Shares	-	30,242,640	-	3,539,166	1,787,548	35,569,354	35,558,526
Individual	833,622	353,062,132	-	14,796,344	2,695,942	371,388,040	380,373,273
Government and public sector	419,984,440	-	-	-	-	419,984,440	428,315,104
Services	69,553,332	-	444,433	-	422,872	70,420,637	68,227,962
Total	956,421,572	442,887,667	30,073,599	24,263,063	14,092,134	1,467,738,035	1,417,061,358

3. Exposure distribution according to geographical distribution

a. Total exposure distribution according to geographic region - net:

	2023								2022
	Inside Jordan JD	Other Middle East Countries JD	Europe JD	Asia JD	Africa JD	America JD	Other Countries JD	Total JD	Total JD
Cash and balances at Central Bank of Jordan	74,399,802	-	-	-	-	-	-	74,399,802	53,013,713
Balances at banks and financial institutions	36,149,870	32,195,025	51,214,822	13,352	41,409	42,770,833	-	162,385,311	116,654,302
Deposits at banks and financial institutions	-	17,655,443	-	-	-	96,400	-	17,751,843	7,532,571
Direct credit facilities at amortised costs	763,168,055	-	-	-	-	-	-	763,168,055	766,122,745
Bonds and bills:									
Within financial assets through other comprehensive income	76,288,864	13,319,309	-	-	-	-	-	89,608,173	141,110,328
Within Financial assets at amortised cost	181,452,946	-	-	-	-	-	-	181,452,946	140,522,255
Mortgaged financial assets (Debt instruments)	30,989,923							30,989,923	47,518,001
Other assets	5,807,065	352,241	240,783	-	68,241	1,597	-	6,469,927	9,461,615
Total	1,168,256,525	63,522,018	51,455,605	13,352	109,650	42,868,830	-	1,326,225,980	1,281,935,530
Letters of guarantees	54,229,606	4,029,312	21,686,902	9,626,819	-	12,706,934	-	102,279,573	87,207,056
Letters of credit	7,771,195	850,954	-	-	2,414,629	-	-	11,036,778	14,644,704
Other Liabilities	28,195,704	-	-	-	-	-	-	28,195,704	33,274,068
Total	1,258,453,030	68,402,284	73,142,507	9,640,171	2,524,279	55,575,764	-	1,467,738,035	1,417,061,358

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b. Exposure distribution according to staging (IFRS 9)

	2023						2022
	Stage (1)		Stage (2)		Stage (3)		
	Individual JD	Collective JD	Individual JD	Collective JD	JD	Total JD	Total JD
Inside Jordan	747,136,567	442,887,667	30,073,599	24,263,063	14,092,134	1,258,453,030	1,289,168,648
Other Middle East countries	68,402,284					68,402,284	55,277,277
Europe	73,142,507					73,142,507	12,807,429
Asia	9,640,171					9,640,171	1,964,426
Africa	2,524,279					2,524,279	251,432
America	55,575,764					55,575,764	50,636,636
Other Countries	-					-	6,955,510
Total	956,421,572	442,887,667	30,073,599	24,263,063	14,092,134	1,467,738,035	1,417,061,358

4. Credit exposures that have been reclassified

a. Total credit exposures that have been reclassified:

	Stage (2)		Stage (3)			
	Total Exposures Amount JD	Exposures that have been Reclassified JD	Total Exposures Amount JD	Exposures that have been Reclassified JD	Total Exposures that have been Reclassified JD	Percentage of Exposures that have been Reclassified %
2023						
Direct credit facilities at amortised costs	52,009,021	15,994,895	9,394,783	8,123,534	24,118,429	2.12%
Total	52,009,021	15,994,895	9,394,783	8,123,534	24,118,429	
Letters of guarantees	588,612	-	4,697,351	2,000	2,000	0.00%
Letters of credit	98,957	-	-	-	-	0.00%
Other liabilities	1,640,071	2,291	-	-	2,291	0.00%
Total	54,336,661	15,997,186	14,092,134	8,125,534	24,122,720	2.12%
2022						
Direct credit facilities at amortised costs	56,104,719	9,592,959	3,629,784	2,744,816	12,337,775	1.17%
Total	56,104,719	9,592,959	3,629,784	2,744,816	12,337,775	1.17%
Letters of guarantees	602,628	985	4,939,258	-	985	0.00%
Letters of credit	241,145	-	-	-	-	0.00%
Other liabilities	1,620,584	553,677	-	-	553,677	0.05%
Total	58,569,076	10,147,621	8,569,042	2,744,816	12,892,437	1.22%

Reclassified credit exposures

b. Expected credit loss for exposures that have been reclassified:

	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2) JD	Exposure Reclassified from Stage (3) JD	Total Exposure Reclassified JD	Stage (2) Individual JD	Stage (2) Collective JD	Stage (3) Individual JD	Stage (3) Collective JD	Total JD
2023								
Direct credit facilities at amortised costs	**15,994,895**	**8,123,534**	**24,118,429**	**70,047**	**1,665,542**	**7,836,142**	**556,604**	**10,128,335**
Total	**15,994,895**	**8,123,534**	**24,118,429**	**70,047**	**1,665,542**	**7,836,142**	**556,604**	**10,128,335**
Letters of guarantees	**-**	**2,000**	**2,000**	**-**	**-**	**-**	**-**	**-**
Letters of credit	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Other liabilities	**2,291**	**-**	**2,291**	**60**	**-**	**-**	**-**	**60**
Total	**15,997,186**	**8,125,534**	**24,122,720**	**70,107**	**1,665,542**	**7,836,142**	**556,604**	**10,128,395**
2022								
Direct credit facilities at amortised costs	9,592,959	2,744,816	12,337,775	20,568	946,288	10,043,266	3,577,285	14,587,407
Total	9,592,959	2,744,816	12,337,775	20,568	946,288	10,043,266	3,577,285	14,587,407
Letters of guarantees	985	-	985	15	-	-	-	15
Letters of credit	-	-	-	-	-	-	-	-
Other liabilities	553,677	-	553,677	36,241	-	-	-	36,241
Total	10,147,621	2,744,816	12,892,437	56,824	946,288	10,043,266	3,577,285	14,623,663

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5. Credit Risk Exposures (after provision for impairment, outstanding interest and before collateral and other risk mitigators):

	2023 JD	2022 JD
Consolidated Financial Position Items		
Balances at Central Banks of Jordan	**74,399,802**	53,013,713
Balances at banks and financial institutions	**162,385,311**	116,654,302
Deposits at banks and financial institutions	**17,751,843**	7,532,571
Direct Credit facilities at amortised costs- net:		
Individual	**385,228,980**	395,540,419
Real estate mortgages	**66,297,467**	64,137,722
Companies:		
Large Corporates	**223,145,233**	217,612,164
SME's	**21,383,971**	21,974,251
Government and Public Sector	**67,112,404**	66,858,189
Bonds, bills and debentures:		
Within financial Assets through other comprehensive income	**89,608,173**	141,110,328
Within financial assets at amortised cost	**181,452,946**	140,522,255
Mortgaged financial assets	**30,989,923**	47,518,001
Other Assets	**6,469,927**	9,461,615
Total consolidated financial position items	**1,326,225,980**	1,281,935,530
Items off-consolidated statement of financial Position		
Letters of guarantees	**102,279,573**	87,207,056
Letters of credit	**6,635,673**	5,671,287
Acceptances	**4,401,105**	8,973,417
Un-utilised facilities limits	**28,195,704**	33,274,068
Total off-Consolidated statement of financial position items	**141,512,055**	135,125,828
Total consolidated on and off-statement of financial position items	**1,467,738,035**	1,417,061,358

The guarantees against the loans and facilities are as follows:

- Real Estate Mortgage
- Financial Instruments Mortgage, such as shares
- Bank Guarantees
- Cash Warranty
- Governmental Guarantee

The management observes the market value of collaterals periodically. In case there is a decline in the value of the collaterals, the Bank requests additional collaterals to cover the deficiency in value. In addition, the Group evaluates the collaterals against non-performing credit facilities on a periodic basis.

6. Expected credit loss as of December 31, 2023:

Description	Stage (1)		Stage (2)		Stage (3)	Total
	Individual JD	Collective JD	Individual JD	Collective JD	Total JD	JD
Balances at banks and financial institutions	**20,444**	**-**	**-**	**-**	**-**	**20,444**
Direct credit facilities	**1,376,574**	**2,524,106**	**5,967,081**	**2,371,650**	**55,339,375**	**67,578,786**
Debt instruments within financial assets portfolio at amortised cost	**13,997**	**-**	**-**	**-**	**-**	**13,997**
Debt instruments within financial assets at fair value through other comprehensive income	**8,355**	**-**	**-**	**-**	**-**	**8,355**
Letters of guarantees	**99,766**	**-**	**14,737**	**-**	**-**	**114,503**
Un-utilised limits	**159,581**	**12,796**	**51,824**	**-**	**-**	**224,201**
Letters of credit	**29,010**	**-**	**459**	**-**	**-**	**29,469**
Total	**1,707,727**	**2,536,902**	**6,034,101**	**2,371,650**	**55,339,375**	**67,989,755**

Expected credit loss as of December 31, 2022:

Description	Stage (1)		Stage (2)		Stage (3)	Total
	Individual JD	Collective JD	Individual JD	Collective JD	Total JD	JD
Balances at banks and financial institutions	13,746	-	-	-	-	13,746
Direct credit facilities	1,424,631	2,501,980	4,382,190	1,699,524	58,122,469	68,130,794
Debt instruments within financial assets portfolio at amortised cost	15,204	-	-	-	-	15,204
Debt instruments within financial assets at fair value through other comprehensive income	4,453	-	-	-	-	4,453
Letters of guarantees	109,291	-	13,289	-	-	122,580
Un-utilised limits	181,427	11,581	71,944	26	-	264,978
Letters of credit	40,048	-	1,489	-	-	41,537
Other	20	-	-	-	-	20
Total	1,788,820	2,513,561	4,468,912	1,699,550	58,122,469	68,593,312

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Collaterals maintained as an Insurance and other credit supporting:

The Bank maintains collaterals or other credit supporting to reduce from the credit risks related to financial assets. The Group maintains of financial instruments with a total amount of JD 1,468 millions as of December 31, 2023 (against JD 1,417 millions as of December 31, 2022). The total maintained collaterals at the end of the report equals to JD 181 million as of December 31, 2023 (against JD 182 millions as of December 31, 2022). Noting that the collaterals value are not recognised less than the amount which will mitigate the credit risk. No changes occurred in collaterals polices at Bank during the current year. The following represents the collaterals fair value distribution against the total credit exposure:

		Collateral Fair Value								
Description	Total exposure JD	Cash Margins JD	Trading shares JD	Acceptable bank guarantees JD	Real Estate JD	Cars & Vehicles JD	Others JD	Total Collateral Value JD	Net Exposed -Post collateral JD	Expected Credit Loss JD
2023										
Balances at central banks	**74,399,802**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**74,399,802**	**-**
Balances at banks and financial institutions	**162,385,311**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**162,385,311**	**20,444**
Deposits at banks and financial institutions	**17,751,843**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**17,751,843**	**-**
Individuals	**385,228,980**	**19,869,601**	**22,516,996**	**-**	**51,459**	**1,025,574**	**2,715**	**43,466,345**	**341,762,635**	**30,086,935**
Real estate Loans	**66,297,467**	**700,302**	**-**	**22,161**	**64,096,862**	**-**	**1,684,015**	**66,503,340**	**(205,873)**	**738,494**
Corporates:										
Large Corporate	**223,145,233**	**6,289,056**	**15,276,334**	**-**	**10,386,328**	**8,295,000**	**3,780,285**	**44,027,003**	**179,118,230**	**34,717,196**
Small and medium enterprises (SME's)	**21,383,971**	**4,635,640**	**-**	**313,801**	**4,898,148**	**471,546**	**4,621,967**	**14,941,102**	**6,442,869**	**2,031,952**
Government and public sector	**67,112,404**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**67,112,404**	**4,209**
Bonds, bills and debentures as follows:										
Within Financial assets at fair value through other comprehensive income	**89,608,173**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**89,608,173**	**8,355**
Within Financial assets at amortised cost	**181,452,946**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**181,452,946**	**13,997**
Mortgaged financial assets (Debt Instruments)	**30,989,923**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**30,989,923**	**-**
Other assets	**6,469,927**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**6,469,927**	**-**
Total	**1,326,225,980**	**31,494,599**	**37,793,330**	**335,962**	**79,432,797**	**9,792,120**	**10,088,982**	**168,937,790**	**1,157,288,190**	**67,621,582**
Letters of guarantees	**102,279,573**	**4,006,879**	**-**	**-**	**3,351,098**	**-**	**-**	**7,357,977**	**94,921,596**	**114,503**
Letters of credit	**11,036,778**	**1,014,605**	**-**	**-**	**-**	**-**	**-**	**1,014,605**	**10,022,173**	**29,469**
Other liabilities	**28,195,704**	**2,293,062**	**-**	**-**	**1,155,707**	**-**	**-**	**3,448,769**	**24,746,935**	**224,201**
Total	**1,467,738,035**	**38,809,145**	**37,793,330**	**335,962**	**83,939,602**	**9,792,120**	**10,088,982**	**180,759,141**	**1,286,978,894**	**67,989,755**
Net Total for the Previous Year	1,417,061,358	43,814,026	38,170,520	34,348	82,180,407	8,919,305	8,879,447	181,998,053	1,235,063,305	68,593,312

The following represents the collaterals fair value distribution against the total credit exposure:

Description	Total exposure JD	Collateral Fair Value							Net Exposed -Post collateral JD	Expected Credit Loss JD
		Cash Margins JD	Trading shares JD	Acceptable bank guarantees JD	Real Estate JD	Cars & Vehicles JD	Others JD	Total Collateral Value JD		
2022										
Balances at central banks	53,013,713	-	-	-	-	-	-	-	53,013,713	-
Balances at banks and financial institutions	116,654,302	-	-	-	-	-	-	-	116,654,302	13,746
Deposits at banks and financial institutions	7,532,571	-	-	-	-	-	-	-	7,532,571	-
Individuals	395,540,419	23,504,042	25,497,922	-	35,330	673,715	2,803	49,713,812	345,826,607	24,689,835
Real estate Loans	64,137,722	727,782	-	28,139	61,668,642	-	1,930,795	64,355,358	(217,636)	826,598
Corporates:	-	-	-	-	-	-	-	-	-	-
Large Corporate	217,612,164	5,320,019	12,672,598	-	10,528,584	7,809,169	1,064,866	37,395,236	180,216,928	40,516,982
Small and medium enterprises (SME's)	21,974,251	6,000,952	-	6,209	5,263,501	436,421	5,880,983	17,588,066	4,386,185	2,092,680
Government and public sector	66,858,189	-	-	-	-	-	-	-	66,858,189	4,699
Bonds, bills and debentures as follows:										
Within Financial assets at fair value through other comprehensive income	141,110,328	-	-	-	-	-	-	-	141,110,328	4,453
Within Financial assets at amortised cost	140,522,255	-	-	-	-	-	-	-	140,522,255	15,204
Mortgaged financial assets (Debt Instruments)	47,518,001	-	-	-	-	-	-	-	47,518,001	-
Other assets	9,461,615	-	-	-	-	-	-	-	9,461,615	20
Total	1,281,935,530	35,552,795	38,170,520	34,348	77,496,057	8,919,305	8,879,447	169,052,472	1,112,883,058	68,164,217
Letters of guarantees	87,207,056	4,227,927	-	-	3,762,749	-	-	7,990,676	79,216,380	122,580
Letters of credit	14,644,704	746,882	-	-	-	-	-	746,882	13,897,822	41,537
Other liabilities	33,274,068	3,286,422	-	-	921,601	-	-	4,208,023	29,066,045	264,978
Total	1,417,061,358	43,814,026	38,170,520	34,348	82,180,407	8,919,305	8,879,447	181,998,053	1,235,063,305	68,593,312
Net Total for the Previous Year	1,296,598,125	42,241,464	35,070,006	-	86,424,549	5,996,539	9,068,790	178,801,348	1,117,796,777	61,661,742

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The following represents the collaterals fair value distribution against the total credit exposure for stage (3) :

Description	Total exposure JD	Collateral Fair Value							Net Exposed -Post collateral JD	Expected Credit Loss JD
		Cash Margins JD	Trading shares JD	Acceptable bank guarantees JD	Real Estate JD	Cars & Vehicles JD	Others JD	Total Collateral Value JD		
2023										
Credit facilities at amortised costs:										
Individuals	**3,585,815**	**-**	**908,557**	**-**	**-**	**43,891**	**-**	**952,448**	**2,633,367**	**25,367,212**
Real estate loans	**787,018**	**43,482**	**-**	**22,161**	**1,197,262**	**-**	**-**	**1,262,905**	**(475,887)**	**591,196**
Corporate										
Large Corporate	**4,542,108**	**-**	**860,488**	**-**	**2,299,022**	**-**	**-**	**3,159,510**	**1,382,598**	**27,718,109**
Small and medium enterprises	**479,840**	**47,659**	**-**	**313,801**	**116,257**	**34,785**	**-**	**512,502**	**(32,662)**	**1,662,858**
Total	**9,394,781**	**91,141**	**1,769,045**	**335,962**	**3,612,541**	**78,676**	**-**	**5,887,365**	**3,507,416**	**55,339,375**
Letter of guarantees	**4,697,351**	**773,348**	**-**	**-**	**-**	**-**	**-**	**773,348**	**3,924,003**	**-**
Net Total	**14,092,132**	**864,489**	**1,769,045**	**335,962**	**3,612,541**	**78,676**	**-**	**6,660,713**	**7,431,419**	**55,339,375**
Net Total for the Previous Year	8,569,041	875,041	1,322,626	34,348	2,412,687	81,391	-	4,726,093	3,842,948	58,122,469

7 - Bonds, Bills and Debentures:

The table below shows the classifications of bounds and treasury bills according to the external clasification ratings (S&P):

Classification grade	2023			
	Within mortgaged financial assets at amortised cost JD	Within other financial assets through other comprehensive income JD	Within other financial assets at amortised cost JD	Total JD
AAA	**-**	**-**	**-**	**-**
AA+	**-**	**-**	**-**	**-**
AA	**-**	**3,475,695**	**-**	**3,475,695**
AA-	**-**	**-**	**-**	**-**
A+	**-**	**3,602,323**	**-**	**3,602,323**
A	**-**	**-**	**-**	**-**
A-	**-**	**3,274,127**	**-**	**3,274,127**
BBB+	**-**	**-**	**-**	**-**
BBB	**-**	**2,967,165**	**-**	**2,967,165**
BBB-	**-**	**-**	**-**	**-**
BB+	**-**	**-**	**-**	**-**
BB	**-**	**-**	**-**	**-**
BB-	**-**	**-**	**-**	**-**
B+	**-**	**-**	**-**	**-**
B	**-**	**-**	**-**	**-**
B-	**-**	**-**	**-**	**-**
CCC-	**-**	**-**	**-**	**-**
C	**-**	**-**	**-**	**-**
Unclassified	**-**	**-**	**14,986,003**	**14,986,003**
Governmental or guaranteed from government	**30,989,923**	**76,288,863**	**166,466,943**	**273,745,729**
Total	**30,989,923**	**89,608,173**	**181,452,946**	**302,051,042**

	2022			
Classification grade	Within mortgaged financial assets at amortised cost JD	Within other financial assets through other comprehensive income JD	Within other financial assets at amortised cost JD	Total JD
AAA	-	-	-	-
AA+	-	-	-	-
AA	-	7,003,467	-	7,003,467
AA-	-	-	-	-
A+	-	-	-	-
A	-	-	-	-
A-	-	3,154,979	-	3,154,979
BBB+	-	-	-	-
BBB	-	-	-	-
BBB-	-	-	-	-
BB+	-	-	-	-
BB	-	-	-	-
BB-	-	-	-	-
B+	-	-	-	-
B	-	-	-	-
B-	-	-	-	-
CCC-	-	-	-	-
C	-	-	-	-
Unclassified	14,984,796	-	-	14,984,796
Governmental or guaranteed from government	125,537,459	130,951,882	47,518,001	304,007,342
Total	140,522,255	141,110,328	47,518,001	329,150,584

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(40/B) Market risk

Market risk relates to the losses from the financial positions on- and off- the statement of financial position arising from the changes in interest rates, exchange rates, and shares' prices. Moreover, market risk is monitored and managed by the Market Risks Department related to the Risk Management Department, in addition to other committees and regulatory entities, including the Assets and Liabilities Committee and Risk Management Committee which comprises of some members of the Board of Directors and the Risk management supervisors.

The Bank manages market risks from the Bank's investments in bonds and shares, exchange of foreign currencies swap contracts, and certificates of deposit using multiple advanced techniques in order to achieve comprehensive management for this kind of risks such as VaR (Value at Risk) which the Bank calculates daily, in a way that includes all the Bank's portfolios subject to risks (Interest rates instruments, Equity instruments for trade, and the foreign currencies centers), by using the (Historical Simulation) which is based on several assumptions such as calculation for one day (one-day time horizon) and a confidence level of 99%. In this respect, VaR results are compared daily with the portfolio realised profit and losses.

The Bank also calculates the effect of the sensitivity of the change in interest rates for the financial instruments that change in accordance with the change in interest rates; and for the main currencies that the Bank deals with according to Basis Point Value (BPV) based on calculating the expected possible losses for the change in interest rate at one basis point (DV01).

The table below shows the effect of the financial instruments exposures risks on the statement of Profit or Loss according to the sensitivity analysis if the interest rate declines by one percent:

For the year 2023

According to the financial instruments (BPV=DV01)	
Financial Instrument	**DV01 value JD**
Bonds	**(46,727)**
Gaps in bond's maturity	**-**
Finance Market	**37**
Interest / Currency swaps	**3,751**

For the year 2022

According to the financial instruments (BPV=DV01)	
Financial Instrument	DV01 value JD
Bonds	(58,029)
Gaps in bond's maturity	-
Finance Market	76
Interest / Currency swaps	1,399

The table below shows the effect of currency risk on the statement of Profit or Loss according to the sensitivity analysis if the currency rate declines by one percent:

For the year 2023

According to currencies	
Currency	**DV01 value JD**
Euro	**(203)**
Pound	**(3)**

For the year 2022

According to currencies	
Currency	DV01 value JD
Euro	(451)
Pound	(5)

(40/C) Liquidity Risk

Liquidity risk is the risk that the Bank will not be able to provide the necessary funding to meet its liabilities in its maturity dates due to the inability to liquidate the assets. To minimize these risks, the Bank's management diversifies its sources of funds, manages and aligns the maturities of assets and liabilities, and maintains a sufficient balance of cash and cash equivalents and securities available for trade.

Within the framework of the general strategy to achieve a return on its investments, the Bank reviews and manages liquidity at various levels, including the Treasury, Financial Audit Department, Risks Management Department, as well as the Assets and Liabilities Committee which is specialised in this regard. The cash flow review includes an analysis of the maturity profile of assets and liabilities in an integrated manner. It analyses the sources of funds, which include customers, correspondent banks, affiliates and associates, the Bank's branches in Jordan, and the distribution and concentrations of customer deposits by sector.

The Bank follows a liquidity management strategy approved by the Board of Directors aimed at implementing a comprehensive concept for managing the liquidity risk and associated dependencies efficiently and effectively. It also takes into consideration the diversification and appropriate distribution between sources and uses of funds.

The liquidity contingency plan has been developed and approved and is an integral part of the liquidity risk management policy, which would be activated for the management of liquidity risk and in case the bank is exposed to any unexpected withdrawals of customers' deposits exceeding the accepted liquidity ratios.

The contractual maturity dates of the assets have been determined based on the remaining period from the date of the statement of financial position until the contractual maturity date regardless of the actual maturities reflected by historical events relating to maintaining deposits and the availability of liquidity.

The Bank complies with the instructions of the Central Bank of Jordan stipulating that the foreign currency ratios should not become lower than 100% and not less than 70% for the Jordan Dinar. In addition, the liquidity ratios are reserved at levels higher than the minimum imposed by the Central Bank of Jordan.

In the previous period, the Bank has conducted studies on the calculation of the size of the deposits (the Core Deposits) according to the historical behavior of the customers' deposits over the past five years and reflected the results of this study in the reports on the management of liquidity risk.

Firstly: The table below summarizes the distribution of the liabilities (undiscounted) on the basis of the remaining contractual maturity period at the date of the financial statements:

Total assets (as its expected maturity)	Less than one month Thousand JD	3-1 months Thousand JD	More than 6-3 months Thousand JD	More than 6 months1- year Thousand JD	More than 3-1 years Thousand JD	More than 3 years Thousand JD	Without maturity Thousand JD	Total Thousand JD
2023								
Liabilities								
Deposits at banks and financial institutions	**75,949**	**54,734**	**-**	**-**	**-**	**-**	**-**	**130,683**
Customers deposits	**323,092**	**249,684**	**231,643**	**83,492**	**-**	**-**	**-**	**887,911**
Cash margins	**38,287**	**593**	**723**	**920**	**952**	**4,035**	**-**	**45,510**
Borrowed funds	**1,244**	**1,097**	**3,444**	**4,464**	**67,322**	**24,447**	**-**	**102,019**
Other provisions	**-**	**-**	**-**	**-**	**-**	**3,041**	**-**	**3,041**
Income tax provision	**2,813**	**-**	**167**	**-**	**-**	**-**	**-**	**2,980**
Deferred tax liability	**-**	**-**	**-**	**437**	**-**	**-**	**-**	**437**
Leases contracts liabilities (Rents)	**-**	**-**	**-**	**-**	**316**	**2,993**	**-**	**3,309**
Other liabilities	**15,965**	**5,435**	**2,943**	**2,811**	**446**	**366**	**-**	**27,967**
Total	**457,350**	**311,543**	**238,920**	**92,126**	**69,036**	**34,882**	**-**	**1,203,857**
Total assets (as its expected maturity)	**316,637**	**132,951**	**119,465**	**119,396**	**279,269**	**394,187**	**34,041**	**1,395,946**
2022								
Liabilities								
Deposits at banks and financial institutions	79,360	58,122	1,619	-	-	-	-	139,100
Customers deposits	396,542	204,730	64,120	184,482	-	-	-	849,874
Cash margins	37,249	1,000	2,207	1,002	1,392	8,403	-	51,253
Borrowed funds	25,203	962	1,264	2,285	73,471	18,992	-	122,178
Other provisions	-	-	-	-	-	3,097	-	3,097
Income tax provision	2,036	-	247	-	-	-	-	2,283
Deferred tax liability	-	-	-	461	-	-	-	461
Leases contracts liabilities (Rents)	-	-	-	-	216	2,953	-	3,169
Other liabilities	14,049	3,391	659	4,171	7	428	-	22,704
Total	554,439	268,205	70,116	192,401	75,086	33,872	-	1,194,119
Total assets (as its expected maturity)	256,593	105,646	127,774	130,465	268,519	427,488	34,314	1,350,799

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Gap of re-pricing interest rate:

The classification is based on interest or accrual intervals, whichever is closer:

The sensitivity of interest rate is as follows:

	Less than One Month JD	1-3 Months JD	More than 3-6 Months JD	More than 6 Months - 1 Year JD	More than 1-3 Years JD	More than 3 Years JD	Without Maturity JD	Total JD
2023								
Assets								
Cash and balances at the Central Bank of Jordan	**31,500,000**	**-**	**-**	**-**	**-**	**-**	**49,543,680**	**81,043,680**
Balances at banks and financial institutions	**123,106,475**	**35,430,363**	**-**	**-**	**-**	**-**	**3,848,473**	**162,385,311**
Deposits at banks and financial institutions	**-**	**-**	**17,751,843**	**-**	**-**	**-**	**-**	**17,751,843**
Financial assets at fair value through other comprehensive income	**12,253,908**	**12,940,013**	**5,950,976**	**3,476,784**	**48,421,625**	**6,564,867**	**4,666,128**	**94,274,301**
Direct credit facilities - Net	**348,723,800**	**218,635,362**	**184,240,999**	**1,884,979**	**192,991**	**95,141**	**9,394,783**	**763,168,055**
Financial assets at amortised cost	**19,999,924**	**12,250,325**	**17,919,907**	**14,880,551**	**100,429,518**	**15,972,721**	**-**	**181,452,946**
Mortgaged financial assets	**-**	**-**	**-**	**-**	**30,989,923**	**-**	**-**	**30,989,923**
Property and equipment	**-**	**-**	**-**	**-**	**-**	**-**	**32,960,325**	**32,960,325**
Intangible assets	**-**	**-**	**-**	**-**	**-**	**-**	**1,080,401**	**1,080,401**
Deferred tax assets	**-**	**-**	**-**	**-**	**-**	**-**	**8,048,059**	**8,048,059**
Right-of-use assets	**-**	**-**	**-**	**-**	**-**	**-**	**2,905,112**	**2,905,112**
Other assets	**-**	**-**	**-**	**-**	**-**	**-**	**19,886,499**	**19,886,499**
Total Assets	**535,584,107**	**279,256,063**	**225,863,725**	**20,242,314**	**180,034,057**	**22,632,729**	**132,333,460**	**1,395,946,455**
Liabilities								
Banks' and financial institutions' deposits	**75,602,976**	**54,237,549**	**-**	**-**	**38,995,000**	**-**	**-**	**168,835,525**
Customers' deposits	**251,105,435**	**247,504,348**	**227,143,450**	**80,309,959**	**-**	**-**	**70,560,283**	**876,623,475**
Cash margins	**35,106,841**	**-**	**-**	**-**	**-**	**-**	**9,874,472**	**44,981,313**
Borrowed funds	**11,609,770**	**386,262**	**2,356,077**	**2,653,418**	**57,624,814**	**20,867,395**	**7,423,661**	**102,921,397**
Other provisions	**-**	**-**	**-**	**-**	**-**	**-**	**3,040,749**	**3,040,749**
Income tax provision	**-**	**-**	**-**	**-**	**-**	**-**	**2,979,746**	**2,979,746**
Deferred tax liability	**-**	**-**	**-**	**-**	**-**	**-**	**437,484**	**437,484**
Leases contracts liabilities (Rents)	**-**	**-**	**-**	**-**	**282,571**	**2,545,504**	**-**	**2,828,075**
Other Liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**27,967,142**	**27,967,142**
Total Liability	**373,425,022**	**302,128,159**	**229,499,527**	**82,963,377**	**96,902,385**	**23,412,899**	**122,283,537**	**1,230,614,906**
Gap of re-pricing interest rate:	**162,159,085**	**(22,872,096)**	**(3,635,802)**	**(62,721,063)**	**83,131,672**	**(780,170)**	**10,049,923**	**165,331,549**
2022								
Total Assets	443,788,212	243,698,740	243,917,872	43,197,334	173,740,922	63,251,640	139,204,519	1,350,799,239
Total Liability	451,202,793	261,671,891	65,168,255	180,443,276	57,630,529	26,895,884	144,014,600	1,187,027,228
Gap of re-pricing interest rate:	(7,414,581)	(17,973,151)	178,749,617	(137,245,942)	116,110,393	36,355,756	(4,810,081)	163,772,011

Concentration of Foreign Currencies Risks

	US Dollar JD	Euro JD	Pound JD	Japanese Yen JD	Other JD	Total JD
2023						
Assets						
Cash and balances at the Central Bank of Jordan	**11,634,890**	**34,228**	**50,329**	**-**	**31,992**	**11,751,439**
Balances at banks and financial institutions	**142,992,242**	**11,450,583**	**2,340,164**	**910,004**	**861,849**	**158,554,842**
Deposits at banks and financial institutions	**9,926,000**	**7,826,650**	**-**	**-**	**-**	**17,752,650**
Direct credit facilities at amortised costs	**64,141,958**	**-**	**-**	**-**	**-**	**64,141,958**
Financial assets at fair value through other comprehensive income	**13,327,665**	**13,888**	**-**	**-**	**-**	**13,341,553**
Financial assets at fair value through amortised cost	**17,345,728**	**-**	**-**	**-**	**-**	**17,345,728**
Other assets	**2,695,146**	**51,726**	**-**	**-**	**-**	**2,746,872**
Total assets	**262,063,629**	**19,377,075**	**2,390,493**	**910,004**	**893,841**	**285,635,042**
Liabilities						
Banks' and financial institutions' deposits	**111,917,782**	**25,446**	**-**	**-**	**69,212**	**112,012,440**
Customers' deposits	**164,378,544**	**20,069,893**	**1,246,894**	**981,977**	**151,291**	**186,828,599**
Cash margins	**2,703,880**	**2,013,941**	**1**	**-**	**-**	**4,717,822**
Borrowed funds	**23,751,500**	**-**	**-**	**-**	**-**	**23,751,500**
Other liabilities	**5,015,285**	**346,031**	**1,110,195**	**67**	**754,607**	**7,226,185**
Total Liabilities	**307,766,991**	**22,455,311**	**2,357,090**	**982,044**	**975,110**	**334,536,546**
Net Concentration of Consolidated Financial Position Items	**(45,703,362)**	**(3,078,236)**	**33,403**	**(72,040)**	**(81,269)**	**(48,901,504)**
Off-Consolidated Financial Position Contingent Liabilities	**91,298,307**	**8,059,484**	**-**	**2,030,345**	**509,174**	**101,897,360**
2022						
Total assets	238,426,863	11,819,196	2,404,589	1,964,426	1,344,837	255,959,911
Total Liabilities	267,723,145	26,902,360	2,417,380	1,977,918	1,409,606	300,430,409
Net Concentration of Consolidated Financial Position Items	(29,296,282)	(15,083,164)	(12,791)	(13,492)	(64,769)	(44,470,498)
Off-Consolidated Financial Position Contingent Liabilities	91,540,268	13,189,939	-	2,788,694	324,722	107,843,623

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Secondly: The table below shows the maturities of the financial derivatives on the basis of the remaining period of the contractual maturity from the date of the financial statements:

(A) Financial derivatives/ liabilities settled at their net value (offsetting basis) which include:

1- Interest rate derivatives: Interest rate swaps, deferred interest rates agreements, interest rate options in informal markets, other interest rates contracts, futures contracts for interest rates traded in formal market, contractual options for interest rates traded in formal markets.

	1 - 3 months JD	3 - 6 months JD	6 months - 1 year JD	1 - 3 years JD	More than 3 years JD	Total JD
2023						
Hedging Derivatives:						
Interest rate swaps	**-**	**-**	**-**	**347,197**	**36,868**	**384,065**
Total	**-**	**-**	**-**	**347,197**	**36,868**	**384,065**
2022						
Hedging Derivatives:						
Interest rate swaps	-	-	-	521,115	(55,302)	465,813
Total	-	-	-	521,115	(55,302)	465,813

(B) Financial Derivatives/ Liabilities that are settled at gross which include:

1- Foreign currency derivatives: deferred futures contracts, currency exchange contracts.

	1 - 3 months JD	3 - 6 months JD	6 months - 1 year JD	1 - 3 years JD	More than 3 years JD	Total JD
2023						
Description						
Trading derivatives:						
Currency exchange contracts						
Outflows	**51,776,484**	**-**	**-**	**-**	**-**	**51,776,484**
Inflows	**51,680,144**	**-**	**-**	**-**	**-**	**51,680,144**
Total Outflows	**51,776,484**	**-**	**-**	**-**	**-**	**51,776,484**
Total Inflows	**51,680,144**	**-**	**-**	**-**	**-**	**51,680,144**
2022						
Description						
Trading derivatives:						
Currency exchange contracts	41,651,805	7,145,000	-	-	-	48,796,805
Outflows	41,740,509	7,090,000	-	-	-	48,830,509
Inflows	41,651,805	7,145,000	-	-	-	48,796,805
Total Outflows	41,740,509	7,090,000	-	-	-	48,830,509
Total Inflows						

Thirdly: Off-consolidated financial position items:

	Up to 1 Year	5 - 1 Years	Over 5 Years	Total
2023				
Letters of credit and acceptances	**11,036,778**	**-**	**-**	**11,036,778**
Un-utilised limits	**28,195,704**	**-**	**-**	**28,195,704**
Letters of guarantee	**94,038,693**	**8,240,880**	**-**	**102,279,573**
Total	**133,271,175**	**8,240,880**	**-**	**141,512,055**
2022				
Letters of credit and acceptances	14,644,704	-	-	14,644,704
Un-utilised limits	33,274,068	-	-	33,274,068
Letters of guarantee	76,840,000	10,367,056	-	87,207,056
Total	124,758,772	10,367,056	-	135,125,828

(40/D) Operational risk

Operational risk is defined as the risk of loss that might impact revenues or capital resulting from inadequate or failed internal procedures, information systems, human element, or due to external events that have tangible impact on the Bank's operations. Operational risk also includes legal risk, excluding reputation and strategic risk.

For reputation and other risks such as strategic and quantitative risks that directly relate to liquidity risks, the Bank calculates capital to face those risks through evaluating it according to the adopted Scorecard form.

The Operational Risks Department carries out continuous work and closely coordinates with all heads in charge within the general management department to ensure the continuation of implementing the concept of the Operational Risk Management Framework effectively through the implementation of the principle of the three lines of defense model, which define the tasks and responsibilities of all departments of the bank, especially with regard to the application , a follow-up and monitoring the execution of the daily tasks in the remit of the first line of defense.

The Operational Risk Department continues to gather the operational losses data in addition to the operational risks indicators through the GRC-Tool, it monitors and update and ensure from the formulation of any correction plan around it, wherever necessary. The system objective is to allow the utilization by all concerned departments whether business departments, risks compliance, in addition to internal audit, thus enabling Executive Management to be aware of financial and non-financial risks on spot.

The methodology for control-self assessment of operational risks and the controls set against it through conducting a review at departmental level, (Departments/ branches/products/processes) Through which operational risks and the risks associated with them.

(40/E) Information Technology Risk

It is the risk that the Bank may face as a result of acquiring and using information technology resources to execute the Bank's operations that which may lead to financial losses, legal proceedings, or an adverse impact on the Bank's reputation or the services provided to the clients and related parties.

In order to enable the Bank's Risk Department to implement all the requirements stipulated in the Central Bank of Jordan's instructions relating to "governorship and management of information and associated technology", Central Bank of Jordan's instructions relating to "adapt to cyber risks", and policies and procedures stipulated by the Bank; and in order to complete the related work performed during 2022, the following points have been completed in 2023:

1. Renewing, updating and re-adopting the following policies and procedures:
   - IT Risk Policy.
   - Information and systems classification and protection policy.
   - IT Risk Assessment Mechanism.
   - IT risk department work procedures

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2. Updating IT risk department work procedures by adding more details to the role of the IT risk department relating to monitor, analyse, and asses the risks which are managed by IT department, information security department, and business continuity department.
3. Updating the "Risk appetite statement and framework" document related to the acceptable risk limits and specifying the acceptable level for operational risks and cyber risks and obtaining the Board of Directors' approval thereon.
4. Preparing the reports as required in Central Bank of Jordan's instructions relating to "governorship and management of information and associated technology" and share them with the concerned parties by presenting them to the operational resilience Committee.
5. In order to develop the skills of IT risk management staff, those involved participated in many local conferences, training courses, and workshops related to IT governance and information security.

41 Segment Information

A. Information on the Bank's business activities:

For management purposes, the Bank is organised so that segments are measured based on reports used by the general manager and the key decision maker at the Bank throughout the following primary buisness segments:

- Retail banking.
- Corporate banking.
- Treasury.

The following represents the Bank's primary buisness segments information:

Description	Retail JD	Institutes JD	Treasury JD	Other JD	Total 2023 JD	Total 2022 JD
Total income	**46,245,955**	**25,331,878**	**31,343,621**	**480,649**	**103,402,103**	77,163,381
Provision for expected credit loss on financial assets	**(6,460,212)**	**(2,874,277)**	**(1,078,563)**	**-**	**(10,413,052)**	(6,943,350)
Buisness segments results	**18,965,227**	**8,034,049**	**8,472,867**	**335,938**	**35,808,081**	36,440,519
Unallocated segmental expenses					**(29,578,020)**	(27,741,424)
Profit before tax					**6,230,061**	8,699,095
Income tax					**(1,229,641)**	(2,029,263)
Net profit for the year					**5,000,420**	6,669,832
Capital expense					**2,710,883**	3,367,029
Depreciation and amortisation					**3,511,492**	3,600,874

					2023 JD	2022 JD
Other information						
Segmental assets	**443,275,367**	**302,132,936**	**606,389,716**	**-**	**1,351,798,019**	1,306,309,696
Unallocated segmental assets	**-**	**-**	**-**	**44,148,436**	**44,148,436**	44,489,543
Total Assets	**443,275,367**	**302,132,936**	**606,389,716**	**44,148,436**	**1,395,946,455**	1,350,799,239
Segmental liabilities	**674,326,590**	**300,597,688**	**244,464,078**	**-**	**1,219,388,356**	1,176,947,512
Unallocated segmental liabilities	**-**	**-**	**-**	**11,226,550**	**11,226,550**	10,079,716
Total Liabilities	**674,326,590**	**300,597,688**	**244,464,078**	**11,226,550**	**1,230,614,906**	1,187,027,228

b. Geographical distribution information

This disclosure represents the geographical distribution of the Bank's business. The Bank's operations are mainly concentrated within the local business.

The following is the geographical distribution of the Bank's income, assets and capital expenditures:

	Inside Jordan		Outside Jordan		Total	
	2023 JD	2022 JD	**2023 JD**	2022 JD	**2023 JD**	2022 JD
Gross income	**96,101,237**	75,181,241	**7,300,866**	1,982,140	**103,402,103**	77,163,381
Capital expenditures	**1,956,469**	3,328,448	**754,414**	38,581	**2,710,883**	3,367,029

	Inside Jordan		Outside Jordan		Total	
	2023 JD	2022 JD	**2023 JD**	2022 JD	**2023 JD**	2022 JD
Total assets	**1,237,674,441**	1,257,437,236	**158,272,014**	93,362,003	**1,395,946,455**	1,350,799,239

42 Capital Management

a. The capital adequacy ratio as of December 31, 2023 and 2022 was calculated according to Basel III requirements where the Bank's regulatory capital consists of the Common Equity Tier1 (CET1) and Additional Tier 1 (AT1), and Tier 2 (T2)

b. The regulatory authorities' requirements regarding the Common Equity

The Central Bank of Jordan's instructions require that the minimum regulatory capital to be (12%) of the off-balance sheet assets weighted by risks, in addition to market risks and operational risks. This percentage is considered the minimum for capital adequacy, as the Bank is committed, in all cases, to maintaining an adequacy percentage above the minimum by an appropriate margin and in line with the requirements of BASEL III, as well.

c. Methods for achieving the capital management objectives

Capital management involves optimally employing sources of funds to achieve the highest return on capital possible within the acceptable risk limits approved by the Board of Directors, while maintaining the minimum limit required according to the laws and regulations in force. Moreover, the Bank follows a policy of striving to minimize costs of fund as much as possible through resorting to low-cost sources of funds, increasing the clients' base, and optimally employing such sources in investments with reasonable risks to achieve the highest possible return on capital.

d. Capital Adequacy

In addition to subscribed capital, capital includes the statuary reserve, voluntary reserve, share premium, retained earnings, cumulative change in fair value, general banking risk reserve, other reserves and treasury stocks.

The Bank is committed to applying the requirements set forth by regulators concerning capital adequacy as follows:

1. The Central Bank of Jordan's instructions requiring that capital adequacy ratio may not go below 12%.
2. Compliance with the minimum limit set for the paid capital for Jordanian banks such that it is not less than JD 100 million.
3. The Bank's investments in stocks and shares which should not exceed 50% of the subscribed capital.
4. The ratio of credit limits (credit concentration) to regulatory capital.
5. The banks and companies laws related to the deduction of the legal reserve at a rate of 10% of the Bank's profit before tax.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

	2023 Thousand JD	2022 Thousand JD
Common Equity Shareholders' Rights		
Paid-up capital	**110,000**	110,000
Retained earnings less proposed dividends	**20,502**	19,425
Cumulative change in fair value of financial assets	**(123)**	(1,082)
Share premium	**67**	67
Statuary reserve	**31,385**	30,762
Voluntary reserve	**197**	197
Total Capital of Common Stock	**162,028**	159,369
Regulatory amendment (deduction from capital)		
Goodwill and intangible assets	**(1,080)**	(1,254)
Investment in the capital of affiliated companies	**-**	-
Deferred tax assets	**(8,048)**	(8,071)
Total Primary Capital	**152,900**	150,044
Additional capital		
Total Capital (Tier 1)	**152,900**	150,044
Tier 2 Capital		
Provision stage 1 (IFRS9)	**4,245**	4,302
Regulatory amendment (deduction from capital) / Investments in subsidiary		
Total Supporting Capital	**4,245**	4,302
Total Regulatory Capital	**157,145**	154,346
Total Risk-Weighted Assets	**913,757**	884,198
(%) Capital Adequacy Ratio	**%17.20**	17.46%
(%) Primary Capital adequacy Ratio	**%16.73**	16.97%

Capital adequacy was calculated as of December 31, 2023 and December 31, 2022 based on the resolutions of Basel III Committee.

Liquidity Coverage ratio (LCR):

	December 31, 2023 Banking Group Total Currencies
Total Liquid Assets High Quality	**282,166**
Net cash outflow for the next 30 days	**64,032**
Percentage for covering the liability	**440.7%**

The banking group liquidity coverage ratio at the average end of each month for the Banking group of the total currencies for the year ended from January, 2023 until December 2023 equates (358.1%).

43. Maturity Analysis of Assets and Liabilities

The following table illustrates the assets and liabilities according to the expected recovery or settlement period:

	Within 1 Year JD	More than 1 Year JD	Total JD
2023			
Assets:			
Cash and balances at Central Bank of Jordan	81,043,680	-	81,043,680
Balances at banks and financial institutions	162,385,311	-	162,385,311
Deposits at banks and financial institutions	17,751,843	-	17,751,843
Financial assets at fair value through other comprehensive income	39,287,809	54,986,492	94,274,301
Direct credit facilities	304,523,732	458,644,323	763,168,055
Financial assets at amortised cost	65,050,706	116,402,240	181,452,946
Mortgaged Financial assets	-	30,989,923	30,989,923
Property and equipment	1,289,000	31,671,325	32,960,325
Intangible assets	440,000	640,401	1,080,401
Deferred tax assets	8,048,059	-	8,048,059
Right-of-use assets	636,632	2,268,480	2,905,112
Other assets	10,357,866	9,528,633	19,886,499
Total Assets	690,814,638	705,131,817	1,395,946,455
Liabilities:			
Banks' and financial institutions' deposits	129,840,525	38,995,000	168,835,525
Customers' deposits	876,623,475	-	876,623,475
Cash margins	40,391,796	4,589,517	44,981,313
Borrowed funds	21,386,469	81,534,928	102,921,397
Sundry provisions	-	3,040,749	3,040,749
Income tax provision	2,979,746	-	2,979,746
Deferred tax liabilities	437,484	-	437,484
Lease contracts liabilities (Rents)	153,549	2,674,526	2,828,075
Other liabilities	27,001,657	965,485	27,967,142
Total Liabilities	1,098,814,701	131,800,205	1,230,614,906
Net	(408,000,063)	573,331,612	165,331,549

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

	Within 1 Year JD	More than 1 Year JD	Total JD
2022			
Assets:			
Cash and balances at Central Bank of Jordan	59,743,320	-	59,743,320
Balances at banks and financial institutions	116,654,302	-	116,654,302
Deposits at banks and financial institutions	7,532,571	-	7,532,571
Financial assets at fair value through other comprehensive income	59,845,734	85,414,615	145,260,349
Direct credit facilities	319,377,828	446,744,917	766,122,745
Financial assets at amortised cost	36,836,999	103,685,256	140,522,255
Mortgaged Financial assets	-	47,518,001	47,518,001
Property and equipment	1,289,000	31,770,659	33,059,659
Intangible assets	440,000	814,297	1,254,297
Deferred tax assets	8,071,489	-	8,071,489
Right-of-use assets	682,103	2,244,186	2,926,289
Other assets	12,416,220	9,717,742	22,133,962
Total Assets	622,889,566	727,909,673	1,350,799,239
Liabilities:			
Banks' and financial institutions' deposits	138,696,896	-	138,696,896
Customers' deposits	841,914,436	-	841,914,436
Cash margins	41,306,362	8,988,532	50,294,894
Borrowed funds	40,615,511	84,141,704	124,757,215
Sundry provisions	-	3,096,646	3,096,646
Income tax provision	2,283,188	-	2,283,188
Deferred tax liabilities	461,371	-	461,371
Lease contracts liabilities (Rents)	167,286	2,651,742	2,819,028
Other liabilities	22,101,970	601,584	22,703,554
Total Liabilities	1,087,547,020	99,480,208	1,187,027,228
Net	(464,657,454)	628,429,465	163,772,011

44 Contingent Liabilities and Commitments

The details of this item are as follows:

a. Credit Liabilities and Commitments:

	2023 JD	2022 JD
Letter of Credits:		
Inward	**25,838,208**	77,282,080
Outward	**4,250,182**	2,702,644
Acceptances	**4,401,105**	8,973,417
Letter of Guarantees:		
Payment	**22,463,115**	24,618,727
Performance	**55,609,836**	43,344,599
Other	**24,321,125**	19,366,310
Unutilised credit facilities	**28,419,905**	33,539,046
Futures contracts in Foreign Currency	**51,680,144**	59,465,509
Interest swap contracts	**13,825,500**	10,635,000
Total	**230,809,120**	279,927,332

b. Contractual obligations

	2023 JD	2022 JD
Contracts of purchase of property and equipment	**237,100**	90,900
Construction project contracts	**4,510,326**	4,879,000
Other purchases contracts	**72,229**	260,046
Total	**4,819,655**	5,229,946

45 Lawsuits raised against the Bank

Lawsuits against the Bank amounted to JD 4,503,987 as of December 31, 2023 (JD 4,479,454 as at December 31, 2022) and in the opinion of the bank's management and legal counsel the bank would not incur obligations in excess of the recorded provision which amounted to JD 109,376 as at December 31, 2023 (JD 109,376 as at December 31, 2022).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

46 Fair Value Measurement

a. Fair value of financial assets and financial liabilities that are measured at fair value on a recurring basis:

Some financial assets and liabilities of the Bank are evaluated at fair value at the end of each fiscal period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used).

	Fair Value		The Level of Fair Value	Evaluation Method and Inputs used	Significant Unobservable Inputs	Relationship of Unobservable Inputs to Fair Value
	2023 JD	2022 JD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through Other Comprehensive Income:						
Bonds	**76,288,863**	130,951,882	Level 2	According to the latest available financial information	N/A	N/A
Quoted shares in active markets	**14,571,216**	11,409,151	Level 1	Quoted prices in financial markets	N/A	N/A
Unquoted shares in active markets	**3,414,222**	2,899,316	Level 2	According to the latest available financial information	N/A	N/A
Total	**94,274,301**	145,260,349				
Total Financial Assets at Fair Value	**94,274,301**	145,260,349				
Unrealised gains on financial assets	**384,065**	465,904	Level 2	According to the latest available financial information	N/A	N/A
Financial liabilities						
Unrealised losses on financial derivatives	**96,049**	202,424	Level 2	According to the latest available financial information	N/A	N/A
Total liabilities at fair value	**96,049**	202,424				

There were no transfers between level 1 and level 2 during the year ended December 31, 2023.

B. The fair value of the financial assets and financial liabilities of the Bank (non-specific fair value on an ongoing basis:

Except for what is set out in the table below, we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the Bank approximates their fair value:

	2023		2022		The level of Fair Value
	Book value	Fair value	Book value	Fair value	
Financial Assets of Non-specified Fair Value					
Term deposits, and certificate of deposits at the Central Bank of Jordan	**31,500,000**	**31,506,257**	-	-	Level 2
Current accounts, and balances at Banks and Financial Institutions	**180,157,598**	**180,620,482**	124,200,619	124,549,655	Level 2
Direct credit facilities at amortised costs	**854,489,744**	**855,908,405**	856,604,748	860,719,619	Level 2
Other financial assets at amortised costs	**212,456,866**	**215,894,118**	169,224,488	171,783,500	Level 2
Total Financial Assets of Non-specified Fair Value	**1,278,604,208**	**1,283,929,262**	1,150,029,855	1,157,052,774	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	**168,835,525**	**170,314,192**	138,696,896	138,696,896	Level 2
Customers' deposits	**876,623,475**	**886,634,298**	841,914,436	841,914,436	Level 2
Cash margin	**44,981,313**	**44,981,720**	50,294,894	50,294,894	Level 2
Borrowed funds	**102,921,397**	**103,551,851**	124,757,215	124,757,215	Level 2
Total Financial Liabilities of Non-specified Fair Value	**1,193,361,710**	**1,205,482,061**	1,155,663,441	1,155,663,441	

47 Managed Accounts for Customers

The nominal value of the financial assets of the managed account for customers amounted to JD 313,278,281 as of December 31, 2023 against JD 255,560,000 as of December 31, 2022.

APPENDICES

04

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